

This instrument prepared by **A. Harrison Johnson, Jr., Attorney**
and mail to: **213 Fifth Avenue North**
Nashville, TN 37219

PHASE ONE OF
WINSTON HILLS [Village III]
DECLARATION OF COVENANTS,
CONDITIONS AND RESTRICTIONS

This DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS, hereinafter sometimes referred to as the "Declaration", set forth and entered into as of this the 27 day of May, 1999, by the undersigned "Declarant":

W I T N E S S E T H:

WHEREAS, Declarant is the owner of certain real property in Nashville, Sumner County, Tennessee, known as WINSTON HILLS [Village III], a Plat of which is of record in Book 17, page 374, Register's Office for Sumner County, Tennessee (the "Plat" herein); and the Declarant desires to submit the property shown on the Plat to the terms, conditions, easements, restrictions, covenants and liens described herein.

NOW, THEREFORE, Declarant does hereby declare that all of the properties described above shall be held, sold and conveyed subject to the following easements, restrictions, covenants, terms, liens and conditions which are for the purpose of protecting the value and desirability of, and which shall run with the real property and be binding on all parties having any right, title or interest in the described properties or any part thereof, their heirs, successors and assigns, and shall inure to the benefit of each owner thereof.

ARTICLE I

DEFINITIONS

SECTION 1. Definitions. As used herein, unless the context otherwise requires:

(a) "Association" shall mean and refer to **Winston Hills Homeowners Association**, a Tennessee not-for-profit corporation, its successors and assigns.

b) "Board" means the Board of Directors of **Winston Hills Homeowners Association**.

Pamela L. Whitaker, Register
Sumner County Tennessee
Rec #: 367557 Instrument 479243
Rec'd: 396.00 NBk: 72 Pg 72
State: 0.00 Recorded
Clerk: 0.00 6/4/1999 at 10:10 am
EDP: 2.00 in Record Book
Total: 398.00
982 Pg 242

(c) "By-Laws" means the By-Laws of Winston Hills Homeowners Association, attached hereto as Exhibit C and made a part hereof, as amended from time to time.

(d) "Owner" shall mean and refer to the record Owner, whether one or more persons or entities, of a fee simple title to any Unit which is a part of the Property, including contract sellers, but excluding contract buyers or those having such interest merely as security for the performance of an obligation.

(e) "Property" (whether singular or plural) means all the land, property and space which is the subject of this Declaration (by amendment or otherwise), and all improvements and structures erected, constructed or contained therein or thereon, including the Buildings and all easements, rights and appurtenances belonging thereto, and all fixtures and equipment intended for the mutual use, benefit or enjoyment of the Owners.

(f) "Common Area" or "Common Elements" shall mean all real property owned by the Association for the common use and enjoyment of the Owners. The common area to be owned by the Association is as described in the attachment hereto, marked "Exhibit B" and/or as shown on the above Plat [as public utility and drainage easements, "Open Space", and "Detention Area"]. Caudill Lane is a public street. The rock wall shown on the Plat is not a Common Area, but it may not be removed, changed or modified in any way.

(g) "Unit" means the free-standing Residences to be built on each Lot shown on the Plat, which separate buildings are not owned in common with the Owners of other Units.

(h) "Member" shall mean and refer to every person or entity who holds membership in the Association.

(i) "Declarant" means RBAG/PRESTON - WINSTON HILLS, L.L.C., a Delaware limited liability company, its successors and assigns, provided such successors or assigns are designated in writing by Declarant as a successor or assign of the rights of Declarant set forth herein.

(j) "Occupant" means a person or persons in possession of a Unit, regardless of whether said person is a Unit Owner.

(k) "Person" means a natural individual, corporation, partnership, trustee or other legal entity capable of holding title to real property.

(l) "Majority" or "majority of the Unit Owners" means the owners of more than fifty (50%) percent of the membership in the Association, present and then eligible to vote. Any specific percentage of Unit Owners means that percentage of Unit Owners who

in the aggregate own such specified percentage of the entire membership in the Association, present and then eligible to vote.

(m) "Lot" shall mean and refer to any numbered plot of land shown upon the Plat, with the exception of the Common Area and dedicated streets.

SECTION 2. Lots. The legal description of each Lot shall consist of the identifying number or symbol of such Lot as shown on the Plat. Every deed, lease, mortgage, deed of trust or other instrument shall legally describe a Lot by its identifying number or symbol as shown on the Plat and every such description shall be deemed good and sufficient for all purposes. No Unit Owner shall, by deed, plat, court decree or otherwise, subdivide or in any other manner cause his Lot to be separated into any tracts or parcels different from the whole Lot as shown on the Plat.

SECTION 3. (a) Association of Owners and Administration and Operation of the Property. There has been or will be formed an Association having the name "Winston Hills Homeowners Association", a Tennessee not-for-profit corporation, which Association shall be the governing body for all of the Owners, for the maintenance, repair, replacement, administration and operation of the Property, this Declaration and the By-Laws. The By-Laws for the Association shall be the By-Laws attached to the Declaration as Exhibit "C" and made a part hereof. The Board of Directors of the Association shall be elected and shall serve in accordance with the provisions of the By-Laws. The fiscal year of the Association shall be determined by the Board, and may be changed from time to time as the Board deems advisable. The Association shall not be deemed to be conducting a business of any kind. All activities undertaken by the Association shall be held and applied by it for the use and benefit of Owners in accordance with the provisions of the Declaration and By-Laws. Each Owner shall be a member of the Association so long as he is an Owner. An Owner's membership shall automatically terminate when he ceases to be an Owner. Upon the conveyance or transfer of an Owner's ownership interest to a new Owner, the new Owner shall simultaneously succeed to the former Owner's membership in the Association. The aggregate number of votes for all members of the Association shall be equal to the number of Lots subjected to the Declaration, by Plat or amendment, pursuant to Article IX, Section 3 hereof. Each Owner's respective percentage of ownership interests in the Association shall be the result of a fraction, the numerator being ONE and the denominator being the number of Lots submitted by Plat).

(b) Non-Liability of the Directors, Board, Officers and Declarants. Neither the directors, Board, officers of the Association, nor the Declarants shall be personally liable to the Owners for any mistake of judgment or for any other acts or omissions of any nature whatsoever as such directors, Board, officers or Declarants, except for any acts or omissions found by

a court to constitute gross negligence or actual fraud. The Unit Owners shall indemnify and hold harmless each of the directors, Board, officers, or Declarants, and their respective heirs, executors, administrators, successors and assigns in accordance with the By-Laws.

SECTION 4. Board's Determination Binding. In the event of any dispute or disagreement between any Owners relating to the Property, or any questions of interpretation or application of the provisions of the Declaration or By-Laws, the determination thereof by the Board shall be final and binding on each and all such Owners.

SECTION 5. Ownership of the Association. Each Owner's respective percentage of ownership interests in the Association shall be the result of a fraction, the numerator being ONE and the denominator being the number of Lots submitted by the Plat, or by amendment. The percentages of ownership interests shall remain constant unless amended pursuant to the reservation set forth herein, or unless hereafter changed by recorded amendment to this Declaration as provided for herein or consented to in writing by the necessary Owners and first mortgagees, except for obvious scrivener's mistakes, which Declarants may correct without joinder of others. Said ownership interest in the Association shall be represented by a deed to that Owner from the previous Owner of that Lot, and the Association shall be owned by the Owners in accordance with their respective percentages of ownership. The ownership of each Lot shall not be conveyed separate from the percentage of ownership in the Association corresponding to said Lot. The ownership in the Association corresponding to any Lot shall be deemed conveyed or encumbered with that Unit, even though the legal description in the instrument conveying or encumbering said Lot may refer only to the fee title to that Lot.

SECTION 6. Use of the Common Elements. The use of the Common Elements shall be limited or restricted by the Board, depending upon an abutting Lot Owner's particular needs and convenience with regard to Common Elements which may abut his or her Lot. Each Owner shall have the right to use the Common Elements in common with all other Owners, as may be required for the purposes of necessity, access, ingress to, egress from, use, occupancy and enjoyment of the respective Unit owned by such Owner. Such right to use the Common Elements shall extend to not only each Owner, but also to his agents, servants, tenants, family members, invitees and licensees. Such rights to use the Common Elements shall be subject to and governed by the provisions of the Declaration, By-Laws and rules and regulations of the Association. In addition, the Association shall have the authority to lease, grant concessions or grant easements with respect to parts of the Common Elements, subject to the provisions of the Declaration and By-Laws. All income derived by the Association from leases, concessions or other sources shall be held and used for the benefit of the members of

the Association, pursuant to such rules, resolutions or regulations as the Board may adopt or prescribe.

SECTION 7. (a) Common Expenses. Each Owner shall pay his proportionate share of the expenses of the administration and operation of the Common Elements and of any other expenses incurred in conformance with the Declaration and By-Laws (which expenses are herein sometimes referred to as "common expenses"), including, but not limited to, the maintenance and repair thereof and any and all replacements and additions thereto. Such proportionate share of the common expenses for each Owner shall be in accordance with his percentage of ownership in the Association. Payment of common expenses, including any prepayment thereof required by contract for a sale of a Unit, shall be in such amounts and at such times as determined in the manner provided in the By-Laws. No Owner shall be exempt from payment of his proportionate share of the common expenses by waiver or non use or enjoyment of the Common Elements or by abandonment of his Unit. If any Owner shall fail or refuse to make any such payment of the common expenses when due in advance on the first day of each month, then (i) a late charge of \$10, plus \$1 for each day thereafter that such payment has not been made or (ii) the Board may, by resolution or rule, increase the said late payment charge to a reasonable amount, considering the time and circumstances involved. The Board's decision as to reasonableness shall be binding upon all parties, and such payment, together with such late payment charge (the "indebtedness"), shall constitute a lien on the interest of such Owner in the Property.

(b) Enforcement of Lien. FOR AND IN CONSIDERATION of the privileges, protections, mutual enjoyment and use of the Common Elements and the premises contained herein, the receipt of which is hereby acknowledged and any assumption of the obligations by transferees as required hereunder, and to secure the payment of said Common Expenses, principal, interest, and attorney fees, a lien is expressly retained by the Association on each and every Owner's Unit and prorata interest in the Association (referred to in this subparagraph 7(b) as "property").

And now, for the purpose of better and more effectually securing the payment of said lien indebtedness; rendering unnecessary court proceedings for the enforcement of said lien in the event of the non-payment of said indebtedness and payments thereof, as they become due, and for the consideration of one dollar paid in cash, receipt of which is acknowledged, the said Owners, their heirs, administrators, and assigns, hereinafter referred to as trustors, hereby transfer and convey unto A. Harrison Johnson, Jr., Trustee, his successors and assigns, the real estate hereinbefore described, with the appurtenances, estate, title and interest thereto belonging upon the following uses and trusts:

Trustors agree to pay their prorata share of Common Expenses when due and further agree to pay all taxes and assessments thereon, general or special, and to pay them when due, and, upon demand of said trustee or the lawful owner and holder of said indebtedness, to pay, discharge, or remove, any and all liens (except a First Mortgage or Deed of Trust) which may be hereafter placed against said property and which shall adversely affect the lien of this instrument or enforcement of the terms and provisions hereof; to keep the improvements on said property in good repair and preservation, and in case the trustee or his successors or the lawful owner and holder of said indebtedness shall hereafter be required to appear in any court or tribunal to enforce, or defend the title to, or possession of, said property, or the lien of this instrument, or appear in any court to prove the above indebtedness, all the costs and expenses of such appearance or proceedings, together with a reasonable attorney's fee, shall be allowed, and be payable by trustors upon demand of the trustee or lawful owner or holder of said indebtedness, and, upon failure to do any of these things, then said trustee, or the lawful owner and holder of said indebtedness may do any or all of these things and the amounts so paid shall bear interest at the then highest maximum effective rate of interest per annum for home loans then legally collectible in Tennessee from the due date and shall be and become a part of the indebtedness secured hereby.

Now, if trustors shall pay their prorata share of Common Expenses aforesaid when due, and pay any and all sums when due, as aforesaid, then this trust conveyance shall be of no further force or effect. But if said indebtedness, or any payment thereof, or interest thereon, is not paid promptly when due, or if, failing to pay said other sums when due, as herein provided, trustors fail to reimburse the trustee, or lawful owner and holder of said indebtedness for all sums, with interest, so expended by said trustee, or lawful owner and holder of said indebtedness, within thirty days from date of such payment, this trust conveyance shall remain in full force and effect, and the said trustee, or his

successor in trust, is hereby authorized and empowered, upon giving twenty days' notice by three publications in any newspaper, daily or weekly, published in Sumner County, Tennessee, to sell said property at the front door of the Court House in said County to the highest bidder for cash, at public outcry, free from the equity or right (statutory or otherwise) of redemption, homestead, dower, spouse's elective share and all other rights and exemptions of every kind, which are hereby expressly waived; and the said trustee, or his successor in trust, is authorized and empowered to execute and deliver a deed to the purchaser. The Association may bid at any sale under this trust conveyance. The Trustee may, at any time after default in the payment of any of said indebtedness, enter and take possession of said property, and shall only account for the net rents actually received by him. It is further agreed that, in the event the trustee fails, before selling said property, as herein provided, to enter and take possession thereof, the purchaser shall be entitled to immediate possession thereof upon the delivery to him by the trustee of a deed for said property. In case of sale hereunder, the proceeds will be applied by the trustee as follows:

1st. To the full and complete satisfaction of the interest of the first mortgage holder, unless arrangements have been made for the assumption of the first mortgage by the subsequent purchaser.

2nd. To the payment of all costs, charges and expenses of executing this conveyance and enforcing said lien as herein provided; also reasonable attorney's fees for advice in the premises, or for instituting or defending any litigation which may arise on account of the execution of this conveyance, or the enforcement of said lien; also the expenses of any such litigation.

3rd. To the payment of all taxes which may be unpaid on said premises.

4th. To the payment of all unpaid indebtedness herein secured, and any and all sums expended in the protection of said property, as herein authorized.

5th. The residue, if any, will be paid to trustor(s) legally entitled thereto, their order, representatives or assigns.

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In case of the death, absence, inability, or refusal to act of said trustee at any time when action under the foregoing power and trusts may be required or for any other reason, the lawful owner and holder of said lien is hereby authorized and empowered to name and appoint a successor to execute this trust by an instrument in writing to be recorded in the Register's Office for Sumner County, Tennessee, and the title herein conveyed to the above named trustee shall be vested in said successor.

The word "Trustors" when used herein shall apply to parties both singular and plural.

This transfer and conveyance, and the lien for common expenses payable by an Owner which is secured by the transfer and conveyance shall both be subordinate to the lien of a recorded First Mortgage or Deed of Trust on the interest of such Owner, regardless of whether the First Mortgage or Deed of Trust was recorded before or after this instrument, except for the amount of the proportionate share of common expenses which become due and payable from and after the date on which the Mortgagee or Beneficiary accepts a conveyance of any interest therein (other than as security) or forecloses its Mortgage or Deed of Trust. While the lien for assessments may be extinguished, the personal indebtedness therefor shall remain and be the personal obligation of the Owner who owned the Unit when the assessment came due. Any delinquent assessments (after lien extinguishment) may be reallocated and assessed among all Units as a common expense. This subparagraph shall not be amended, changed, modified or rescinded without the prior written consent of all First Mortgagees and Beneficiaries of record.

SECTION 8. Mortgages and Deeds of Trust. Each Owner shall have the right, subject to the provisions herein, to make separate mortgages and deeds of trust for his respective Unit together with his respective ownership interest in the Association. No Owner shall have the right or authority to make or create, or cause to be made or created from the date hereof, any mortgage, deed of trust or other lien on or affecting the Property or any part thereof, except only to the extent of his own Unit and the respective percentage interest in the Association corresponding thereto.

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ARTICLE II

PROPERTY RIGHTS

SECTION 1. Owners' Easements of Enjoyment. Every Owner shall have a right and easement of enjoyment in and to the Common Area which shall be appurtenant to and shall pass with the title to every Unit, subject to the following provisions:

(a) the right of the Association (acting by the Board) to suspend the voting rights of an Owner for any period during which any assessment against his Unit remains unpaid; and for a period not to exceed 60 days for any infraction of its published rules and regulations;

(b) the right of the Association (acting by the Board) to dedicate or transfer all or any part of the Common Area to any public agency, authority, or utility for such purposes and subject to such conditions as may be agreed to by the Members. No such dedication or transfer shall be effective unless an instrument signed by all the Members, agreeing to such dedication or transfer, has been recorded; providing, however, that such consent shall not be required for the dedication of utility or service easements;

(c) The right of the Association (acting by the Board) to grant private access and/or private utility or drainage easements to private individuals or entities, to serve neighboring properties.

SECTION 2. Delegation of Use. Any Owner may delegate, in accordance with the By-Laws, his rights of enjoyment of the Common Area and facilities to the members of his family, his tenants, or contract purchasers who reside on the property. Membership in the Association may not be conveyed separate from ownership in the Lot.

SECTION 3. Association's Right of Entry. The authorized representatives of the Association or the Board shall be entitled to reasonable access to the individual Lots as may be required to

correct any existing violation of the provisions of this Declaration, or in connection with the preservation of any individual Unit or in the event of an emergency, or in connection with maintenance of, repairs or replacements within the Units or Common Elements, or any equipment, facilities or fixtures affecting or serving the other Unit or Common Elements, or to make any alteration required by any governmental authority.

ARTICLE III

MEMBERSHIP AND VOTING RIGHTS

SECTION 1. Every owner of a Lot which is subject to a lien for assessments shall be a Member of the Association. Membership shall be appurtenant to and may not be separated from ownership of any Unit which is subject to assessment.

SECTION 2. The Association shall have two classes of voting membership.

A. Class A. Class A shall be all Owners with the exception of the Declarant and each shall be entitled to ONE vote for each Lot owned. When more than one person or entity holds an interest in any Lot, all such persons must agree must collectively agree on how that Lot is to cast its vote, which shall be ONE vote. No fractional votes, within the ownership of a Lot, shall be cast.

B. Class B. The Class B Member(s) shall be the Declarant and it shall be entitled to three (3) votes for each Lot owned (developed, platted but unsold). The Class B membership shall cease and be converted to Class A membership upon the happening of any of the following events, which ever occurs earlier:

(a) When the total Votes outstanding in th Class A membership equal the total Votes outstanding in the Class B membership, or

(b) Five years from the date of the sale of the first Lot to an Owner other than Declarant, or

(c) One hundred sixty-eight (168) of the projected Lots to be developed and sold have been sold by the Declarant.

ARTICLE IV

COVENANTS FOR MAINTENANCE ASSESSMENTS

SECTION 1. Creation of the Lien and Personal Obligation of Assessments. The Declarant, for each Lot owned within the Properties, does hereby covenant, and each Owner for any Lot, by acceptance of a deed therefor, whether or not it shall be so expressed in such deed, is deemed to covenant and agree to pay to the Association:

- (a) annual assessments or charges, and
- (b) special assessments for capital improvements, such assessments to be established and collected as hereinafter provided.

The annual and special assessments, together with interest, costs and reasonable attorney's fees, shall be a charge on the land, and shall be a continuing lien upon the property against which each such assessment is made. Each such assessment, together with interest, costs and reasonable attorney's fees, shall also be the personal obligation of the person who was the Owner of such property at the time when the assessment fell due. The personal obligation for the delinquent assessments shall not pass to his successors in title unless expressly assumed by them.

SECTION 2. Purpose of Assessments. The assessments levied by the Association shall be used exclusively to promote the recreation, health, safety and welfare of the residents of the Property, and in particular for the acquisition, improvement and maintenance of properties, services and facilities devoted to this purpose, or for the use and enjoyment of the Common Area, including but not limited to, the costs of repairs, replacements and additions, the cost of labor, equipment, materials, management and supervision, the payment of taxes assessed against the Common Area, the procurement and maintenance of insurance in accordance with the By-Laws, the employment of attorneys to represent the Association when necessary, and such other needs as may arise.

SECTION 3. Maximum Annual Assessment. Until January 1, 2001, the maximum annual assessment shall be TWO HUNDRED TWENTY-TWO and 12/100 (\$222.12) DOLLARS per Unit.

- (a) From and after January 1, 2001, the maximum annual assessment may be increased each year not more than 10% above the maximum assessment for the previous year without a vote of the membership; or
- (b) From and after January 1, 2001, the maximum annual assessment may be increased above 10% by a vote of

at least a majority of members who are voting in person or by proxy, at a meeting duly called for this purpose.

(c) The Board of Directors may fix the annual assessment at an amount not in excess of the maximum.

SECTION 4. Payable Annual Assessment. The Board of Directors shall fix the payable annual assessment at an amount not in excess of the maximum annual assessment, subject to the provisions of Sections 7 and 8 of this Article.

SECTION 5. Special Assessments for Capital Improvements. In addition to the annual assessment authorized above, the Association (acting by and through the Board) may levy, in any calendar year, a special assessment applicable to that year only for the purpose of defraying in whole or in part, the costs of any construction, reconstruction, repair or replacement of a capital improvement upon the Common Area, including fixtures and personal property related thereto, provided that any such assessment shall have the assent of a majority of the votes of eligible Members who are voting in person or by proxy at a meeting duly called for this purpose. All special assessments shall be fixed at a uniform rate for all Units and may be collected on a monthly basis, without additional fee or cost to such members paying on a monthly basis.

SECTION 6. Rate of Annual Assessment. Annual assessment must be fixed at a uniform rate for all Units and may be collected on a monthly basis. The books and records for the Association will be kept in such a manner that it is possible to determine and ascertain (i) such sums as are expended by the Association for development, improvement, maintenance and upkeep of all recreational facilities of the Association, and (ii) such sums as are expended for other purposes.

SECTION 7. Date and Commencement of Annual Assessments; Due Dates. The annual assessments provided for herein shall commence as to all Lot(s) on the first day of the month following the conveyance of the first Lot in Village III. The first annual assessment shall be adjusted according to the number of months remaining in the calendar year. At least thirty (30) days in advance of each annual assessment period, the Board of Directors shall fix the amount of the annual assessment to every Owner subject thereto. Written notice of such assessment shall be sent to every Owner subject thereto at least thirty (30) days in advance of each annual assessment period. The due dates shall be established by the Board of Directors. The Association shall, upon demand, and for a reasonable charge, furnish a certificate signed by an officer of the Association setting forth whether the assessments on specified Lot(s) have been paid. A properly executed certificate of the Association as to the status of the assessments on a Lot is binding upon the Association as of the date of its issuance.

SECTION 8. Effect of Nonpayment of Assessments; Remedies of the Association. Any assessment not paid within thirty (30) days after the due date shall bear interest from the due date at the then maximum applicable formula rate of interest legally chargeable under Title 47, Chapter 14, Sections 101 et seq., Tennessee Code Annotated, as it may be amended from time to time, on a per annum basis until reinstatement or the completion of foreclosure. The Association may bring an action at law against the Owner personally obligated to pay the same or foreclose the lien against the property, and interest, costs and reasonable attorney's fees of such action or foreclosure shall be added to the amount of such assessments. No owner may waive or otherwise escape liability for the assessment provided for herein by non-use of the Common Area or abandonment of his Unit or Lot.

SECTION 9. Subordination of the Lien to Mortgages. The liens provided for herein shall be subordinate to the lien of any first mortgage. Sale or transfer of any Lot shall not affect the assessment lien or liens provided for in the preceding section. However, the sale or transfer of any Unit which is subject to any first mortgage or deed of trust, pursuant to a foreclosure thereof or any proceeding in lieu of foreclosure thereof, shall extinguish the lien of such assessments as the payment thereof which become due prior to such sale or transfer (provided, that such unpaid assessment shall be reallocated among the other Units). No such sale or transfer shall relieve such Lot from liability for any assessments thereafter becoming due or from the lien thereof.

SECTION 10. Exempt Property. All property dedicated to, and accepted by, a local public authority and all properties owned by a charitable or non-profit organization exempt from taxation by the laws of the State of Tennessee shall be exempt from the assessments created herein [unless there is a Common Element contained within the boundaries of a Lot, in which event that particular Lot Owner shall be responsible for any state or local taxes]. However, no land or improvements devoted to dwelling use or access thereto shall be exempt from said assessments in any case.

SECTION 11. Capital Replacement Reserve Equal to Three Months' Maintenance Fees to be Collected at Initial Closings. As builders sell Lots to residential purchasers, those builders shall collect for the Association and such purchaser shall pay to the Association, a sum of money equal to three months' maintenance fees, and that sum shall be delivered to the Association promptly after such residential lot closing. Any sums collected from such builders by the Association when they purchased a particular Lot(s) for construction, shall then be refunded to such builder. Such sums shall be held by the Association in a separate line item account, to be spent only on replacements or maintenance of capital items.

ARTICLE V

MAINTENANCE, REPAIRS AND REPLACEMENTS

Each Owner, at his own expense, shall furnish and be responsible for all maintenance of, repairs to and replacements within his own Lot or exclusively serving his own Lot ("Unit Fixtures") or the Board may cause the same to be done at the expense of the Owner. Maintenance of, repairs to and replacements to the Common Elements, except those referred to elsewhere herein, shall be the responsibility of and shall be furnished by the Association. The cost of maintenance of, repairs to and replacements to the Common Elements shall be part of the common expenses, subject to the By-Laws, rules and regulations of the Association. The expenses for the maintenance, repair or replacement of Unit Fixtures shall be borne by the owner of the Lot to which such Unit Fixtures are appurtenant and at the discretion of the Board, maintenance of, repairs to and replacements within the other Unit Fixtures may be assessed in whole or in part to Owners benefitted thereby. And, further, at the discretion of the Board, the Board may direct Owners who stand to be directly benefitted by such maintenance of, repairs to and replacement of abutting Common Elements to arrange for such maintenance, repairs and replacement in the name and for the account of such benefitted Owners, pay the cost thereof with their own funds, and procure and deliver to the Board such indemnities, lien waivers and contractor's and subcontractor's sworn statements as may be required to protect the Property from all furnishers', mechanics' or materialmen's lien claims that may arise therefrom. All decks, patios and backyards shall be the maintenance, repair and replacement responsibility of the individual Owner to which they attach.

If, due to the act or neglect of an Owner, or of his agent, servant, tenant, family member, invitee, licensee or household pet, damage shall be caused to the Common Elements or to a Lot or Unit owned by others, or maintenance, repair or replacement are required which would otherwise be a common expense, then such Owner shall pay for such damage or such maintenance, repair and replacements, as may be determined by the Association, to the extent not covered by the Association's insurance or sufficient proceeds are not collected from the insurance carrier.

The authorized representative of the Association or the Board shall be entitled to reasonable access to the individual Units and/or Lots as may be required in connection with the preservation of any individual Unit in the event of an emergency, or in connection with maintenance of, repairs or replacements within the Common Elements or any equipment, facilities or fixtures affecting or serving other Lots or Units or the Common Elements or to make any alteration required by any governmental authority.

ARTICLE VI

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ARTICLE VII

INSURANCE

SECTION 1. Casualty Insurance on Insurable Area. The Association shall keep all insurable improvements and fixtures of the Common Area insured against loss or damage by fire for the full insurance replacement cost thereof, and may obtain insurance against such other hazards and casualties as the Association may deem desirable. The Association may also insure any other property whether real or personal, owned by the Association, against loss or damage by fire and such other hazards as the Association may deem desirable, with the Association as the owner and beneficiary of such insurance. The insurance coverage with respect to the Common Area shall be written in the name of, and the proceeds thereof shall be payable to the Association. Insurance proceeds shall be used by the Association for the repair or replacement of the property for which the insurance was carried. Premiums for all insurance carried by the Association are Common Expenses included in the Common Assessments made by the Association.

The Association shall have a duty to maintain in effect casualty and liability insurance and fidelity bond coverage, as specified in Section 106 of the FNMA Conventional Home Mortgage Selling Contract Lending Guide (herein referred to as the "FNMA Lending Guide").

The Board shall also have authority to and shall obtain comprehensive public liability insurance, in such amounts as it deems desirable, and workmen's compensation insurance and other liability insurance as it deems desirable, insuring each Owner, mortgagee of record, if any, the Association, its officers, directors, Board and employees from liability in connection with the Common Elements. The premiums for such insurance shall be a common expense. However, at the option of the Board, and upon written notice to all Owners, premiums for such insurance shall be separately billed to each Owner for his corresponding percentage of ownership in the Association. The Board shall retain in safekeeping any such public liability policy for fifteen (15) years after the expiration date of the policy.

The Board shall also have authority to and may obtain such insurance as it deems desirable, in such amounts, from such sources and in such forms as it deems desirable, insuring each member of the Board and officer of the Association, and member of any committee appointed pursuant to the By-Laws of the Association from liability arising from the fact that said person is or was director

or officer of the Association, or a member of such a committee. The premiums for such insurance shall be a common expense.

Each Owner shall be responsible for obtaining his own insurance on his or her Residence, the contents of his own Unit and the Unit Fixtures serving his Unit, as well as his additions and improvements thereto, decorating, furnishings, fixtures, and personal property therein, and personal property stored elsewhere on the Property. In addition, in the event an Owner desires to insure against his personal liability and loss or damage by fire or other hazards above and beyond the extent that his liability, loss or damage is covered by the liability insurance and insurance against loss or damage by fire and such other hazards which may be otherwise (but not otherwise required hereunder) obtained by the Board for all of the Owners as part of the common expenses, as above provided, said Owner may, at his option and expense, obtain additional insurance.

SECTION 2. Deficiency Assessment. In the event of damage to or destruction of any part of the Common Area Improvements, the Association shall repair or replace the same from the insurance proceeds available. If such insurance proceeds are insufficient to cover the costs of repair or replacement of the property damaged or destroyed, the Association may make a Reconstruction Assessment against the Owners directly affected by the casualty (as determined in the sole discretion of the Board) or against all Owners to cover the additional cost of repair or replacement not covered by the insurance proceeds, in addition to any other Common Assessments made against such Owner. In the event that the Association is maintaining blanket casualty and fire insurance on the Units, the Association shall repair or replace the same from the insurance proceeds available from insurance proceeds only.

SECTION 3. Annual Review of Policies. All insurance policies shall be reviewed at least annually by the Board of Directors in order to ascertain whether the coverage contained in the policies is sufficient to make any necessary repairs or replacement of the property which may have been damaged or destroyed.

SECTION 4. Notice to First Mortgagees. In the event of substantial damage to or destruction of any Unit or any part of the Common Elements, the institutional holder of any first deed of trust or mortgage on a Unit will be entitled to timely written notice of any such damage or destruction and no provision of any document establishing the Property will entitle the owner of a Unit or other party to priority over such institutional holder with respect to the distribution to such Unit of any insurance proceeds.

SECTION 5. Federal National Mortgage Association ("FNMA" Coverage). [This Section shall become effective and operational only if any of the residences and Lots should become encumbered by a first lien deed of trust or mortgage which is governed by FNMA].

The Association shall also have a duty to maintain in effect casualty and liability insurance and fidelity bond coverage, as specified in Section 106 of the FNMA Conventional Home Mortgage Selling Contract Lending Guide (herein referred to as the "FNMA Lending Guide"), a summary of which follows:

- .01 **General.** Each hazard insurance policy must be written by an insurance carrier acceptable to FNMA and which falls into a financial category, as designated in Best's Key Rating Guide, of Class VI or better. In lieu of Class VI or better designation, a Seller/Servicer may accept a reinsurance arrangement to be entered into whereby an insurer with a classification lower than Class VI is covered by reinsurance of a company that does meet FNMA's minimum requirements. This may be accomplished by having both insurance carriers execute and attach to each mortgagor's policy an Assumption of Liability Endorsement, FNMA Form 858, or an equivalent endorsement that provides for one hundred percent (100%) reinsurance of the policy and ninety (90) days notice of reinsurance termination.

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Where a reinsurer wishes to limit its per policy exposure, it may insist upon a dollar limitation being stated in the reinsurance endorsement. Such a limitation is acceptable to FNMA, provided the amount of insurance written under the policy does not exceed the limitations stated in the reinsurance endorsement.

In all cases, the primary insurer and the reinsuring company, association or organization must be specifically authorized by law or licensed by the jurisdiction to transact business within the state or territory where the property is located. In addition, policy contracts shall not provide that contribution or assessments may be made against FNMA or may become a lien on the property superior to the lien of FNMA's mortgage.

[Items .02 and .03 intentionally omitted]

- .04 **Planned Unit Development ("PUD") Projects:**
Perils Covered. The insurance policy shall

afford, as a minimum, protection against the following:

- a. loss or damage by fire and other perils normally covered by the standard extended coverage endorsement;
- b. all other perils which are customarily covered with respect to projects similar in construction, location and use, including all perils normally covered by the standard "all risk" endorsement, where such is available.

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.05 **Amount of Insurance.** The policy shall be in an amount equal to 100% of current replacement cost of the common areas in the Property, exclusive of land, foundation, excavation and other items normally excluded from coverage.

.06 **Named Insured and Loss Payable.** The name of the insured under such policies must be set forth therein substantially as follows:

"Association of Owners of the Winston Hills Homeowners Association for the use and benefit of the individual owners."

The policies may also be issued in the name of an authorized representative of the Association for the use and benefit of the individual owners. Loss payable shall be in favor of the Association, as a trustee for each Owner and each such Owner's mortgagee. Each Owner and each such Owner's mortgagee, if any, shall be beneficiaries of the policy in the percentage of common ownership or on the basis of another appropriate formula set out in the Declaration. Evidence of insurance shall be issued to each Owner and mortgagee upon request.

.07 **Unacceptable Policies.** Policies are unacceptable where (a) under the terms of the insurance carrier's charter, bylaws, or policy, contributions or assessments may be made against the Association, borrowers, FNMA, or the designee of FNMA, or (b) by the terms of the carrier's charter, bylaws or policy, loss payments are contingent upon action by the

carrier's board of directors, policyholders, or members, or (c) the policy includes any limiting clauses (other than insurance conditions) which could prevent FNMA or the borrowers from collecting insurance proceeds.

- .08 **Notice of Cancellation or Modification.** Policies may not be canceled or substantially modified without at least 10 days' prior written notice to the Association and to each holder of a first mortgage which is listed as a scheduled holder of a first mortgage in the insurance policy.

- .09 **Property Insurance - Special Endorsements.**

- a. **Projects.** Policies must provide for the following: a waiver of the right of subrogation against Owners individually; the insurance is not prejudiced by any act or neglect of individual Owners which is not in the control of such Owners collectively; and the policy is primary in the event the Owner has other insurance covering the same loss. The requirements stated in this paragraph are generally provided by the insurer in the form of a "Special Condominium or PUD Endorsement" or its equivalent.

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- .10 **Flood Insurance:** Where the Property is located within an area which has special flood hazards and for which flood insurance has been made available under the National Flood Insurance Program (NFIP), the following requirements apply:

- (1) Flood insurance requirements for unit properties located in the Property are the same as those for other home mortgages.
- (2) The Association must be required by the terms of the constituent documents hereof to obtain and pay, as a common expense, the premiums upon a policy of flood insurance on buildings and any other common property covered by the required form of policy (herein "insurable

property"), in an amount deemed appropriate, but not less than the following:

The lesser of: (a) the maximum coverage available under the NFIP for all buildings and other insurable property within any portion of the common areas located within a designated flood hazard area, or; (b) 100% of current "replacement cost" of all such buildings and other insurance property.

.11 Liability Insurance.

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- a. **General.** The Association must be required either by the terms of the constituent documents or by applicable law, to maintain comprehensive general liability insurance coverage covering all of the common areas, public ways of the project, and commercial spaces owned by the Association, whether or not they are leased to some third party.
- b. **Amount and Scope of Insurance.** Coverage limits shall be in amounts generally required by private institutional mortgage investors for projects similar in construction, location and use. However, such coverage shall be for at least \$1,000,000 for bodily injury, including deaths of persons and property damage arising out of a single occurrence. Coverage under this policy shall include, without limitation, legal liability of the insureds for property damage, bodily injuries and deaths of persons in connection with the operation, maintenance or use of the Units and common areas, and legal liability arising out of law suits related to employment contracts of the Association.
- c. **Notice of Cancellation or Modification.** Such policies must

provide that they may not be canceled or substantially modified, by any party, without at least 10 days' prior written notice to the Association and, to each holder of a first mortgage which is listed as a scheduled holder of a first mortgage in the insurance policy.

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- d. **Supplemental Coverage.** Additional coverages may be required to include protection against such other risks as are customarily covered with respect to projects similar in construction, location and use, including but not limited to, host liquor liability, contractual and all-written contract insurance, employers liability insurance and comprehensive automobile liability insurance.

.12 Fidelity Bonds.

- a. **General.** By the terms of the appropriate constituent document, blanket fidelity bonds shall be required to be maintained by the Association for all officers, directors, trustees and employees of the Association and all other persons handling or responsible for funds of or administered by the Association.

SECTION 6. Other Insurance. The Board shall also have authority to and shall obtain any other insurance coverage, including comprehensive public liability insurance, in such amounts as it deems desirable, and workmen's compensation insurance and other liability insurance as it deems desirable, insuring each Owner, mortgagee of record, if any, the Association, its officers, directors, Board and employees from liability in connection with the Units and Common Elements. The premiums for such insurance shall be a common expense. However, at the option of the Board, and upon written notice to all Owners, premiums for such insurance shall be separately billed to each Owner for his corresponding percentage of ownership in the Association.

ARTICLE VIII

EASEMENTS

Easements against subsidence and for installation and maintenance of utilities and drainage facilities are reserved as shown on the Plat. Within these easements no structure, planting or other material shall be placed or permitted to remain which may interfere with the installation and maintenance of utilities, or which may change the direction of flow of drainage channels in the easements, or which may obstruct or retard the flow of water through drainage channels in the easements, or which would dislodge or disturb the rock walls or holding walls. The Board may grant exceptions to these rules.

ARTICLE IX

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GENERAL PROVISIONS

SECTION 1. Enforcement. The Association, or any Owner, shall have the right to enforce, by any proceeding at law or in equity, all restrictions, conditions, covenants, reservations, liens and charges now or hereafter imposed by the provisions of the Declaration. Failure by the Association or any Owner to enforce any covenant or restriction herein contained shall in no event be deemed a waiver of the right to do so thereafter.

SECTION 2. Severability. Invalidation of any one of the covenants or restrictions by judgment or court order shall in no way affect any other provisions which shall remain in full force and effect.

If any provision of the Declaration or By-Laws, or any section, sentence, clause, phrase, word, or the application thereof in any circumstance, is held invalid, the validity of the remainder of this Declaration and the By-Laws and of the application of any such provision, section, sentence, clause, phrase or word in any other circumstances shall not be affected thereby and the remainder of this Declaration or the By-Laws shall be construed as if such invalid part was never included therein.

SECTION 3. Amendment.

A. Duration. The covenants and restrictions of this Declaration shall run with and bind the land for a term of thirty (30) years from the date this Declaration is recorded, after which time they shall be automatically extended for six (6) successive periods of ten years each. This Declaration may be changed, modified or rescinded during the first thirty (30) year period by an instrument in writing, setting forth such change, modification or rescission, signed by not less than all of the Owners then eligible to vote, and acknowledged, and thereafter, by an instrument signed by all of such Owners, provided that no amendment shall alter any obligation to pay ad valorem taxes or assessments for public improvements as

herein provided, or affect any lien for the payment thereof established herein, and provided that all lien holders of record have been notified by certified mail of such change, modification or rescission, and an affidavit by the secretary of the Association certifying to such mailing is made a part of such instrument. Any amendment must be properly recorded.

B. Supermajority Requirements. However, if the Declaration or the By-Laws require the consent or agreement of all Owners or of all lien holders for any action specified in this Declaration, then any instrument changing, modifying or rescinding any provision of this Declaration with respect to such action shall be signed by all the Owners or all lien holders or both as required by the Declaration. The change, modification or rescission, whether accomplished under either of the provisions of these paragraphs, shall be effective upon recording of such instrument in the Office of the Register of Deeds of Sumner County, Tennessee.

C. Subjection / Submittal of Adjacent Property Owned by the Declarant. Anything herein to the contrary notwithstanding, the Declarant (or its successors or assigns in title) may subject and/or submit additional Villages or Phases of Lots to the Association and to this Declaration, as long as the newly submitted Lots/Phase of development are a part of the general plan for the property which the Declarant has proposed and has received approval for from the appropriate Planning Commission, such property consisting of this Village III and adjacent property which the Declarant now owns and which has been approved for development as a planned unit development (with Village III) by the appropriate Planning Commission or public authority. Such subjection and/or submission may be accomplished by the Declarant (or its successors or assigns in title) acting alone, and without the permission, consent or joinder of any other party, including, but not limited to, the Association, any Homeowner, or any mortgagee.

SECTION 4. Encroachment. It is understood that Residences which are next door to each other and which may have a portion of the residence or walls, or equipment which is necessary for the operation of the residence, or the walls, or a driveway serving the residence next door, may be placed upon a Lot dividing line, which neighboring residence or equipment or walls or a driveway serving the residence next door may encroach on such adjoining Lot due to construction or other reasons. Accordingly, an easement is reserved for such encroachments which may result from such construction or other reasons, whether the same now exist or may be caused or created by construction, settlement, or movement of the residences, or such equipment, or such walls, or such driveways, by permissible repairs, construction or alteration.

SECTION 5. Alterations, Additions or Improvements. Anything herein to the contrary notwithstanding, alterations of the exterior of any Unit, or any additions or improvements thereto, may not be made by any Owner without the prior written approval of the Board.

The Board may authorize and charge as common assessments, alterations, additions and improvements of the Common Elements as provided in the By-Laws.

SECTION 6. Decorating. Each Owner, at his own expense, shall furnish and be responsible for all decorating within and outside his or her own Unit.

SECTION 7. Non-Liability of the Directors, Board and Officers. Neither the directors, Board, nor the officers of the Association, shall be personally liable to the Owners for any mistake of judgment or for any other acts or omissions of any nature whatsoever as such directors, Board, or officers, except for any acts or omissions found by a court to constitute gross negligence or actual fraud. The Owners shall indemnify and hold harmless each of the directors, Board, or officers, and their respective heirs, executors, administrators, successors and assigns in accordance with the By-Laws.

SECTION 8. Board's Determination Binding. In the event of any dispute or disagreement between any Owners relating to the Property, or any questions of interpretation or application of the provisions of the Declaration or By-Laws, the determination thereof by the Board shall be final and binding on each and all such Owners.

SECTION 9. Notices. Notices provided for in the Declaration or By-Laws shall be in writing, and shall be addressed to the Association or Board, or any Unit Owner, as the case may be, at their respective street addresses on Caudill Drive, Hendersonville, Tennessee, or at such other address as hereinafter provided. The Association or Board may designate a different address or addresses for notices to them, respectively, by giving written notice of such change of address to all Owners. Any Owner may designate a different address for notices to him (other than to his or her Unit) by giving written notice to the Association. Notices addressed as above shall be deemed delivered when mailed by United States registered or certified mail, or when delivered in person with written acknowledgment of the receipt thereof.

Upon written request to the Board, the holder of any recorded mortgage or trust deed encumbering any Unit shall be given a copy of all notices permitted or required by this Declaration to be given to the Owner or Owners whose Lot is subject to such mortgage or trust deed.

Upon written request to the Association, identifying the name and address of the holder, insurer or guarantor and the Lot estate number or address, any such eligible mortgage holder or eligible insurer or guarantor will be entitled to timely written notice of:

- (a) Any condemnation loss or any casualty loss which affects a material portion of the project or any

Lot estate on which there is a first mortgage held, insured, or guaranteed by such eligible mortgage holder or eligible insurer or guarantor, as applicable;

(b) Any delinquency in the payment of assessments or charges owed by an owner of a unit estate subject to a first mortgage held, insured or guaranteed by such eligible holder or eligible insurer or guarantor, which remains uncured for a period of 60 days;

(c) Any lapse, cancellation or material modification of any insurance policy or fidelity bond maintained by the Association;

(d) Any proposed action which would require the consent of a specified percentage of mortgage holders.

SECTION 10. Transfer of a Unit - Notice to Association.

A. Unrestricted Transfers. An Owner may, without restriction under this Declaration, sell, give, devise, lease or otherwise transfer his Unit, or any interest therein, to any person.

B. Association's Right to Purchase at a Foreclosure Sale. The Board shall have the power and authority to bid and purchase, for and on behalf of the remaining Owners, any Unit, or interest therein, at a sale pursuant to a deed of trust or mortgage foreclosure, or an order or direction of a court, or at any other involuntary sale, upon the consent or approval of a majority of Owners. However, at a foreclosure of the lien for common expenses, the Board may bid the unpaid assessment allocable to that Unit, without approval of Unit Owners.

C. Financing of Purchase by Association. The Board shall have authority to make such mortgage arrangements and special assessments proportionately among the respective Owners, and other such financing arrangements, as the Board may deem desirable, in order to close and consummate the purchase or lease of a Unit, or interest therein, by the Association. However, no such financing arrangement may be secured by an encumbrance on any interest in the Property other than the Unit, or interest therein, to be purchased or leased, and the percentage interest in the Association appurtenant thereto.

D. Miscellaneous. (a) A transfer or lease of a Unit, or interest therein, by or to the Board or the holder of any deed of trust or mortgage (or purchaser at foreclosure) on a Unit which comes into possession of the mortgagee of a Lot pursuant to remedies provided in such deed of trust or mortgage, or pursuant to foreclosure of such deed of trust or mortgage, or pursuant to a deed (or assignment) in lieu of foreclosure of such deed of trust

or mortgage, shall not be subject to the provisions of this Section. The provisions of this Section shall in no way impair the rights of a first mortgagee to any of the following:

1. Foreclose or take title to a Lot pursuant to the remedies provided in the mortgage, or
2. Accept a deed (or assignment) in lieu of foreclosure in the event of default by a mortgagor, or
3. Sell or lease a Lot acquired by the mortgagee.

If the occasion arises, The Association shall hold title to or lease any Lot, pursuant to the terms hereof, in the name of the Association, or a nominee thereof delegated by the Board, for the sole benefit of all remaining Owners. The Board shall have the authority at any time to sell, lease or sublease said Lot on behalf of the Association upon such terms as the Board shall deem desirable, but in no event shall a Lot be sold for less than the amount paid by the Association to purchase said Unit unless Owners owning at least fifty (50%) percent of the total ownership of the Association first authorize the sale for such lesser amount.

(b) All notices referred to or required under this Section shall be given in the manner provided in this Declaration for the giving of notices.

(c) The provisions of this Section with respect to the Association's right shall be and remain in full force and effect until the Property as a whole shall be sold unless the provisions of this Paragraph are sooner rescinded or amended by the Owners.

(d) The Board may adopt rules and regulations, from time to time, not inconsistent with the provisions of this Section, for the purpose of implementing and effectuating said provisions.

(e) If any transfer or lease of a Unit is made or attempted without complying with the provisions of this Paragraph, such transfer or lease shall be subject to each and all of the rights of, and remedies and actions available to, the Association hereunder and otherwise.

SECTION 11. Perpetuities and Restraints on Alienation. If any of the options, privileges, covenants or rights created by this Declaration shall be unlawful, void or voidable for violation of the rule against perpetuities, then such provision shall continue only until twenty-one (21) years after the death of the survivor of the now living descendants of the Governor of Tennessee, Don Sundquist.

SECTION 12. Rights and Obligations. Each Grantee of the Declarants, by the acceptance of a deed of conveyance accepts the same subject to all restrictions, conditions, covenants,

reservations, liens and charges, and the jurisdiction, rights and powers created or reserved by this Declaration. All future Owners and Occupants shall be subject to and shall comply with the provisions of this Declaration. All rights, benefits and privileges of every character hereby imposed shall be deemed and taken to be covenants running with the land, and shall bind any person having at any time any interest or estate in said land, and shall inure to the benefit of such grantee in like manner as though the provisions of this Declaration were recited and stipulated at length in each and every deed of conveyance or contract for conveyance.

All present and future Owners, tenants and Occupants of a Unit shall be subject to, and shall comply with, the provisions of the By-Laws appended hereto and recorded herewith. The acceptance of a deed of conveyance devise or of a lease to a Unit, or the entering into occupancy of any Unit shall constitute an agreement that the provisions of the said By-Laws and any Rules and Regulations promulgated thereunder, as they may be amended from time to time, are assumed, accepted and ratified by such Owner, tenant or occupant, and all of such provisions shall be deemed and taken to be covenants running with the land and shall bind any person having at any time any interest or estate in such Unit, as though such provisions were recited and stipulated at length in each and every deed, conveyance or lease, thereof.

The terms and conditions of the Declaration, By-Laws and Rules and Regulations may be incorporated by reference in, and become part of, the agreement between any first mortgagee and any present or future Owner who enters into such an agreement with a first mortgagee. When so incorporated, any default in the terms and conditions of the Declaration, By-Laws and Rules and Regulations may be considered as a default by the first mortgagee, whereupon said first mortgagee, after exercising its option to declare a default, shall then have all of the rights and privileges arising as a result of a default under its agreement with said Owner.

SECTION 13. Separate Real Estate Taxes. Real estate taxes shall be separately taxed to each Owner for his Lot and his corresponding percentage of ownership in the Association (if any taxes are assessed thereon). In the event that such taxes for any year are not separately taxed to each Owner, but rather are taxed on the Property as a whole, then each Owner shall pay his proportionate share thereof in accordance with his respective percentage of ownership interest in the Association.

SECTION 14. Condemnation. In the event of a taking in condemnation or by eminent domain of a part of the Common Elements, the award made for such taking shall be payable to the Board for and on behalf of the Association and/or the Owners directly affected thereby, as their interest may appear. If a majority of the Board in their sole and absolute discretion approve the repair and restoration of such Common Elements the Board shall arrange for

the repair and restoration of such Common Elements, and the Board shall disburse the proceeds of such award to the contractors engaged in such repair and restoration in appropriate progress payments. In the event that the Board does not approve the repair and commence restoration of Common Elements within 120 days after taking by the public or private authority, the Board shall disburse the net proceeds of such award on a fair and reasonable basis to the mortgagees directly affected by the condemnation and the balance to the Owners directly affected. The decision of the Board as to fairness and reasonableness shall be binding upon all parties if such decision reasonably relates to the given facts.

If any Unit or portion thereof or the Common Elements or any portion thereof is made the subject matter of any condemnation or eminent domain proceeding or is otherwise sought to be acquired by a condemning authority, then the institutional holder of any first deed of trust or mortgage on a Lot directly affected will be entitled to timely written notice of any such proceeding or proposed acquisition and no provision of any document establishing the Property will entitle the owner of a Lot or other party to priority over such institutional holder with respect to the distribution to such Lot of the proceeds of any award or settlement.

SECTION 15. Rights Reserved. The Owner's right of enjoyment in the property commonly owned by the Association as herein created shall be subject to:

(a) The right of the Association (acting by and through the Board), as provided in its By-Laws, to suspend the enjoyment rights of any member for any period during which any assessment remains unpaid, and for such period as it considers appropriate for any infraction of its published rules and regulations; and

(b) The right of the Association (acting by and through the Board) to charge reasonable fees for the maintenance and/or use of the parts of the Common Elements.

SECTION 16. Remedies. [This Section is intentionally reserved].

SECTION 17. Federal Home Loan Mortgage Corporation Regulations, etc. [This Section shall become effective and operational only if any of the residences and Lots should become encumbered by a first lien deed of trust or mortgage which is governed by **Federal Home Loan Mortgage Corporation Regulations**]. Notwithstanding anything to the contrary contained in this Declaration, or in the By-Laws which are attached hereto, all terms, conditions and regulations which are now existing, or which may be amended from time to time, by the Federal Home Loan Mortgage Corporation pertaining to planned unit developments are hereby incorporated as terms and conditions of the Declaration and By-Laws and such shall be governing upon the Property and the Association.

Specifically, without limitation upon the foregoing, the following declarations shall be fully effective and controlling over any terms of the Declaration or By-Laws which are in conflict. Any portions of such Declaration or By-Laws which are in conflict with this Section, or with any portion of Federal Home Loan Mortgage Corporation or the Federal National Mortgage Association regulations pertaining to planned unit developments are hereby deleted, such regulations are substituted herefor and to the extent that it is necessary to amend this instrument so that the Seller's Warranties will be deemed to be true (as defined in the Sellers Guide, issued by the Federal Home Loan Mortgage Corporation, Part III, Subsection 3.207), then this instrument and the accompanying By-Laws shall be deemed to be so amended to conform thereto, and so that the legal guidelines and underwriting standards set forth in Sections 401 through 611 of the "FNMA Lending Guide" shall be incorporated herein by reference, and any conflicting provisions herein shall be deemed to be amended to conform thereto, anything herein to the contrary notwithstanding. The following additional rights of mortgagees are itemized as follows:

(a) A first mortgagee of a Unit at his request is entitled to written notification from the Association of any default by the mortgagor of such Unit in the performance of such mortgagor's obligations under the Declaration, By-Laws, or any of the documents, which is not cured within thirty (30) days.

(b) Any first mortgagee of a Unit who comes into possession of the Unit pursuant to the remedies provided in the mortgage, deed of trust, foreclosure of the mortgage or deed of trust, or deed in lieu of foreclosure shall take the property free of any claims for any unpaid assessments or charges against the mortgaged Unit, which accrue prior to the time such holder comes into possession of the Unit (except for claims for a prorata share of such assessments or charges resulting from a prorata reallocation of such assessments or charges to all Units including the mortgaged Unit).

(c) Unless at least seventy-five (75%) percent of the first mortgagees (based upon one (1) vote for each mortgage owned) of Units have given their prior written approval, the Association shall not be entitled to:

(i) Change the prorata interest or obligations of any Unit for (a) purposes of levying assessments or charges or allocating distributions of hazard insurance proceeds or condemnation awards and for (b) determining the prorata share of each Unit in the Association.

(ii) Use hazard insurance proceeds for losses to any property (whether to individual Units or Common Elements) for other than the repair, replacement, or reconstructions of such improvements, in case of substantial loss to the Units and/or Common Elements.

(iii) Amend the Declaration, By-Laws or survey in such a manner as to adversely affect the rights or security enjoyed by a first mortgage lien holder.

(d) First mortgagees shall have the right to examine the books and records of the Association and/or the Property; and upon request, be permitted or entitled to receive an annual audited financial statement of the Property within 90 days following the end of any fiscal year of the Property; and written notice of all meetings of the Association and be permitted to designate a representative to attend all such meetings.

(e) An adequate reserve fund for the replacement of Common Elements will be established and funded by regular monthly payments rather than by special assessments.

(f) All taxes, assessments and charges which may become liens prior to the first mortgage under the laws of the State of Tennessee shall relate only to the individual Unit and not to the project as a whole.

(g) No Owner, or any other party shall have priority over any rights of the first mortgagees of Units pursuant to their mortgages in the case of a distribution to Owners of insurance proceeds or condemnation awards for losses to or a taking of Units and/or Common Elements.

(h) The Association shall give to the Federal Home Loan Mortgage Corporation and the Federal National Mortgage Association or any lending institution servicing such mortgages as are acquired by the Federal Home Loan Mortgage Corporation and the Federal National Mortgage Association, notice in writing of any loss to or the taking of, the Units or the Common Elements of the project if such loss or taking exceeds Ten Thousand Dollars (\$10,000). The Association may rely upon the information contained in the book entitled "Mortgages of Units" as must be established pursuant to the By-Laws, for a list of mortgagees to be notified hereby. All first mortgagees shall register with the "Book of Mortgages".

(i) The interest of a first mortgagee in a mortgaged Unit shall be superior to the interests of any other person, group, partnership, corporation or entity of any kind, including any interest the Board or any Owner may have in any portion of the premises, regardless of the nature of the interest or the manner in which it is acquired.

(j) Notwithstanding the above, any first mortgagee shall have all of the rights granted to a first mortgagee herein, and in addition shall have all of the rights granted to an institutional first mortgagee under its Deed of Trust, and under the Laws of the State of Tennessee.

(k) To the extent that the Federal National Mortgage Association shall have an interest in, or be the owner of, or participate in, any first mortgages or deeds of trust affecting any of the Units, then:

(1) Any lien of the Association resulting from nonpayment of assessments against a unit must be subordinate to the first mortgage or deed of trust lien against that unit.

(2) An adequate reserve fund for replacement of common element components must be established, which must be funded by monthly payments rather than extraordinary special assessments. A working capital fund shall be established for the initial months of the operation equal to at least a two months' established common expense charge for each unit. Each unit's share of the working capital fund must be collected and transferred to the Association at the time of closing of the sale of each unit and maintained in a segregated account for the use and benefit of the Association. The purpose of the fund is to insure that the Association's Board of Directors will have cash available to meet unforeseen expenditures, or to acquire additional equipment or services deemed necessary or desirable by the Board. Amounts paid into the fund are not to be considered as advance payment of regular assessments.

(3) The Association shall give the holders of first deeds of trust and mortgages prompt notice of any default in the Unit mortgagor's obligations under the documents not cured within 30 days of default.

(4) The holders of first deeds of trust or mortgages shall have the right to examine the books and records of the Association and to require annual reports and other financial data.

(5) A reasonable method for dealing with any condemnation of the Property shall be provided, specifying written notice to first mortgagees of any such proceedings and not disturbing mortgagee's first lien priority.

(6) The Association shall have the right to maintain existing improvements regardless of any present or future encroachments of the common elements or a Unit upon another Unit.

(7) The unit shall not be subject to any unreasonable restraints on alienation which would adversely affect the title or marketability of the unit, or the ability of the mortgage holder to foreclose its

first mortgage lien and thereafter to sell or lease the mortgaged unit.

(8) Appropriate fidelity bond coverage must be required for any person or entity handling funds of the Association, including, but not limited to, employees of the professional managers.

SECTION 18. Adoption of Declaration. Accordingly, the Declarants hereby adopt this Declaration of Covenants, Conditions and Restrictions, and all Exhibits hereto attached.

Each Lot Owner, whether existing or in the future, does hereby make, constitute and appoint Declarant his or her true and lawful attorney-in-fact for the sole purpose of amending said Declaration, By-Laws and corporate charter in order to: (1) correct drafting and/or scrivener's errors, or (2) conform this Declaration to FNMA and/or FHLMC regulations or requirements, as fully as if such Lot Owner had joined herein in person. No joinder of any Lot's first mortgagee shall be required for this purpose, so long as the Lot Owner's interest as a member of the Association is not reduced and his ownership in the Lot is not changed. This power of attorney is given for value, is irrevocable and shall survive the death or disability of all Unit Owners their successors and assigns.

Declarant agrees, for itself and its successors and assigns, that any requirements of City of Hendersonville, Tennessee, dealing with the establishment of an Association and the ownership and maintenance of "common open space," and the possibility that if an Association does not maintain the common open space in reasonable order and condition in accordance with the requirements of the City, shall become the obligations and duties of the Association.

Declarant agrees, for itself and its successors and assigns, and any Owner agrees that it /he/she will abide by and perform each and every requirement contained in the "Winston Hills Development Guidelines" set out and attached hereto as Exhibit D (the "Guidelines"). All requirements set out in the Guidelines shall be deemed to be material and bargained for in the sale and purchase of Lots. The failure to comply with any such Guideline, as interpreted by the Development Review Committee (in its sole and absolute discretion), or its successor, shall result in a disapproval of the requested Lot plans. If any Owner should violate any such approval by the Development Review Committee, or if an Owner should develop a Lot without having the requisite approval from the Development Review Committee. Unless the Declarant expressly assigns the right, no party other than the Declarant or the Development Review Committee shall have standing to enforce the Guidelines. Enforcement of the Guidelines shall expire on the 120th month after the date hereof.

[Signature Page follows]

IN WITNESS WHEREOF, the undersigned, being the Declarant herein, has caused this instrument to be executed by its duly authorized officer, as of this the 27 day of May, 1999.

DECLARANT AND MASTER DEVELOPER:

RBAG/PRESTON - WINSTON HILLS, L.L.C., a Delaware limited liability company

By: MIXED TN - RBAG, L.L.C., a Delaware limited liability company, its member

By: PS/MS - Bellevue, L.L.C., a manager

By: Chickee, L.L.C., its manager

By: [Signature]
Name: Mark W. Morgan
Title: Vice Managing Member

By: PS/MS - Cash, L.L.C., a manager

By: Chickee, L.L.C., its manager

By: [Signature]
Name: Mark W. Morgan
Title: Vice Managing Member

By: PS/MS - Bellevue, L.L.C., a Virginia limited liability company, its manager

By: Chickee, L.L.C., its manager

By: [Signature]
Name: Mark W. Morgan
Title: Vice Managing Member

ACKNOWLEDGMENTS

STATE OF Tennessee)
) SS:
COUNTY OF DAVIDSON)

On MAY 27, 1999, before me, TERRI L. HAZZARD a Notary Public in and for the said State and County, personally appeared Mark W. Morgan, with whom I am personally acquainted (or proved to me on the basis of satisfactory evidence) and who, upon oath, acknowledged himself to be the Vice Managing Member of CHICKEE, L.L.C., a Virginia limited liability company, the manager of (i) PS/MS CASH, L.L.C., a Virginia limited liability company, the manager of RBAG/Preston-Winston Hills, L.L.C., a Delaware limited liability company, the within named bargainor; and a manager of MIXED TN - RBAG, L.L.C., a Delaware limited liability company, the sole member of RBAG/Preston-Winston Hills, L.L.C., and (ii) PS/MS-BELLEVUE, L.L.C., a Virginia limited liability company, a manager of MIXED TN - RBAG, L.L.C., and that he executed the foregoing instrument for the purposes therein contained, by signing the name of the limited liability company by himself as such Vice Managing Member.

WITNESS my hand and official seal.

 Signature: TERRI L. HAZZARD
My Commission Expires: 1-27-2001

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EXHIBIT "A"
TO DECLARATION

LEGAL DESCRIPTION
OF THE PROPERTY

Being land located in the S^W Civil District, Hendersonville, Sumner County, Tennessee, as shown on Plat of WINSTON HILLS [Village III], of record in Book 17, Page 374, Register's Office for Sumner County, Tennessee.

The above described property is encumbered by easements for sanitary sewer lines, landscaping, drainage, public utilities, underground electric service, and private paved areas for ingress-egress easements for the use and benefit of the Winston Hills Homeowners Association.

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EXHIBIT "B"
TO DECLARATION

LEGAL DESCRIPTION OF
THE COMMON AREAS
OR COMMON ELEMENTS

Being land located in the S^W Civil District, Hendersonville, Sumner County, Tennessee, as shown on Plat of WINSTON HILLS [Village III], of record in Book 17, Page 374, Register's Office for Sumner County, Tennessee.

HOWEVER, there is specifically EXCLUDED AND EXCEPTED from the above described property all numbered and platted lots and public utility easements as shown in plat of said lots and public streets as shown in plat of WINSTON HILLS [Village III], a Planned Unit Development, of record in Plat Book 17, Page 374, of the Register's Office for Sumner County, Tennessee, and to which plat reference is hereby made for more complete details as to location and description of said lot areas and public utilities and drainage easements.

The above described property is encumbered by easements for sanitary sewer lines, open space, detention area, landscaping, drainage, public utilities, underground electric service, and private paved areas for ingress-egress easements for the use and benefit of the WINSTON HILLS HOMEOWNERS ASSOCIATION.

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EXHIBIT D TO DECLARATION

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WINSTON HILLS

Development Guidelines

For:

Preston Street Midsouth

59 Caudill Drive
Hendersonville, Tennessee 37075
615-264-0160

Prepared By:

LDI Design LLC

135 Second Avenue North
Franklin, Tennessee 37064
615-591-7164

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CHAPTER 1 INTRODUCTION

Winston Hills, a Preston Street-Midsouth planned community of 95 acres, is located in northeast Hendersonville, TN in Sumner County. The site is approximately 15 miles North of downtown Nashville and is accessed via the Vietnam Veterans Highway and Gallatin Road.

The *Winston Hills* community will consist of 224 single family detached homes located within five distinct neighborhoods or "villages". These villages are clustered around *Winston Hills Parkway*, a two lane divided roadway with heavily landscaped median and shoulders that acts as the central organizing element of the community plan.

These design guidelines are to serve as a minimum set of design principles and standards for the community. They clearly outline, illustrate and define desired design objectives which will achieve the high quality, desired character and style of *Winston Hills*. It is intended that these guidelines be used by any builder or owner within *Winston Hills* so that *Winston Hills* will become an attractive, cohesive and functional environment in which to live, work and play.

The design guidelines are intended to supplement other documents requiring compliance, such as the Master Development Plan and the Declaration of Covenants, Conditions and Restrictions. A **Design Review Committee (DRC)** has been established to assist in implementation of the design guidelines and to insure individual builder/owner compliance and compatibility.

CHAPTER 2 WINSTON HILLS GENERAL DEVELOPMENT PLAN

Winston Hills is a planned residential community located on 95 acres of rolling, pastoral countryside in northeast Hendersonville, Tennessee. The property was part of the former Johnny Cash and June Carter Cash estate located on the banks of Old Hickory Lake in Sumner County.

The key concept behind *Winston Hills* is to develop a quality oriented residential community which offers a diversification of lot sizes within the context of a master planned community.

2.1 The Site

Winston Hills is located at the intersection of U.S. Highway 31E (locally known as Gallatin Road, Johnny Cash Parkway or East Main Street) which forms its northern boundary and Caudill Drive, which forms its western and southern border. It is located directly across Hwy. 31E from Saundersville Road with +/- 1250 linear feet of frontage on Hwy. 31E. The majority of its eastern boundary adjoins undeveloped property, presently owned by Johnny Cash and June Carter Cash, which is used as a nature preserve at the time of this documentation.

The site is gently rolling pasture land with moderate to steep side slopes in the areas of natural drainage. Approximately seventy-five percent of the total area is open field and pasture with the remaining land covered in thick stands of hardwoods which are associated primarily with the steeper slopes. The rolling terrain offers long views within and off site with glimpses of Old Hickory Lake to the south.

An existing pond, located adjacent to Caudill Lane at the site's southern boundary, will be preserved and enhanced for the permanent enjoyment of the *Winston Hills* residents.

2.2 The Plan

The *Winston Hills* site plan is based on the concept of individual neighborhoods or "villages" clustered around a central spine, Winston Hills Parkway, which serves as the primary organizing element of the community. Each village will reflect its own identity through diversification in lot sizing and product type, entrance gateways and landscape treatment yet maintain and exude a cohesive image to establish itself as the premier community in the Hendersonville market.

Village I, bounded by Gallatin Road to the north, Caudill Lane to the west and Winston Hills Parkway to the south and east, will offer eighty-two lots, averaging 9,500 square feet in size with two village entrances onto Winston Hills Parkway.

Village II is comprised of forty-six lots, averaging 10,800 square feet in size with one entrance onto Winston Hills Parkway. This village is bounded by Winston Hills Parkway to the north, Caudill Lane to the west, Village III to the south and Village V to the east. The southeast corner of this village has frontage on *Winston Hills* lake and open space.

Village III contains eleven lots with each home having direct access onto Caudill Lane at the southern boundary of the community. The majority of these sites, averaging 15,000 square feet in size, offer views off-site to Old Hickory Lake.

Village IV, located in the northeast quadrant of the community and bounded by Gallatin Road to the north, Winston Hills Parkway to the west, Village V to the south and off-site residentially developed land to the east offers thirty-six home sites, averaging 11,000 square feet in size and one entrance onto Winston Hills Parkway.

All home sites described above will have direct access to public streets with a typical fifty foot right-of-way section and four foot wide concrete walks on each side of the street.

Village V is the only private village in the *Winston Hills* community. Access to each home site will be via a gated and security controlled entrance off of Winston Hills Parkway on privately maintained streets. The majority of these home sites lay within the moderately to steeply sloped portion of the site that enjoys dense hardwood tree coverage. Lots sizes vary but generally are within the 17,000 square foot range.

This Village is bounded by Village IV and Winston Hills Parkway to the north, Village III to the west, off-site residentially developed land to the south and the undeveloped Cash property to the east. This Village also enjoys direct access to *Winston Hills* lake and its associated open space.

All Villages will enjoy a comprehensive system of pedestrian walks, on each street within the community, and paths within the *Winston Hills Lake* and open space area. A street tree planting program will be implemented with different varieties planned for each Village. Designer series streetlights, mailboxes and signage fixtures will compliment and add cohesive elements throughout *Winston Hills*.

2.3 Streets

All streets in *Winston Hills* will be dedicated public streets maintained by the City of Hendersonville with the exception of Village V, the gated community, which will be private and owned/maintained by the Winston Hills Homeowners Association. All streets are designed to City of Hendersonville construction standards. Streets will typically be twenty-eight (28) feet back of curb to back of curb in width with a fifty (50) foot right-of-way for all internal streets. Winston Hills Parkway will have two divided lanes measuring twenty-two (22) feet back of curb to back of curb in width with an eighty-six (86) foot right-of-way. All streets shall have pedestrian sidewalks on both sides of street.

2.4 Utilities

The following summarizes the planned public utility providers for *Winston Hills*. All utilities will be underground.

Water System White House Utility District, telephone 615-672-4110, will provide public water service to *Winston Hills*.

Sanitary Sewer System Hendersonville Utility District, telephone 615-824-3717, will provide public sewer service to *Winston Hills*.

Power Nashville Electric Service (NES), telephone 615-736-6900, will provide electrical service to *Winston Hills*.

Gas Nashville Gas, telephone 615-734-0665, will provide natural gas service to *Winston Hills*.

Telephone BellSouth, telephone 800-789-9025, will provide telephone service to *Winston Hills*.

Cable Television Intermedia, telephone 615-824-8543, will provide Cable Television service to *Winston Hills*.

CHAPTER 3 DEVELOPMENT GUIDELINES

3.1 General Purpose and Intent of Guidelines

The development guidelines for *Winston Hills* provide a framework for coordinated development and integration of various site aspects to create a cohesive, architecturally pleasing community. Through the use of these design guidelines it is intended that elements of the natural landscape will be integrated with specific site design to establish a unified and environmentally sensitive place to live.

3.1.1 Conformity with Design Guidelines

These guidelines are supplemental to the Declaration of Covenants, Conditions and Restrictions for *Winston Hills* and any participating builder agreement. Noncompliance with these guidelines is grounds for disapproval of plans.

3.1.2 General Responsibilities

The Master Developer is responsible for providing a hierarchy of public streets, amenities, drainage facilities and infrastructure of all utilities to the lot. The sites are delivered as lots recorded and approved on subdivision plans.

The builder/owner is responsible for developing and maintaining individual lots in a manner prescribed in the Declaration of Covenants, Conditions and Restrictions, other participating building/owner agreements executed with the Master Developer, and these design guidelines. In addition, compliance is required with any applicable state, county or local ordinances including, but not limited to, subdivision ordinance, engineering and building standards, and state and federal wetlands regulations.

Any and all development of homes or lots must first be approved by the Development Review Committee (DRC) prior to commencing construction. Complete plans and specifications, as outlined in Chapter 4, must be submitted to the DRC for review and action.

3.2 General Lot Standards

Winston Hills is approved as an R-15 Cluster development under the Zoning Ordinance for the City of Hendersonville, TN. These guidelines for building setbacks have been established to meet or exceed the R-15 District requirements as outlined in the Zoning Ordinance. Generally, building setback lines for residences are as illustrated in this section for each village as outlined below.

Some variations may occur on a lot by lot basis. Setbacks can be affected by utility or landscape easements. Each lot must be individually reviewed for its specific setbacks.

Section 3-306 of the Zoning Ordinance for the City of Hendersonville, TN address's permitted obstructions in required yards. Such obstructions may be permissible within required yards subject to review and approval by the DRC.

- Encroachment of any residential structure or accessory structure is prohibited within any utility and/or landscape easement.
- Every single family lot is required to have enclosed parking for two standard size vehicles.
- All streets within *Winston Hills* are planned for sidewalks on both sides of the street.

3.2.1 Village I

- The minimum front yard for residential structures is thirty (30) feet from the street R.O.W. line in all cases. Each zone lot shall be a minimum width of 75' at the building setback line.
- The side yard setback is a minimum of ten (10) feet. When structures are adjacent to other dwelling units, at least twenty (20) feet of separation must be provided at all times. When side yards front on streets (i.e.: corner lots) or open space areas, a fifteen (15) foot side yard setback is required, including roof overhang.

Driveways running parallel to a side lot line must maintain a minimum five (5) foot setback from the side lot line.

- The rear yard setback shall be a minimum of twenty-five (25) feet in all cases, except for rear yards on the exterior boundary line adjacent to *Winston Hills* Parkway, Gallatin Road (Johnny Cash Parkway) and Caudill Lane in which case the rear yard setback must be a minimum of thirty-five (35) feet. This includes secondary accessory structures (garages, guest houses, etc.), swimming pools (edge of water) and raised decks.

3.2.2 Village II

- The minimum front yard for residential structures is thirty (30) feet from the street R.O.W. line in all cases. Each zone lot shall be a minimum width of 75' at the building setback line.
- The side yard setback is a minimum of ten (10) feet. When structures are adjacent to other dwelling units, at least twenty (20) feet of separation must be provided at all times. When side yards front on streets (i.e.: corner lots) or open space areas, a fifteen (15) foot side yard setback is required,

including roof overhang.

- Driveways running parallel to a side lot line must maintain a minimum five (5) foot setback from the side lot line.
- The rear yard setback shall be a minimum of twenty-five (25) feet in all cases, except for rear yards on the exterior boundary line adjacent to Caudill Lane in which case the rear yard setback must be a minimum of thirty-five (35) feet. This includes secondary accessory structures (garages, guest houses, etc.), swimming pools (edge of water) and raised decks.

3.2.3 Village III

- The minimum front yard for residential structures is fifty (50) feet from the street R.O.W. line in all cases. Each zone lot shall be a minimum width of 75' at the building setback line.
- The side yard setback is a minimum of fifteen (15) feet. When structures are adjacent to other dwelling units, at least thirty (30) feet of separation must be provided at all times. When side yards front on streets (i.e.: corner lots) or open space areas, a twenty (20) foot side yard setback is required, including roof overhang.

Driveways running parallel to a side lot line must maintain a minimum seven foot six inch (7.5') setback from the side lot line.

- The rear yard setback shall be a minimum of thirty (30) feet in all cases. This includes secondary accessory structures (garages, guest houses, etc.), swimming pools (edge of water) and raised decks.

3.2.4 Village IV

- The minimum front yard for residential structures is thirty (30) feet from the street ROW line in all cases. Each zone lot shall be a minimum width of 75' at the building setback line.
- The side yard setback is a minimum of ten (10) feet. When structures are adjacent to other dwelling units, at least twenty (20) feet of separation must be provided at all times. When side yards front on streets (i.e.: corner lots) or open space areas, a fifteen (15) foot side yard setback is required, including roof overhang.

Driveways running parallel to a side lot line must maintain a minimum five (5) foot setback from the side lot line.

- The rear yard setback shall be a minimum of twenty-five (25) feet in all cases, except for rear yards on the exterior boundary line adjacent to *Winston Hills Parkway* in which case the rear yard setback must be a minimum of thirty-five (35) feet. This includes secondary accessory structures (garages, guest houses, etc.), swimming pools (edge of water) and raised decks.

3.2.5 *Village V (Gated Community)*

- The minimum front yard for residential structures is forty (40) feet from the street R.O.W. line in all cases. Each zone lot shall be a minimum width of 75' at the building setback line.
- The side yard setback is a minimum of twenty (20) feet in all cases. When structures are adjacent to other dwelling units, at least forty (40) feet of separation must be provided at all times. When side yards front on streets (i.e.: corner lots) or open space areas, a twenty (20) foot side yard setback is required, including roof overhang, with the exception of the gated community which shall have a twenty (20) foot side yard.

Driveways running parallel to a side lot line must maintain a minimum ten (10) foot setback from the side lot line.

- The rear yard setback shall be a minimum of twenty-five (25) feet in all cases, except for the following: (1) rear yards on the exterior boundary line adjacent to *Winston Hills Parkway*, in which case the rear yard setback must be a minimum of thirty-five (35) feet; and (2) rear yards abutting common open space pond area, in which case the rear yard setback must be a minimum of forty (40) feet. This includes secondary accessory structures (garages, guest houses, etc.), swimming pools (edge of water) and raised decks.

3.3 *General Site Layout for Specific Lot Conditions*

3.3.1 *Lots at Village Entrances*

Lots at a village entrances are ones that are typically bounded on three sides by public streets (and/or open space), one of which is *Winston Hills Parkway*. These lots shall adhere to the front, side and rear yard requirements outlined above for that particular village.

Driveways and garages are not allowed on the side of the lot adjacent to the village entrance street and must be placed on the opposite side of the lot.

3.3.2 Corner Lots

A corner lot is a lot bounded on two sides by two public streets. Corner lots in each village shall adhere to the front, side and rear yard requirements outlined above for that particular village.

If the rear lot line of a corner lot is also the side lot line of an adjacent lot then the street side lot line of the corner lot must be at least 50% of the required front yard setback for the adjoining lot.

Garages located on the side of the lot adjacent to the side yard street and loading from the side yard street must be setback a minimum of twenty five (25) feet from the side lot line. Driveways are not allowed to run parallel with the side of the lot adjacent to the side yard street.

3.3.3 Through Lots

A through lot is a lot whose front and rear yards abut a public street. Typically, these lots have rear yards adjacent to *Winston Hills Parkway*, *Gallatin Road* or *Caudill Drive*. Through lots in each village shall adhere to the front, side and rear yard requirements outlined above for that particular village.

As part of the overriding theme of *Winston Hills*, the Master Developer will be responsible for the design and installation of landscape screening/buffering within the common open space along *Winston Hills Parkway* and *Gallatin Road* and within the rear yards of those lots abutting *Caudill Drive*.

Based upon this desire to provide adequate and desirable screening/buffering for these lots, the following shall apply:

- 1) A common open space ranging in depth from fourteen (14) to eighteen (18') feet exists parallel and adjacent to *Winston Hills Parkway*. Plant material (existing and newly planted) within this area shall be protected at all times during construction operations. This area shall remain open for access and maintenance by the **Winston Hills Homeowners Association**.
- 2) A thirty (30) foot common open space exists parallel and adjacent to *Gallatin Road*. In addition, a ten (10) foot common landscape and access easement shall exist within all rear yards of lots with rear yards facing *Gallatin Road*. Plant material (existing and newly planted) within this area shall be protected at all times during construction operations. No obstructions or appurtenances (fences, play structures, etc) shall be permitted within this easement. This area shall remain open for access and maintenance by the **Winston Hills Homeowners Association**.

- 3) A twenty (20) foot common landscape and access easement shall exist within all rear yards of lots with rear yards facing Caudill Road. Plant material (existing and newly planted) within this area shall be protected during construction operations. No obstructions or appurtenances (fences, play structures, etc) shall be permitted within this easement. This area shall remain open for access and maintenance by the **Winston Hills Homeowners Association**.

3.3.4 *Lot Abutting Common Open Space*

A lot abutting common open space is any lot which has a rear yard or side yard adjacent to common open space or a community amenity area such as a park. A lot abutting common open space may also be an interior lot, a corner lot or a through lot. Lots abutting common open space in each village shall adhere to the front, side and rear yard requirements outlined above for that particular village.

Since the backyards of these lots will be in view of those using the common open space, the back yards must be treated in a similar manner to the front yards. Planting, fencing and etc. will require approval of the DRC. Dog houses, wood piles, storage areas etc. are all to be screened from view with privacy fencing or approved landscaping.

3.4 *Typical Village Street*

3.4.1 *Typical Village Street Layout and Maintenance*

Residential streets within *Winston Hills* are within a fifty (50) foot right-of-way. The street is twenty-eight (28) feet wide from back of curb to back of curb. Certain utility lines may fall within the street right-of-way.

The **Master Developer** is responsible for construction of all streets and associated utilities. Street paving maintenance will become the responsibility of the City of Hendersonville upon acceptance of roadway dedication, except for roads within Village V (Gated Community) which are private.

Maintenance of the area between the back of the curb and a single family lot property line is the responsibility of that lot's builder/owner and must be performed in the same manner as the rest of the front yard.

The builder/owner shall escrow a lump sum of \$500.00 per lot to be used for street-tree planting within each village. The **Master Developer** will install the trees in each village after the homes in a given area are substantially finished.

3.4.2 Sidewalk Requirements

The individual builder is responsible for constructing a five (5) foot sidewalk along all public street frontage as indicated on the engineering plans. Corner lots and some through lots will require the builder to construct a sidewalk on all sides as well as the handicap ramp to the corner. The sidewalk is to run parallel to the curb and the property line. All sidewalks are to be constructed with consistent quality workmanship and to meet the regulations of the City of Hendersonville.

Locations of sidewalks are not to be varied except where required to avoid specimen trees or utility obstructions and only upon approval by the DRC. Gentle curves and radii are required for transitions instead of abrupt angles or sharp curves.

Complete pours between expansion joints are required. No cold joints are permitted.

Manholes, water meter and valve boxes shall not be located within any sidewalk.

3.5 Driveways

3.5.1 Requirements

The builder is required, as a minimum, to build a concrete driveway from the back of street curb to the garage. Asphalt driveways are prohibited. Typically, the curb is a roll type curb where no break in the curb is required.

Concrete driveways are to be a minimum of four (4) inches thick over a compacted aggregate base. Expansion joints between the back of curb and driveway are required. The driveway is to meet flush with the curb. Tooled joints are to be a minimum 3/4" deep. No expanse in pour is allowed greater than 10' in any direction without a control joint.

3.5.2 Use of Specialty Paving Materials

The use of stamped and/or colored concrete, concrete pavers and brick pavers is encouraged. Color, pattern and design should coordinate with and complement the architecture. All specialty pavement shall terminate at the back of and flush with an imaginary extension of the concrete sidewalk (described in section 3.4.2 above) across the driveway. The use of specialty paving materials will require the approval of the DRC.

3.5.3 Alternative Driveway Designs

Alternative driveway designs, such as motor courts, circular drives, etc. may be incorporated into the lot plan to provide additional visual interest.

Motor courts at the front entry are encouraged, especially in villages with wider lots. Where sufficient lot width exists, circular drives are allowed.

Any driveway design shall not cover more than 25% of the available front yard area. The remaining 75% must be maintained for grass/landscaping. The DRC will grant a variance to this requirement for side loaded garages located on the front of the home which incorporate a swing driveway.

The driveway can never abut the main building foundation except as necessary to enter the garage. A minimum landscape strip of two (2) feet is required when the driveway is adjacent to the main building foundation.

On lots one hundred (100) feet in width or wider and/or lots which have setbacks greater than thirty (30) feet, the builder/owner is required to incorporate a curvilinear, meandering driveway layout unless site constraints or existing vegetation prohibit such layout.

3.6 Garages

3.6.1 General Garage - Lot Relationships

Two-car garages are minimally required for all residences within *Winston Hills*.

The placement of garages and driveways has a great effect on the overall street scene aesthetics and on the architectural interest of each specific building. A street scene with emphasis on residences instead of garages and driveways is more visually interesting. For that reason certain garage placements on a lot are discouraged.

In general, rear loaded or side loaded garages are encouraged and preferred over front loading garages.

Front loaded garages protruding from the front elevation of the residence are the least desirable and are discouraged. This arrangement defines the garage as the strongest design element of the house and creates a street scene with the garage as the prominent feature, thereby paying homage to the automobile versus the home and neighborhood.

3.6.2 Front Loading Garages

Where lot size or site constraints, as determined by the DRC, prohibit the incorporation of side loaded or rear loaded garages, the builder may incorporate a front loading design based on the following guidelines:

- Garage facade, at a minimum, must be flush with the front facade of the house excluding porches and stoops. A minimum setback of two (2) feet from the front

facade of the house is encouraged. Variances to this guideline shall be at the discretion of the DRC.

- The garage should be well integrated into the overall design of the house and should not destroy the house symmetry.
- Individual doors are required for each vehicle (2 minimum). A single door serving both cars is permissible in Village I only. All doors are to incorporate minimum 2-lite window designs and shall be void of reflective film or foil.
- The color of the door shall match the adjacent wall or trim.
- These standards apply to all side loaded garage configurations for corner lots where the garage is facing a public right-of-way.
- Carports are expressly prohibited.

3.6.3 Garages on Corner Lots

Side loaded garages on corner lots where the garage door faces a public right-of-way must follow the guidelines for front loading garages outlined above.

3.6.4 Rear and Side Loading Garages

Rear and side loading garages which do not face a public right-of-way may waive the following guidelines outlined above for front loading garages:

- Face of garage flush with house facade.
- Individual doors servicing each car
- Door lite window panel

3.7 Grading and Drainage

In general, the builder is responsible for conducting all grading and construction operations in a neat, orderly and timely way. Streets are to be left clean and free of dirt and debris. Any work previously done (within rights-of-way, common open space or other lots, etc.) which is damaged by the builder/owner (cable cuts, broken curb, street paving, right-of-way grading, drainage, landscaping, etc.) shall be promptly repaired. Lot grading may not alter existing right-of-way or landscape easement grading. Smooth transitions should be made from lot grades to adjacent lots, common open space and right-of-way.

3.7.1 Positive Drainage Requirements

The builder/owner must indicate the general grading and drainage concept on the site plan for each lot and must submit this plan to the DRC for approval prior to initiating grading operations.

The builder/owner is responsible for providing positive drainage away from the house and is responsible for not concentrating and discharging stormwater as a point source from one lot to any other lot or area within *Winston Hills* unless it is to a prescribed drainage area, drainage ditch or drainage pipe as indicated on an overall plan.

The builder is responsible for attempting to use and preserve natural drainage ways to the extent possible, and for preserving existing trees where possible. The builder/owner is responsible for restoring any damage done to the existing drainage patterns within the right-of-way.

Any natural drainage way traversing a lot will be assumed by the builder/owner to continue to carry runoff water after construction of all homes within the development. As such, the builder/owner is responsible for maintaining or rerouting any natural drainage ways traversing his lot in the process of grading his lot and siting his house. Additionally, the builder/owner must take into account the extent of potential upstream runoff when re-routing and/or maintaining the natural drainage course through his lot.

Roof drainage must be handled so as to not create an erosion problem, negative drainage situation or runoff across pedestrian walks and paths in a concentrated manner. Gutters and downspouts are encouraged for all residences in *Winston Hills* and, if incorporated, must provide positive drainage away from the building.

French-type drains must have a positive slope away from the building and must drain to daylight.

3.7.2 Erosion Control Requirements

The builder/owner is responsible for providing erosion control measures for any denuded lot or portion thereof and is required to comply with the minimum standards of the City of Hendersonville. In no case shall the builder/owner allow eroded soil and debris to leave an individual site. If erosion control measures break or are destroyed prior to the site having vegetative cover, the erosion control device shall be immediately repaired. The erosion control concept must be shown on the site plan submitted to the DRC for approval.

3.7.3 *Special Grading Situations*

In general, steep slopes of greater than 3:1 (33% grade) should be broken with retaining walls or terraces. If the height is excessive, two retaining walls should be used, separated by a planting area. Steep slopes greater than 3:1 (33% grade) may be allowed in special conditions when reviewed and approved by the DRC.

The builder is encouraged to terrace large graded slopes less than 3:1 (33% grade). Terraced lawns, especially in front yards, are encouraged.

Swales are to be graded shallow but wide to slow run-off. Steep abrupt cuts are to be avoided. A minimum 2% slope should be maintained along the swale centerline to ensure positive drainage.

Transitions back to natural grade should be smooth.

Berms within front yards are prohibited. Berms are to be graded in gentle, undulating, "naturalistic" shapes; not as straight mounds with steep slopes. Berms should not be higher than 36" above average finished grade within the immediate area. In no case should a berm be placed in such a way as to obstruct the site triangle of any public street or the site triangle for a driveway entering a public street.

Sidewalks within street right-of-ways shall run horizontally with the grade of the road and have a maximum cross slope of 2% as required by the City of Hendersonville.

Driveways shall be graded with a maximum twelve (12) percent slope and have a maximum five (5) percent transition gradient at the top and bottom. Any deviation must be preapproved by the DRC.

Building pads should be graded so as to have a positive, slightly perched elevation to the street wherever possible.

3.8 *Tree Protection*

The protection of healthy stands of mature trees throughout the wooded areas of *Winston Hills* is a high priority to the overall design concept, therefore the builder is encouraged to save areas of trees within individual lots whenever feasible.

The builder shall, as part of the required individual lot site plan submittal to the DRC, indicate all trees on site 6" DBH (diameter breast height) or greater and those trees proposed to be removed. The DRC recognizes that all trees can not be saved in all situations, but every effort should be made to save every tree possible.

3.8.1 *Tree Protection Methods*

In order to protect the root system of a tree and the surrounding soil structure, the critical root zone area must be protected from damage and compaction during construction. Although a tree's roots extend well beyond the tree canopy area, the critical root zone can be considered to be within the canopy's drip line. Protection of this area from grading, compaction or the spilling of caustic chemicals is necessary to ensure that the healthy life of the tree(s) continues.

In general, trees left in large clusters with the existing understory intact increase the trees' survival chances. Removal of the understory is allowed if necessary but a natural mulch area with native type plantings as an understory should be incorporated.

A continuous temporary fence type barricade should be placed around the drip line of trees to be saved. No storing of machinery or supplies shall be placed within the barricade. The barricade must be maintained throughout construction.

Soil shall not be excavated or spread, spoiled or otherwise disposed of within the barricaded area.

Utility should be located outside of tree save areas whenever possible.

Trash fires shall not be permitted under trees.

Preserved trees should be pruned for diseased and dead wood as well as aesthetic shaping.

Site plans submitted to the DRC shall indicate tree preservation areas on the plans and the fence location. The builder/owner is encouraged to fertilize and water tree preservation areas.

3.9 *Architecture*

The architectural guidelines for *Winston Hills* are intended to establish design standards which will form the basis for good creative designs and neighborhood continuity. The guidelines are not intended to limit creativity or to place undue hardships upon the builders in terms of design or construction. The design of each residence should inspire a sense of individuality, while fitting into the texture of *Winston Hills*.

Two key principals should guide the architectural designs for homes at *Winston Hills*:

- Style of house (as manifested in overall proportion and detail) should be consistent throughout, and
- Architectural design should aspire to a community aesthetic, that is, aspire to complimenting the other homes in the community.

3.9.1 *General Responsibility*

The construction of any entry features and masonry walls, fences, landscape planting or other structures within a street right-of-way, development of any common space amenities, streets, cul-de-sacs, islands (including planting), walls and entry graphics at entrances to each village, and public street lighting shall be the responsibility of the **Master Developer**.

The builder/owner is responsible for individual site development and maintenance including the area within the public street right of way (between the back of the street curb and property lines). The owners of corner lots shall be responsible for the right of way for both streets. The builder/owner is responsible for compliance with these design guidelines.

3.9.2 *Streetscape and Site Massing*

The builder/owner is encouraged to create a visually interesting streetscape through the use of varied facades, elevations, materials, colors and arrangements along the street. The **DRC** will not permit homes of substantially similar elevations, details or colors to be built adjacent to or across the street from each other.

Rows of houses with similar elevations, materials and colors, and arrangements on the site are dull and unimaginative. More pleasing arrangements are achieved with a variety of articulated plans which break the rectangular box into interesting three-dimensional shapes with courtyard-like spaces in and around each house. Garage layout (left or right facade relationship) shall vary from house to house on any given street to avoid a monotonous streetscape.

3.9.3 *Elevation and Facade Articulation*

There is no **Winston Hills** "style". However, style should emerge naturally out of good planning, relationship of plan to elevation, form following the function and the honest use of a selected range of materials.

It should be assumed that the houses will be seen from all angles and that there will be a continuity of colors, materials and details on all elevations. However, priority should be given to those sides which are visible from streets and walkways. The most articulated elevations should be those which are in public view.

The exterior elevation should be a combination of planes and shapes designed to be visually interesting.

3.9.4 *Chimneys*

It is recommended that every residence incorporate a minimum of one fireplace. Masonry chimneys are encouraged on all lots. The masonry chimney should be used as a design element with the following considerations:

Placement of the chimney near the front side of the house in a manner conspicuous to the street is preferred.

If placed on an exterior wall, a complementary material should be used.

The height of the chimney should be in proportion to the roofline (within local building code regulations). Chimneys which barely peek above or squat on the roof are not visually bold enough and therefore, are unacceptable.

No exposed metal fireplace flue will be permitted along the facades of homes. Broad, massive chimneys will be encouraged and small, spindly shaped ones will not be approved. Ornamentation through detailing is encouraged. Chimneys must be constructed of brick, stucco or stone. Chimneys clad with siding are discouraged and require approval of the DRC. Direct vent fireplaces are permitted, however, vents located on the facades of homes facing public right-of-ways is discouraged and shall require approval of the DRC.

3.9.5 *Entrances*

The builder/owner is encouraged to incorporate front porches or a formal stoop in their design as a transition from outdoors to indoors.

3.9.6 *Window Openings*

Care should be given to the size, type and organization of all windows. Scattered windows tend to create awkward, face-like shapes and should be avoided. They should never appear like surface "holes" cut into the side of the box. Window placement should be carefully designed to create a balanced composition. They should be sized to be "in scale" and fit the elevation.

The treatment of windows on the side facade of corner lots and rear facade of homes adjacent to public streets shall be given the same treatment as windows on the front facade.

3.9.7 Roof Articulation

Minimum slope on all roofs shall be a 5 in 12 pitch. A combination of roof pitches may be used if they are integrated with the design of the house. Roof style shall be consistent with the style of house. Flat roofs are not permitted.

Large front-facing gables should be avoided unless they are broken into small scale elements. Otherwise, open gables are better facing toward side yards.

Front-facing gables are particularly unattractive when placed over the garage door. The unshielded exposure of garage doors is helped greatly by way of a low roof line over the door. Drain pipes should be of color to match trim or other adjacent material.

Changes in roof geometry are best when accompanied by offsets in plan.

Avoid exposing ends of rafters unless they are 4"x 6" or larger. Use a fascia of at least 1"x 6" size.

The roofs, as an expressive design element, should be kept as visually unobstructed as possible. Vent stacks, roof jacks, power roof ventilators and other necessary roof protrusions should be located away from public view and on the back side of the roof whenever possible (within local building code regulations). All vent stacks and flashing must be painted to match the roof color.

3.9.8 Garage Treatment

In many single family home designs today an inappropriate emphasis is placed on the automobile entrance. This has become a dominant facade element which tends to undermine or destroy the overall character of the home's architecture and scale. It is important to the overall design and feeling of *Winston Hills* that this does not happen. The garage doors should not dominate the facade. When this occurs, the house generally adds little to the overall character of the street and the house entrance is visually overwhelmed. Therefore these guidelines have been developed to minimize the impact of the garage as well as to integrate it into the site.

3.9.8.1 Garage Door Treatment

Roofs over the garage should be as low as possible sloping toward the street. The highest roofs should not occur over the garage due to the added visual emphasis, especially when the doors face the street.

Treatment of detail on garage doors should be consistent with the overall character of the house. This may be accomplished with one or two well placed windows along the top of the garage door and by breaking up the mass with paneled construction.

Two single doors divided by a column are required for all homes facing/loading onto a public right-of-way (this requirement does not apply to Village I). This breaks up the expanse of the door into appropriately scaled architectural elements.

No wood or particle board doors are permitted. All garage doors are to be metal, four panel design and of a color that matches the adjacent wall or trim. Windows are required. No reflective film or foil is permitted on windows.

Please see additional requirements outlined under 3.6.2.

3.9.9 Exterior Treatment and Materials

It is preferred that natural materials be used for exterior treatment. Material should be used with restraint in regard to both color and diversity of materials, generally favoring soft neutral tones. The intent is to create a continuity of materials throughout the community. In general :

- 1) Samples of all finish materials must be submitted to the DRC for approval.
- 2) All buildings must be a minimum of 70% masonry inclusive of windows, doors, and other fenestration to assure a continuity in the type and quality of materials throughout the community. All mortar joints are to be tooled with mortar color complementary to the brick color.

Brick facades are required on all elevations fronting on or facing public roads and right-of-ways. When an offset/cantilever in the building facade occurs at the second story, a change in material to a non-masonry product is permissible.

- 3) Horizontal (lap type) siding is the preferred wood siding. Vinyl siding may be used, but must be of the highest quality and be finished in a noticeable wood grain texture.

Rough sawn siding is discouraged. Plywood and particle board siding is prohibited. Board and batten, vertical or diagonal siding is prohibited.

- 4) All wood must be painted or stained (excluding decks). Naturally weathered wood is prohibited in all cases. Classic paint colors should be used. Bold, primary or unusual colors are prohibited. High contrast trim or material variations should be avoided in favor of those which are chosen to blend all elements into a single idea. Each builder is required to submit a color pallet to the DRC for approval.

- 5) Materials should be used to emphasize planes and volumes. When different materials adjoin, care should be taken to avoid the look of applied facing. No material change will occur on an outside corner. The technique of "shirt fronting" of masonry veneer or other veneer material will not be permitted. Material changes are most successful when made as part of a larger offset; for example, a masonry pier, wall offset, etc.
- 6) Exterior wall studs must be at least 2" x 4".
- 7) The number of primary facade materials on the exterior of the home is limited to two (2), not including roof shingles, in all villages with the exception of Village V which is limited to one (1) material, not including roof shingles.

The following exterior materials may be used:

- BRICK - Medium to dark ranges in earth tone colors are preferred. Painted brick shall be considered on an individual basis.
- STONE - May be used except as a thin veneer or as small disjointed areas of the facade. May be field stone or cut stone. Avoid excessively variegated stone color.
- WOOD SIDING - Stained in earth tone colors if cedar; painted in neutral colors if pine or smooth cedar. Horizontal application only.
- STUCCO
- 5" DOUBLE BEADED VINYL SIDING - May be considered for approval by the DRC by exception only.
- WOOD WINDOWS - Stained or painted. Vinyl clad windows are acceptable. Aluminum windows will not be allowed. The use of "pop-in" muntins is not permitted. Vinyl clad windows will not be allowed in Village V.
- ROOF MATERIALS - Architectural grade asphalt or fiberglass shingles are the preferred minimum standard and are the minimum required in Village V. Standard grade shingles may be acceptable provided they meet or exceed the following specifications:
 - 1) 200# - 250# asphalt impregnated fiberglass
 - 2) Class 'A' fire resistance
 - 3) Minimum 25 year warranty

Natural roofing materials such as slate, tile or shakes are acceptable.

The color of roofing throughout the community shall be of consistent value. The standard color allowed will be "weathered wood" although other colors may be approved by the DRC by exception only.

3.9.10 Roof Top Antenna and Satellite Dish

No exterior antennae, aerials, satellite dishes or other apparatus shall be allowed on any portion of a lot, including any unit, without the prior written consent of the DRC.

3.9.11 HVAC Equipment

No rooftop or window HVAC equipment is permissible. Condensers, gas packs or other external HVAC equipment located on the side of the house must be screened from view with mature shrubs, opaque wood or masonry screens or other compatible building materials. Builders are encouraged to not place this equipment on the sides of lots facing a public right-of-way.

3.9.12 Accessory Structures

All accessory structures must be approved by the DRC. The only accessory structures which may be allowed by right are green-houses, gazebos, trellis shade structures, in ground pools and cabanas. Other accessory structures will be considered by the DRC on an individual basis.

Aluminum screen rooms, structures incorporating some type of corrugated roofing material and storage sheds will not be allowed.

3.10 Lighting

Exterior residential lighting for *Winston Hills* shall be designed to convey a warm, inviting atmosphere and aid in providing night time security. Care is to be taken in placing fixtures and selecting types of light source.

3.10.1 General Responsibilities

The Master Developer is responsible for the installation of street lighting along *Winston Hills* Parkway and all public rights of way within the villages, as directed by the City of Hendersonville, as well as landscape lighting of the projects entry walls, graphics and other landscape features. The street lighting system will use a decorative-type fixture and will be maintained by **Winston Hills Homeowners Association**.

As part of the design theme for *Winston Hills*, the builder/owner shall be responsible for the purchase and installation of a pole mounted gas light of a standard preselected design which shall be located adjacent to the individual lot driveway entrance outside of the street right-of-way. This light is intended to be a unifying element in the design of the overall community. Builder/owner shall indicate the location of this lamp on the site plan submitted to the DRC.

Private lighting installed on individual lots in a manner that does not cause distraction, nuisance or excessive spillover light onto other lots is permissible. Decorative fixtures must be of high quality materials and workmanship and be in scale and style with the residence. All exterior lighting is subject to approval by the DRC.

3.10.2 General Design Standards

Sodium vapor lights are prohibited. Incandescent, low voltage incandescent, metal halide, quartz and natural gas lights are acceptable.

Fluorescent, neon and colored lenses on fixtures are prohibited. Colored light bulbs are only permitted during the traditional holiday season.

Light fixtures are to be located so as to be unobtrusive and should not be visible from the street or other lots. It is recommended that they be mounted on the house. Pole mounted lights are prohibited.

Exterior illumination to accent street address numbers, architectural features such as columns and entries and landscape features are allowed. Spotlights are to be concealed from direct view and directed to avoid light spillover onto adjacent property.

The use of low to the ground driveway lighting that has the effect of a runway is discouraged. Driveway lighting should be soft and strategically placed within landscape areas.

3.11 Site Furnishings, Furniture and Materials

3.11.1 Pools and Spas

Portable or permanent above ground type pools are prohibited. In ground swimming pools and small above ground spas or hot tubs are permitted, provided above ground spas incorporate skirting and landscaping and provided all appurtenances (i.e.: specialty features, sliding boards, skimmer nets and other long handled devices, pool chemicals, filters, pumps, heaters, plumbing etc.) are screened from public view.

All state and local codes pertaining to swimming pools and spas must be met. Privacy screens for pools or spas on lots abutting public streets or common open space must be set back a minimum of twenty-five (25) feet from rear property lines and must not violate the sideyard requirements of each village. Maximum privacy screen height is not to exceed six (6) feet above existing grade. Screening material must be with masonry wall (compatible with the residence), wood fence (with finished side out) or other screening material as may be approved by the DRC.

3.11.2 Decks

Suspended decks are permitted. Unfinished pressure treated wood is permissible. It is encouraged that all decking be stained for maintenance considerations. All vertical support members must match the finish of the decking. Handrails and other appurtenances may match the house trim, etc.

Screened in decks are permitted provided they have a dark gray or black screened mesh or are enclosed with windows and have doors.

3.11.3 Flags

No flagpoles are to be located on residential lots visible from public view. Flags may be displayed on flag staffs attached to residences, but no more than two flags are to be exhibited on any residence at any given time. Flag etiquette is to be observed at all times. Advertising flags are strictly prohibited. Model Homes may use banners and pole mounted flags if approved by the DRC.

3.11.4 Fencing/Walls

It is the intent of these guidelines to insure compatibility of fence design throughout the *Winston Hills* development by providing direction to homeowners for a harmonious use of fence/wall details and materials.

All fencing/walls shall be erected at the option of the builder/owner and shall comply with the regulations of the City of Hendersonville and the special requirements of *Winston Hills* as outlined below. Approval of all fencing/walls by the DRC is required.

Except for fencing/walls by the **Master Developer**, fencing/walls will generally not be allowed within front yards and shall tie into the main structure as least thirty-six (36) inches back from the plane of the front facade. Any fencing/walls proposed for front yards shall be considered for approval by exception only.

In *Winston Hills*, a basic distinction will be observed in the way walls and fences are used. Walls, if used, shall enclose or establish a boundary for the most private portions of the grounds including principal outdoor living areas of the house and immediate yard, manicured gardens, pool/spa area, motor court, etc.

Fences, if used, may also enclose the private outdoor areas but may also enclose the balance of a lot or portion thereof except as outlined under section 3.3 of these guidelines. It is important that fence designs be harmonious throughout the community since they will be a very visible part of the landscape.

No fencing/walls shall be greater than six (6) feet in height, unless approved by exception, and shall be less as specified under certain special conditions.

Fencing/walls on lots abutting common open space shall not exceed four (4) feet in height if located within twenty (20) feet from the rear property line abutting common open space.

All fences shall be post and rail design identical to and consistent with the fence design used in common areas by the Master Developer. Any alternative fence designs shall be considered by the DRC by exception only.

Fence sections may either run horizontally with changes in grade being taken up at the fence post at regular intervals or may slope parallel with the grade. Fence height shall be consistent.

Gates may be installed and shall be designed to be compatible and complementary to the fence design.

A 2x4 wire mesh may be mounted on the inside of the rail fence to secure pets provided its mounting detail is approved in writing by the DRC.

Masonry walls such as brick, stone or stucco should be designed as an extension of the architectural design of the home. These wall designs should be simple yet possess enough detail to avoid the appearance of uninterrupted panels. A watertable and cap are recommended as design features to be included in wall designs.

Only masonry walls consistent with the architectural design of the house will be permitted in the front yard of Village V homes subject to review and approval of the DRC. Such walls shall be set back from the street right-of-way to maintain compliance with all minimum yard setbacks as outline under section 3.2 and 3.3.

Wall sections shall run horizontally with changes in grade be taken up at the column at regular intervals. Wall height shall be consistent.

Gates may be installed and shall be designed to be compatible and complementary to the wall design.

Fencing/walls adjoining lots should either be connected to provide a continuous appearance or shall maintain a minimum seven (7) foot separation. Connecting walls will not be permitted unless the design is identical.

Connections shall be made only at columns.

Fencing/walls shall be setback a minimum of six (6) inches from a property line unless is being connected to an adjacent fence/wall, in which case an easement to construct and maintain fence/wall shall be created and mutually agreed to by the owners.

In the case of separated fencing/walls where the first fence/wall was built to six (6) inches of the property line, the second (proposed) fence/wall must be built six and one-half (6-1/2) feet from the property line or otherwise built to maintain the required seven (7) foot separation.

All fences/walls installed along a side property line abutting a local residential street shall maintain a minimum ten (10) foot landscape buffer between the fence and the edge of sidewalk.

All supplemental landscaping shall be in accordance with the landscape guidelines.

Should existing trees or other obstacles require adjustment to the fence/wall location, the fence/wall shall always be shifted in the direction of the private side.

3.11.5 Garden Ornament

Garden ornaments best described as "kitsch" are not acceptable within public view. Ornaments deemed unacceptable will be required to be removed. In general, painted wood or plastic ornaments are unacceptable. Stone, cast metal, clay or ceramic ornaments are preferred.

Decorations for holidays are acceptable but must not be in place 30 days prior to an event and must be removed 15 days after an event.

Planters of clay or wood are acceptable - especially for displaying seasonal flowers. Natural clay, white, earth tone or pastel colors are acceptable - bright colored planters (blue, orange, etc.) especially of plastic are not permitted.

Garden structures such as trellises, arbors and benches are permitted.

Decorative bollards, decorative lamps, etc. must be approved by the DRC prior to installation.

3.11.6 Mailboxes

As part of the design theme for *Winston Hills*, the builder/owner shall be responsible for the purchase and installation of a mailbox of a standard preselected design which shall be located adjacent to the individual lot driveway entrance at the curb line. This mailbox is intended to be a unifying element in the design of the overall community. Builder/owner shall indicate the location of this mailbox on the site plan submitted to the DRC.

3.12 Landscape Treatment

The landscape treatment for *Winston Hills* is intended to be a unifying element in the design of the overall community, helping to create a strong sense of place. While landscape design throughout common areas will tend to be naturalistic (flowing lines and primary use of indigenous plant material), the design for individual lots should be appropriate to the architectural style of the house and to the scale of the lot.

3.12.1 General Responsibilities

The Master Developer is responsible for landscaping common open spaces, major street corridors and rights of way, project entry features and entries into individual villages. When conveyed to the property owners' association, maintenance of these areas will be by the **Winston Hills Homeowners Association**.

The builder/owner is responsible for landscaping and maintaining all areas on his property (lot) as well as the portion of the street right of way between the property line and the street curb. The owner of the property is to adhere to these guidelines upon and after initial installation.

3.12.2 General Landscaping Requirements

- The builder/owner is required to submit a typical planting plan of each house plan for approval by the DRC. The approved plan must be followed or exceeded.
- All plant materials are to be healthy, quality specimens from a reputable nursery.
- All planting beds are to be mulched with four (4) inches of pine straw, bark mulch or other mulch material typical to the region. The mulch bed must be maintained full depth with a crisp edge at all times. Gravel or rock of any size or color is not permitted as substitution for shrubs, groundcover, mulch or lawns. Plant bed edging, while not required, is acceptable.
- All lawns and plant material must be installed and maintained in high quality.

Plant material that has died and which was planted to meet the minimum landscape requirements of these guidelines must be immediately removed and replaced by the builder/owner (weather permitting).

- Front facade foundation planting beds shall not stop at the front corners where they meet the edge of the house. They shall round the corner and extend six (6) feet minimum beyond the corner.
- Sod is preferred for lawns over seeding. The required lawn grass is tall type fescue varieties. All front yards and side yards facing public right-of-ways shall be sodded.

3.12.3 Street Tree Planting

Street trees within the right of way will be planted by the **Master Developer** with funds escrowed by the builder/owner. Each village will have a different specified species which will be used uniformly throughout the village. Table 3.12.3 indicates the street tree selection.

Village	Street Tree	Spacing
I	Acer rubrum "October Glory" October Glory Red Maple	40' o.c.
II	Acer saccharum "Green Mountain" Green Mountain Sugar Maple	40' o.c.
III	Acer x fremanii "Autumn Blaze" Autumn Blaze Maple	40' o.c.
IV	Acer x fremanii "Autumn Blaze" Autumn Blaze Maple	40' o.c.
V	Tilia cordata "Greenspire" Greenspire Littleleaf Linden	40' o.c.
Parkway	Zelkova serrata "Village Green" Village Green Japanese Zelkova	40' o.c.

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Table 3.12.3

3.12.4 Minimum Residential Tree Planting Requirement

The following minimum tree planting requirements pertain to all non-wooded lots or lots where trees are sparse or do not occur in front yards as determined by the **DRC**. The total quantity of trees indicated per lot for each village must be installed within the front (yard) setback.

- | | | |
|----|-------------|---|
| 1) | Village I | 1 shade tree, 2 flowering accent trees |
| 2) | Village II | 2 shade trees, 3 flowering accent trees |
| 3) | Village III | 3 shade trees, 3 flowering accent trees |
| 4) | Village IV | 2 shade trees, 3 flowering accent trees |
| 5) | Village V | 3 shade trees, 4 flowering accent trees |

Trees are to be machine dug, balled and burlapped, healthy, quality specimen from a qualified nurseryman.

Trees are to be chosen from the accompanying plant list.

Shade trees are to be a minimum 2-2½" caliper measured 6" from the base of the tree.

Flowering accent trees are to be a minimum of 1- 1½" caliper measured 6" from the base of the tree.

3.12.5 Minimum Landscape Requirement

The builder/owner is required to submit a typical planting plan for each home plan as part of the site plan submittal to the DRC.

Although the builder/owner is encouraged to plant more, the minimum landscape requirements, in addition to minimum residential tree requirements (listed above), for each village shall be as follows:

- | | | |
|----|-------------|---|
| 1) | Village I | Five (5) large shrubs (36" height min.) and fifteen (15) medium shrubs (18" height min.) |
| 2) | Village II | Eight (8) large shrubs (36" height min.) and twenty (20) medium shrubs (18" height min.) |
| 3) | Village III | Twelve (12) large shrubs (36" height min.) and twenty-five (25) medium shrubs (18" height min.) |
| 4) | Village IV | Eight (8) large shrubs (36" height min.) and twenty (20) medium shrubs (18" height min.) |
| 5) | Village V | Fifteen (15) large shrubs (36" height min.) and thirty (30) medium shrubs (18" height min.) |

In general, the builder/owner shall install plants proven to be reliable, vigorous and disease resistant in this area. The following is a list of plant material considered to be appropriate for *Winston Hills*. The intent of the list is to describe a basic pallet of acceptable plants and is not intended to be all-encompassing.

Winston Hills Plant List

Shade and Ornamental Trees

Acer Species	Maple
Betula Nigra	River Birch
Carpinus Species	Hornbeam
Celtis Species	Hackberry
Cercis Species	Redbud
Cladrastis lutea	Yellowwood
Cornus Species	Dogwood
Crataegus Species	Hawthorn
Fraxinus Species	Ash
Gleditsia triacanthos	Honey-locust
Gymnocladus dioicus	Kentucky Coffeetree
Halesia carolina	Carolina Silverbell
Koelreuteria paniculata	Golden Raintree
Liquidambar styraciflua	Sweetgum
Liriodendron tulipifera	Tulip Poplar
Malus Species	Crab Apple
Metasequoia glyptostroboides	Dawn Redwood
Nyssa sylvatica	Black Gum
Oxydendrum arboreum	Sourwood
Platanus Species	Sycamore
Prunus Species	Flowering Cherry

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Acer Species	Maple
Pyrus Calleryana	Bradford Pear
Quercus Species	Oak
Salix babylonica	Weeping Willow
Taxodium distichum	Baldcypress
Tilia cordata	Littleleaf Linden
Ulmus Species \	Elm
Zelkova Species	Zelkova

Evergreen Trees

Cupressocyparis leylandii	Leyland Cypress
Ilex Species	Holly
Magnolia Species	Magnolia
Picea Species	Spruce
Pinus strobus	White Pine
Pinus thunbergiana	Japanese Black Pine
Tsuga canadensis	Canadian Hemlock

Shrubs & Groundcover

Abelia Species	Abelia
Althea Species	Hibiscus
Amelanchier Species	Serviceberry
Azalea Species	Azalea
Buxus Species	Boxwood
Cornus Species	Dogwood (Shrub Form)
Cotoneaster Species	Cotoneaster
Elaeagnus angustifolia	Russian Olive

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Abelia Species	Abelia
Elaeagnus pungens	Autumn Olive
Euonymus alatus 'Compacta'	Dwarf Winged Euonymus
Forsythia Species	Forsythia
Hedera Species	Ivy
Hydrangea Species	Hydrangea
Ilex Species	Holly
Juniperus Species	Juniper (Groundcover)
Kalmia latifolia	Mountain Laurel
Ligustrum Species	Ligustrum
Liriope muscari	Liriope
Ophiopogon japonica	Mondo Grass
Myrica pensylvanica	Northern Bayberry
Potentilla Species	Potentilla
Prunus laurocerasus 'Otto Luyken'	Otto Luyken Laurel
Rhododendron Species	Rhododendron
Rosa rugosa	Rugose Rose
Spiraea Species	Spiraea
Viburnum Species	Viburnum
Vinca Minor	Periwinkle
Weigela Species	Weigela

Plants not included on this list may be used except as follows:

The use of red tip photinia and golden euonymus, because of growth characteristics and susceptibility to disease, is not allowed. Arborvitae, italian cypress, junipers, (other than ground cover varieties) yucca, cactus and rampant growth types of bamboo are not in character with the plant palette and are discouraged and may be cause for rejection of plans.

3.12.6 Corner Lot Planting Requirement

If installed, privacy walls/fences at corner lots are to be softened with landscaping. A ten (10) foot wide landscape strip shall be left between the sidewalk and the fence to allow for adequate landscaping.

Page 332

Corner lots with fences on the side yard adjacent to the street must have planting between the fence and the sidewalk. The minimum planting requirements are a medium shrub planted three (3) feet on center along the entire length and small maturing trees planted twelve (12) feet on center along the entire length.

3.12.7 Screening Requirement

Where practical all meters, air conditioning units, etc. are to be placed away from public view, preferably in rear or fenced side yards. In absence of complete yard fencing, meters, air conditioner, etc. must be screened from view.

Shrubs or vines should be placed in front of screens.

Hedges may be used for screens if plants are mature enough and spaced close enough to provide adequate screening. Screening with plants is to be accomplished with the initial installation, not assumed growth at maturity. Staggered spacing of shrubs for hedges makes a good screen.

3.12.8 Plant Bed Edges

Planting bed edging is not required but is encouraged for maintenance purposes and to define the shape of planting beds. Some types of plant bed edging are not in keeping with the overall landscape effect. Plant bed edging should be done in a "quality" way so as to fit in with *Winston Hill's* overall visual quality.

Plant bed edges of concrete scallops, corrugated aluminum, wire wicket fencing, bricks laid on edge above ground, small rocks and railroad ties are unacceptable.

3.13 Irrigation

Installation of an irrigation system by the builder/owner is not required or necessarily recommended. Where one is desired by the Owner, certain basic design standards should be followed.

The builder/owner is encouraged to use a professionally designed and installed system based on responsible water management, such as an underground pressure compensating drip system or a soaker hose type system. Above ground systems waste water unnecessarily.

All backflow preventors or other fixtures associated with the irrigation system should be screened from view.

Automatic controllers are to be placed in a garage or otherwise hidden from view.

If spray irrigation is used, care should be taken to prevent overspray on sidewalks or driveways.

3.14 *Signage and Graphics*

All signs within *Winston Hills* shall be designed to provide consistent reinforcement of the *Winston Hills* character. Signs must communicate not only specific information, but should add to the attractiveness of the area.

3.14.1 *General Responsibilities*

Community graphic identification, entry features, temporary community directional signs and future facilities signs will be the responsibility of the **Master Developer**.

The builder/owner may not erect any signage of his own without prior, written approval from the **Master Developer** unless otherwise excepted below.

The **Master Developer** may elect to furnish lot identification signs for the sake of establishing continuity to a lot signage program. In such case, it will be the builder's responsibility to furnish application stickers or supplemental signage to indicate specific information about a particular lot and builder. This information may include the builder's name, phone number, lot and block number and whether the lot is sold. Builder/owners must however coordinate with the **Master Developer** on the design and placement of any such application stickers.

Signage for use by the builder for other purpose must be preapproved by the **Master Developer**.

Homeowners reselling their homes are entitled to put one (1) "For Sale" sign of standard size conveying the name of the owner (if desired) listing agency and agent (if applicable) and telephone numbers (two maximum).

It is the responsibility of builders and homeowners to maintain any permitted signage in a neat, attractive manner. Any signage which is not maintained properly is subject to removal.

Permanent builder project signs and "bandit" signs will not be permitted within *Winston Hills*.

All signage within *Winston Hills* will use type face or such type face as established by the **Master Developer**, except individual builder permitted signs, unless otherwise permitted by the **Master Developer**.

Sign colors are to be selected to enhance quality. Bright orange, bright yellow and day glow colors are not acceptable. Color samples shall be included to the **DRC** submittal prior to constructing signs.

3.14.2 Project Logo

All uses of the project logo by parties other than the **Master Developer** are prohibited without prior written approval of the **Master Developer**. The use of the logo and logotype for advertising and marketing material is encouraged. A photoready copy of the artwork may be obtained from the **Master Developer**.

3.15 Model Home Area and Sales Office

Selection of all model home lots must be approved by the **Master Developer**. Model home lots are to be selected for best visibility.

With the exception of sales offices in a garage, the models should be presented as much as possible as the finished project would be sold. Sidewalks should meander between the units.

Gazebos and footbridges in front yards, as large decorative appurtenances, may detract from the model homes and are discouraged. Planters, flower pots, benches and other small decorations can provide a sense of scale and "lived in" appearance. The use of annual flowers is encouraged.

It is expected that landscape planting should exceed minimum requirements for other lots. Plants are to be selected from the plant list in the landscape section of this booklet. The builder/owner shall provide, at his expense, a planting plan for one model lot in each village to serve as an example of the minimum anticipated landscape treatment for each model.

If planting beds are extended from one lot to another to create a park like atmosphere, care is to be taken to not block drainage down side lot lines.

Signage for each model home must be preapproved by the **DRC**. If placed on corner lots, the sign must be located within the property line and within the sideyard setback. The sign can not obstruct site triangles at intersections. All signs are subject to the signage regulations of the City of Hendersonville.

In general, posts or framework are to be concealed or otherwise aesthetically treated. Bases of signs should be enclosed with lattice or other suitable material or screened with shrubs.

Trap fencing is permitted, but must be of the metal picket design listed in these guidelines. Other types of fencing may be given consideration by the DRC if the overall concept of the model home cluster requires variance. Split rail type fencing is not permitted.

Three metal or fiberglass flagpoles, not to exceed twenty (20) feet in height, may be used for each model home cluster. Flags larger than six (6) feet by eight (8) feet are not permitted.

Page 335

No advertising flags are permitted.

Exterior lighting is permissible on all model homes but must be designed and function in an appropriate and aesthetic manner as determined by the DRC. The general design standards for exterior lighting outlined under section 3 10.2 shall apply.

Off street parking is permitted. An off street parking lot shall be behind the established front building line and should be contained on one lot. Precautions are to be taken to preserve existing trees on site.

Paving must be hard surfaced, asphalt, concrete, or interlocking concrete pavers. Asphalt paving will require a hard edge border (treated wood, concrete or steel edging). In the absence of concrete curbs, wheel stops must be used.

Parking lanes are to be delineated for an orderly appearance. Parking lots are to be kept free of trash and debris.

The building of model homes and any associated parking lot require DRC approval of site plans.

Model homes shall be converted to standard family residences within sixty (60) days of closing. The DRC is to approve all aspects of conversion. Sales offices must be put back to a condition of typical units in the builder product line, i.e., French doors in garage walls are not permitted to remain but must be bricked in or replaced with operating garage doors or partially bricked and windowed. The conversion must return the model home to conformity with all design guidelines applicable to non-model homes.

CHAPTER 4 SUBMISSIONS AND APPROVAL

- 4.0 Any and all development of parcels or individual lots within *Winston Hills* must first be approved by the **Design Review Committee (DRC)** prior to commencing construction. Complete plans and specifications must be submitted to the **DRC** for review. The review will occur in a timely manner as outlined and will be for compliance with these guidelines. The **DRC** will issue a clear written statement of plan approval or in some cases a statement of why plans and specifications do not meet approval.

4.1 General Responsibilities

The **DRC** is responsible for providing a concise timely review of submitted plans and specifications. Plans and specifications will be reviewed for conformance with *Winston Hills* Design Guidelines and the Declaration of Covenants, Conditions and Restrictions for *Winston Hills*.

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The builder/owner is responsible for conformance with the Design Guidelines and Declaration of Covenants, Conditions and Restrictions. Upon approval by the **DRC**, the builder/owner is responsible for conforming to the approved plan and specifications. Construction of new homes, or additions and alterations, must be reviewed and approved by the **DRC** prior to any construction on any residence. The only exception is interior modifications.

4.2 Submission Requirements

The builder/owner is required to submit complete and accurate design and construction documents for examination by the **Design Review Committee (DRC)**. Submittals are to be made in two phases prior to the construction of any exterior improvement to any lot or parcel. Phase I may be omitted providing the Phase II submittal includes all the information required in Phase I.

Minimum submittal requirements for each phase are as follows: (additional information is encouraged).

Phase I

1. Schematic Site Plan Including:

- a. Site Plan indicating building setbacks, easements, right of way identification and location of trees greater than six (6) inches in diameter at DBH*. (Survey)

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- b. Utility service locations.
- c. Siting of improvements including house, driveway, walks, fences, mailbox, gas light, condensers, etc.
- d. Concept grading plan showing general grade relationships, location and method of sediment and erosion control and delineation of trees to be saved and method.

2. Preliminary Architectural Plans Including:

- a. Floor Plans at a scale of $\frac{1}{4}" = 1' - 0"$ or greater.
- b. Exterior Elevations at a scale of $\frac{1}{4}" = 1' - 0"$ or greater.
- c. Outline Specifications describing all materials to be used on the project.

* DBH is diameter at breast height, measured 6" from existing grade.

Phase II

1. Construction documents and specifications including:

- a. Final architectural and site development plans listed under Phase I above.
- b. Planting plan at a scale of $1" = 10'$ or greater
- c. Final Survey at appropriate scale.
- d. Final Specifications.
- e. Submittals of material samples.

The DRC shall review each submittal and approve or disapprove it in writing with recommend revisions to those aspects of the plans that are inconsistent with the design guidelines. The review and approval process shall not exceed the following time constraints:

Phase I

Schematic Site Plan

10 working days

Preliminary Building Development Plans

Phase II

Construction Documents

10 working days

Each submittal shall consist of three (3) sets of blue line prints and supplementary material specifications, if not on the drawings. One copy shall be returned to the builder/owner.

Construction shall proceed only after approval of the final set of drawings and specifications. Unapproved changes that occur during actual construction that differ from approved drawings will require alterations at the builder/owner's expense to restore compliance with approved drawings.

No drawings are considered approved unless they bear the DRC's "approved" stamp.

The builder/owner has complete responsibility for compliance with all governing Codes and Ordinances. Approval by the DRC shall not constitute approval by any other agency.

A plan submittal from is available from the Development Review Committee. Plans and Specifications should be submitted to:

Development Review Committee

**Preston Street Midsouth
59 Caudill Drive
Hendersonville, Tennessee 37075**

This instrument prepared by
and mail to:

A. Harrison Johnson, Jr., Attorney
213 Fifth Avenue North
Nashville, TN 37219

Pamela L. Whitaker, Register

Sumner County Tennessee

Rec #: 380856 Instrument 492542
Rec'd: 12.00 Wk: 73 Ps 406
State: 0.00 Recorded
Clerk: 0.00 9/14/1999 at 1:40 PM
EDP: 2.00 in Record Book
Total: 14.00

**FIRST
AMENDED**

**DECLARATION OF COVENANTS,
CONDITIONS AND RESTRICTIONS**

1025 Ps 799
This **FIRST AMENDED DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS**, hereinafter sometimes referred to as the "First Amended Declaration", set forth and entered into as of this the 14th day of September, 1999, by the undersigned "Declarant":

W I T N E S S E T H:

WHEREAS, Declarant is the owner of certain real property in Nashville, Sumner County, Tennessee, known as WINSTON HILLS [Village III], a Plat of which is of record in Book 17, page 374, Register's Office for Sumner County, Tennessee (the "Original Plat" herein);

AND, WHEREAS, the Declarant has executed and recorded a "Declaration of Covenants, Conditions and Restrictions" dated May 27, 1999, which are recorded in Record Book 982, page 242-340, said Register's Office (the "Original Declaration"), which relates to the Lots and Common Areas shown on the Original Plat;

AND, WHEREAS, the Declarant has caused subdivision Plats to be recorded with regard to additional Lots and Common Areas in: (1) Village III, designated as Lots 26, 27, 28, 29, 30, 49, 50, 51 and 52, as shown on Plat Book 18, pages 96 and 97, said Register's Office, and (2) Village II, designated as Lots 83, 84, 85, 100, 101, 102, 103, 104, 121, 122, 123, 124, 125, 126, 127 and 128, as shown on Plat Book 18, pages 96 and 98, said Register's Office (the "Additional Plat(s)");

AND, WHEREAS, Article IX, Section 3.C., on page 264, of the Original Declaration permits the Declarant to submit and subject additional Lots, Phases or Villages to the easements, restrictions, charges, liens, covenants, terms and conditions of the Original Declaration and to the Association formed thereunder.

NOW, THEREFORE, Declarant does hereby declare that all of the Lots and Common Areas shown and described on the Additional Plat(s) described above shall be held, sold and conveyed subject to all the easements, restrictions, charges, covenants, terms, liens and conditions contained in the Original Declaration, which are for the purpose of protecting the value and desirability of, and which shall run with the real property and be binding on all parties having any right, title or interest in the described properties or

any part thereof, their heirs, successors and assigns, and shall inure to the benefit of each owner thereof. And the Declarant does hereby incorporate by reference all the definitions, terms, conditions, easements, restrictions, charges, covenants, terms, liens and conditions contained in the Original Declaration herein, as if they were fully copied herein. Any modifications which shall be necessary in the Original Declaration, for purposes of this Amendment, such as Exhibit A and Exhibit B to the Original Declaration, shall be deemed to be made in this Amendment, as they apply to the said Lots and Common Areas shown on the Additional Plat(s). This document shall be known as the "First Amended Declaration".

IN WITNESS WHEREOF, the undersigned, being the Declarant herein, has caused this instrument to be executed by its duly authorized officer, as of this the 14th day of September, 1999.

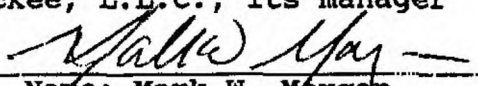
DECLARANT AND MASTER DEVELOPER:

RBAG/PRESTON - WINSTON HILLS, L.L.C., a Delaware limited liability company

By: MIXED TN - RBAG, L.L.C., a Delaware limited liability company, its member

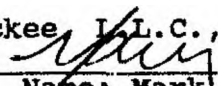
By: PS/MS - Bellevue, L.L.C., a manager

By: Chickee, L.L.C., its manager

By: 
Name: Mark W. Morgan
Title: Vice Managing Member

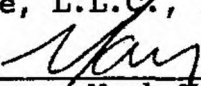
By: PS/MS - Cash, L.L.C., a manager

By: Chickee, L.L.C., its manager

By: 
Name: Mark W. Morgan
Title: Vice Managing Member

By: PS/MS - Bellevue, L.L.C., a Virginia limited liability company, its manager

By: Chickee, L.L.C., its manager

By: 
Name: Mark W. Morgan
Title: Vice Managing Member

ACKNOWLEDGMENTS

STATE OF Virginia)
COUNTY OF Fairfax) SS:

On September 14, 1999, before me, Debra E Olampo, a Notary Public in and for the said State and County, personally appeared Mark W. Morgan, with whom I am personally acquainted (or proved to me on the basis of satisfactory evidence) and who, upon oath, acknowledged himself to be the Vice Managing Member of CHICKEE, L.L.C., a Virginia limited liability company, the manager of (i) PS/MS CASH, L.L.C., a Virginia limited liability company, the manager of RBAG/Preston-Winston Hills, L.L.C., a Delaware limited liability company, the within named bargainer; and a manager of MIXED TN - RBAG, L.L.C., a Delaware limited liability company, the sole member of RBAG/Preston-Winston Hills, L.L.C., and (ii) PS/MS-BELLEVUE, L.L.C., a Virginia limited liability company, a manager of MIXED TN - RBAG, L.L.C., and that he executed the foregoing instrument for the purposes therein contained, by signing the name of the limited liability company by himself as such Vice Managing

Member
Witnessed by hand and official seal.



Debra E Olampo
Notary Public, State of Virginia
Commission Expires: 31 January 2000

THIS INSTRUMENT PREPARED BY:
Kay B. Housch, Esq. BPR#010995
Kay B. Housch, P.C.
Suite 310, 222 Second Avenue North
Nashville, Tennessee 37201

12.05
Pamela L. Whitaker, Register
Sumner County Tennessee
Rec #: 494484 Instrument 606169
Rec'd: 70.00 NBK: 89 Pg 34
State: 0.00 Recorded
Clerk: 0.00 6/5/2002 at 12:05 PM
EDP: 2.00 in Record Book
Total: 72.00
1488 Pg 509

SECOND AMENDED
DECLARATION OF COVENANTS
CONDITIONS AND RESTRICTIONS

THIS SECOND AMENDED DECLARATION OF COVENANTS,
CONDITIONS AND RESTRICTIONS, hereinafter referred to as the "Second Amended
Declaration", set forth and entered into as of this the 28th day of February, 2002.

WITNESSETH

WHEREAS, the undersigned are all of the Owners of lots in Winston Hills, plats
of record in Plat Book 17, page 374 and Plat Book 18, page 96, as revised in Plat Book
18, page 218; and

WHEREAS, said lots are encumbered by Phase One of Winston Hills (Village
III) Declaration of Covenants, Conditions and Restrictions recorded in Record Book 982,
page 242, Register's Office of Sumner County, Tennessee, (hereinafter referred to as the
"Original Declaration") and First Amended Declaration of Covenants, Conditions and
Restrictions recorded in Record Book 1025, page 799, said Register's Office (hereinafter
referred to as First Amended Declaration); said Original Declaration and First Amended
Declaration are hereinafter referred to as the "Declaration"; and

WHEREAS, pursuant to Article IX, General Provisions, Section 3.Amendment,
paragraph A. Duration and paragraph B. Supermajority Requirements, of the Original
Declaration, the covenants and restrictions of the Declaration may be changed, modified
or rescinded by an instrument in writing signed by not less than all of the Owners then
eligible to vote and shall be effective upon recording of such instrument in the Office of
the Register of Deeds of Sumner County, Tennessee; and

WHEREAS, the undersigned Owners desire to modify and amend the Declaration
to provide for modification or amendment of the Declaration by two-thirds of the votes of
the lot Owners at the time of the modification.

NOW THEREFORE, in consideration of the premises and Ten Dollars (\$10.00)
and other good and valuable consideration, the receipt of all of which is hereby
acknowledged, the Declaration is hereby modified and amended as follows:

Rt. Halo Properties, LLC

Second Amended Declaration
Page 2

1. Article IX General Provisions, Section 3. Amendment, paragraph A. Duration and paragraph B. Supermajority Requirements are hereby deleted in their entirety and the following is substituted in lieu thereof:

Section 3. Amendment. The covenants and restrictions of this Declaration shall run with and bind the land for a term of thirty (30) years from the date this Declaration is recorded, after which time they shall be automatically extended for six (6) successive periods of ten (10) years each. This Declaration may be changed, modified, amended or terminated by an instrument in writing, setting forth such change, modification, amendment or termination, and signed by Owners having not less than seventy five percent (75%) of the votes of the Owners at the time of said change, modification, amendment or termination. Any such change, modification, amendment or termination of said Declaration shall be effective upon recording of such instrument in the office of the Register of Deeds of Sumner County, Tennessee.

2. Article IX General Provision, Section 3. Amendment, paragraph C. Subjection/ Submittal of Adjacent Property Owned by the Declarant is hereby re-numbered as Article IX General Provisions, Section 19.

This Second Amended Declaration may be executed in one or more counterparts, each of which shall be deemed an original, all of which together constitute the same instrument.

IN WITNESS WHEREOF, the undersigned have caused this instrument to be executed as of the date first above written.

Second Amended Declaration
Page 3

Winston Hills Partner, LLC a
Tennessee Limited Liability
Company

By: A. D. Hale

Its: Chief Manager

Owner of Lot Nos. 129, 130, 131, 132, 133, 134, 135, 136, 137, 138,
139, of record in Record Book 1433, page 333, Register's Office,
Sumner County, Tennessee.

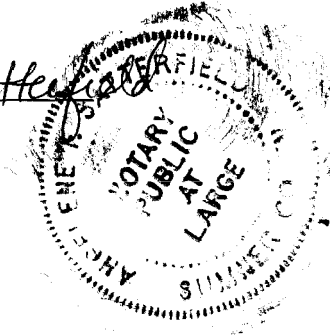
STATE OF Tennessee
COUNTY OF Sumner

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, A. Denny Hale, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that he executed the within instrument for the purposes therein contained, and who further acknowledged that he is the Chief Manager of the maker or a constituent of the maker and is authorized by the maker or by its constituent, the constituent being authorized by the maker, to execute this instrument on behalf of the maker.

Witness my hand this 28 day of February, 2002.

My commission expires: 8/4/03

Angela F. Satterfield
Notary Public



Second Amended Declaration
Page 4

Owners of Lot No. 128, of record in Record Book 1279, page 461, Register's Office,
Sumner Co., TN

Jeffrey A. Waters
Jeffrey A. Waters

Deborah J. Waters
Deborah J. Waters

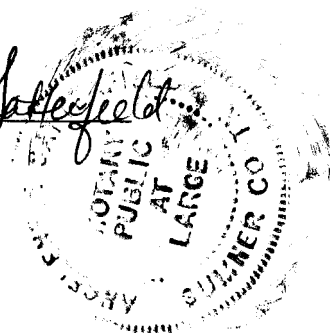
STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, JEFFREY A. WATERS and DEBORAH J. WATERS, husband and wife, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that they executed the within instrument for the purposes therein contained.

Witness my hand this 28 day of February, 2002.

My commission expires: 8/4/03

Angela Z. Satterfield
Notary Public



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Second Amended Declaration
Page 5

Owner of Lot No. 126, of record in Record Book 1279, page 455, Register's Office,
Sumner Co., TN

Mark Williams
Mark Williams

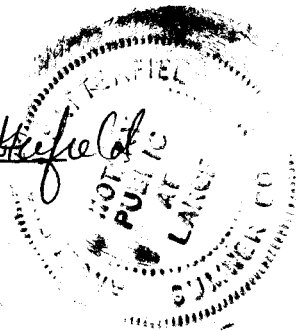
STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County
and State, MARK WILLIAMS, a ^{single} married man, with whom I am personally acquainted or
proved to me on the basis of satisfactory evidence, and who acknowledged that he
executed the within instrument for the purposes therein contained.

Witness my hand this 28 day of February, 2002.

My commission expires: 8/4/03

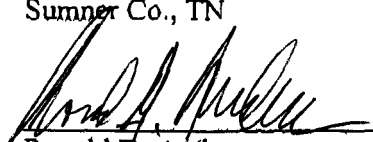
Angeline F. Whitefield
Notary Public

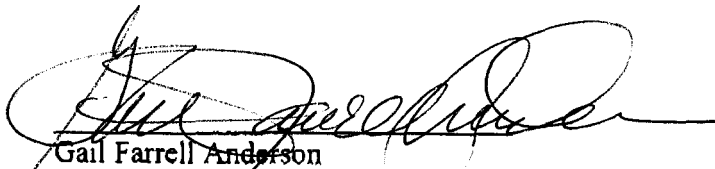


Second Amended Declaration
Page 6

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Owners of Lot No. 100, of record in Record Book 1282, page 32, Register's Office,
Sumner Co., TN


Ronald D. Anderson

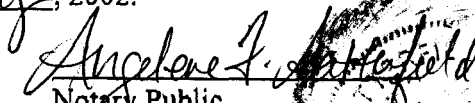

Gail Farrell Anderson

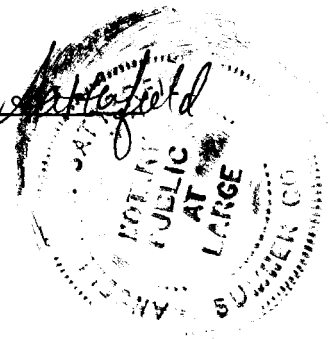
STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, RONALD D. ANDERSON and wife, GAIL FARRELL ANDERSON, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that they executed the within instrument for the purposes therein contained.

Witness my hand this 28 day of February, 2002.

My commission expires: 3/4/03


Notary Public



Second Amended Declaration
Page 7

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Owner of Lot No. 101, of record in Record Book 1279, page 530, Register's Office,
Sumner Co., TN

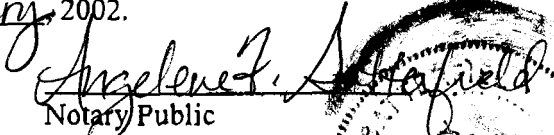

Deborah Holmes

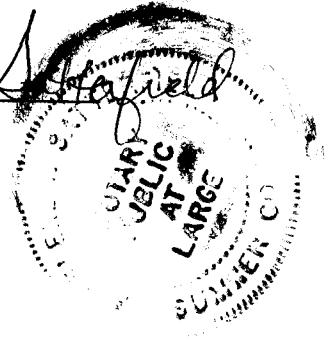
STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, DEBORAH HOLMES, a married woman, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that she executed the within instrument for the purposes therein contained.

Witness my hand this 28 day of February, 2002.

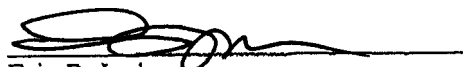
My commission expires: 8/4/03

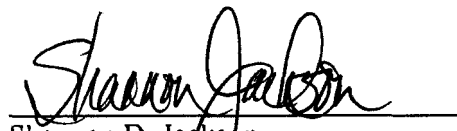

Notary Public



Second Amended Declaration
Page 8

Owners of Lot No. 124, of record in Record Book 1279, page 568, Register's Office,
Sumner Co., TN


Eric P. Jackson

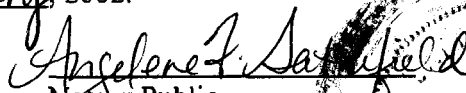

Shannon D. Jackson

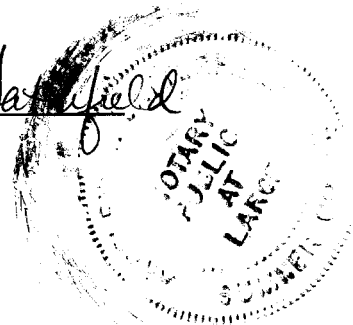
STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, ERIC P. JACKSON and SHANNON D. JACKSON, husband and wife, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that they executed the within instrument for the purposes therein contained.

Witness my hand this 28 day of February, 2002.

My commission expires: 8/4/03


Notary Public



Second Amended Declaration
Page 9

Page 517

Owners of Lot No. 125, of record in Record Book 1279, page 486, Register's Office,
Sumner Co., TN

William R. Murray
William Murray

Debra L. Murray
~~Deborah J. Waters~~
DEBRA L. MURRAY

STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, WILLIAM MURRAY and DEBRA MURRAY, husband and wife, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that they executed the within instrument for the purposes therein contained.

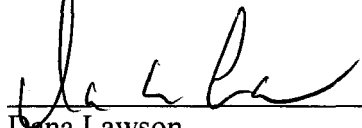
Witness my hand this 28 day of February, 2002.

My commission expires: 8/4/03

Angelene J. Safford
Notary Public



Owners of Lot No. 51, of record in Record Book 1176, page 160, Register's Office,
Sumner Co., TN


Dana Lawson

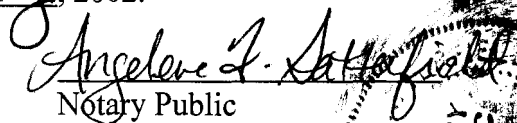

Julia Lawson

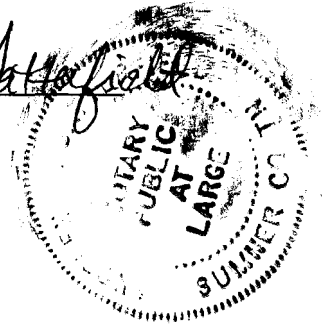
STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, DANA LAWSON and wife, JULIA LAWSON, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that they executed the within instrument for the purposes therein contained.

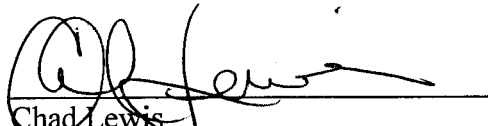
Witness my hand this 28 day of February, 2002.

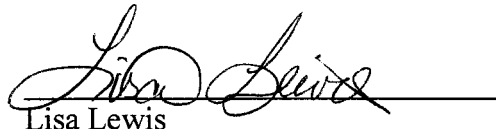
My commission expires: 8/4/03


Notary Public



Owners of Lot No. 27, of record in Record Book 1176, page 288, Register's Office,
Sumner Co., TN


Chad Lewis

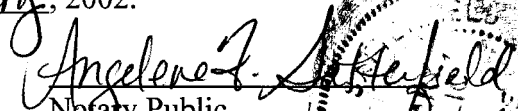

Lisa Lewis

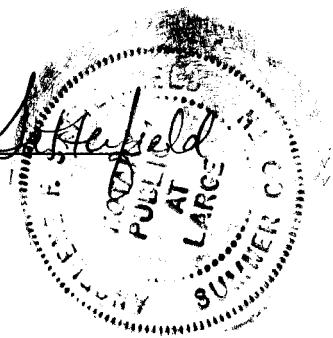
STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, CHAD LEWIS and wife, LISA LEWIS, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that they executed the within instrument for the purposes therein contained.

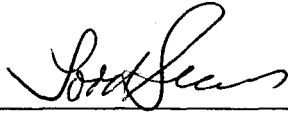
Witness my hand this 28 day of February, 2002.

My commission expires: 8/4/03

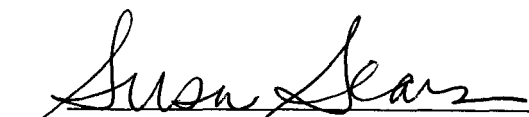

Notary Public



Owners of Lot No. 52, of record in Record Book 1281, page 581, Register's Office, Sumner Co., TN, as corrected in deed of record in Record Book ___, page ___, said Register's Office.



Todd Sears



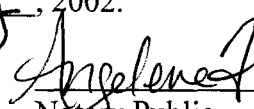
Susan Sears

STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, TODD SEARS and wife, SUSAN SEARS, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that they executed the within instrument for the purposes therein contained.

Witness my hand this 28 day of February, 2002.

My commission expires: 8/4/03



Notary Public



Second Amended Declaration
Page 14

Community Development, LLC a
Tennessee Limited Liability
Company

By: acell

Its: Chief Manager

Owner of Lot Nos. 83,84,85,102,103,104,121,122,123,127, of record in
Record Book 1433, page 351, Register's Office, Sumner County,
Tennessee.

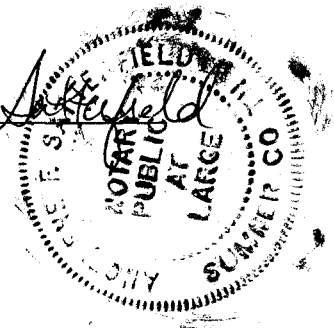
STATE OF Tennessee
COUNTY OF Sumner

Personally appeared before me, the undersigned, a Notary Public in and for said
County and State, A. Danny Hale, with whom I am personally acquainted or
proved to me on the basis of satisfactory evidence, and who acknowledged that he
executed the within instrument for the purposes therein contained, and who further
acknowledged that he is the Chief Manager of the maker or a constituent of the
maker and is authorized by the maker or by its constituent, the constituent being
authorized by the maker, to execute this instrument on behalf of the maker.

Witness my hand this 28 day of February, 2002.

My commission expires: 8/4/03

Angeline J. Anterfield
Notary Public



HALO Properties, LLC a Tennessee
Limited Liability Company

By: [Signature]

Its: Chief Manager

Owner of Lot Nos. 26, 28, 29, 30, 49, of record in Record Book 1433,
page 292, Register's Office, Sumner County, Tennessee.

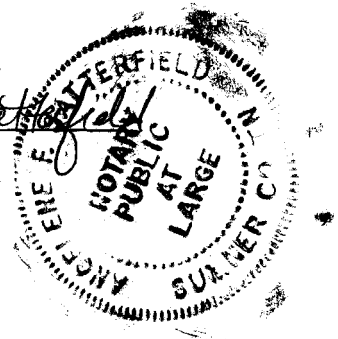
STATE OF Tennessee
COUNTY OF Sumner

Personally appeared before me, the undersigned, a Notary Public in and for said
County and State, A. Danny Hale, with whom I am personally acquainted or
proved to me on the basis of satisfactory evidence, and who acknowledged that he
executed the within instrument for the purposes therein contained, and who further
acknowledged that he is the Chief Manager of the maker or a constituent of the
maker and is authorized by the maker or by its constituent, the constituent being
authorized by the maker, to execute this instrument on behalf of the maker.

Witness my hand this 28 day of February, 2002.

My commission expires: 8/4/03

Angela J. Satterfield
Notary Public



03/26/2002 15:26

2643889

CRYELEIKE

PAGE 02

Pamela L. Whitaker, Register
 Sumner County Tennessee
 Rec #: 494489 Instrument 606174
 Rec'd: 10.00 NRK: 89 Pa 34
 State: 0.00 Recorded
 Clerk: 0.00 6/5/2002 at 12:05 PM
 Notary: 2.00 in Record Book
 Total: 12.00

1488 Pa 550

APPOINTMENT OF SUCCESSOR DECLARANT FOR WINSTON HILLS SUBDIVISION

This Appointment of Successor Declarant For Winston Hills Subdivision set forth and entered into this 26 day of MARCH, 2002, by the undersigned.

WITNESSETH:

WHEREAS, by instrument entitled Phase One of Winston Hills (Village III) Declaration of Covenants, Conditions and Restrictions, recorded in Record Book 982, page 242, Register's Office for Sumner County, Tennessee, RBAG/Preston - Winston Hills, LLC was named "Declarant" as defined therein; and

WHEREAS, by Construction Trust Deed with Assignment of Rents, Security Agreement and Fixture Filing of record in Book 843, Page 297, Register's Office for Sumner County, Tennessee (the "*Deed of Trust*") RBAG/Preston - Winston Hills, LLC, conveyed to Joseph B. Pitt, Jr., Trustee, the hereinafter described property for the purpose of securing the payment of the indebtedness and performance of the obligations therein set forth, together with all rights appurtenant thereto; and

WHEREAS, Laura Lincoln was appointed Successor Trustee on November 21, 2000, to serve in the place and stead of Joseph B. Pitt, Jr., Trustee, said appointment being recorded in Book 1180, Page 117, said Register's Office; and

WHEREAS, default was made in the terms and conditions of said Deed of Trust; and the beneficiary requested Laura Lincoln, Successor Trustee, to advertise and sell said property under the terms and provisions of said Deed of Trust; and

WHEREAS, in pursuance of said request of said beneficiary, the said property was advertised for sale in conformity with the terms and provisions of said Deed of Trust, by which advertisement the sale was appointed to be held on the 20th day of April, 2001, at the Sumner County Courthouse in Gallatin, Tennessee; and

WHEREAS, at the time and place mentioned in said advertisement, Laura Lincoln, Successor Trustee, offered said property for sale at public outcry to the highest and best bidder for cash (or credit upon the indebtedness secured if the holder of the secured indebtedness were the successful bidder) at which sale, Indymac Bank, F.S.B. d/b/a Construction Lending Corporation of America, the holder of the secured indebtedness, was the highest and best bidder and became the purchaser of said property for the sum of \$5,050,000.00; and

WHEREAS, Laura Lincoln, as Successor Trustee, did grant, bargain, sell and convey to the said Indymac Bank, F.S.B. d/b/a Construction Lending Corporation of America, in fee simple forever, the property above mentioned in the County of Sumner and State of Tennessee, by Trustee's Deed recorded in Record Book 1262, page 480, Register's Office for Sumner County, Tennessee, together with all rights appurtenant thereto; and

Received 26-03-02 15:23

From-2643889

To-C,L,C,A,-CHICAGO

Page 02

Page 551

WHEREAS, Indymac Bank, F.S.B. d/b/a Construction Lending Corporation of America did grant, bargain, sell and convey to HALO Properties, LLC in fee simple forever, the property by Special Warranty Deed recorded in Record Book 1433, page 292, Register's Office for Sumner County, Tennessee, together with all rights appurtenant thereto.

NOW, THEREFORE, in consideration of the premises contained herein, the undersigned, Indymac Bank, F.S.B. d/b/a Construction Lending Corporation of America, does hereby appoint HALO Properties, LLC as the Successor Declarant pursuant to the Phase One of Winston Hills (Village III) Declaration of Covenants, Conditions and Restrictions, recorded in Record Book 982, page 242, Register's Office for Sumner County, Tennessee, to serve in the place and stead of RBAG/Preston - Winston Hills, LLC.

ENTERED the day and date first above written.

INDYMACBANK F.S.B. d/b/a/
CONSTRUCTION LENDING
CORPORATION OF AMERICA

BY: Scott W. Morris
SCOTT W. MORRIS
VICE PRESIDENT

STATE OF ILLINOIS
COUNTY OF COOK

Personally appeared before me, Gloria Martinez, a Notary Public, Scott W. Morris, with whom I am personally acquainted, and who acknowledged that he executed the within instrument for the purposes therein contained, and who further acknowledged that he is the VP of INDYMACBANK F.S.B. d/b/a CONSTRUCTION LENDING CORPORATION OF AMERICA, a Corporation and is authorized by the corporation to execute this instrument on behalf of the corporation.

WITNESS my hand, at office, this 26 day of March, 2002.

Gloria Martinez
NOTARY PUBLIC

My commission expires June 23, 2003

Worddocs\realprop.Winston.hills.appointment.doc

PREPARED BY:
KAY HOUSCH, ESQ.,
NASHVILLE, TN



Received 28-03-02 15:23

From-2543889

To-C,L,C,A,-CHICAGO

Page 03

Pamela L. Whitaker, Register
Sumner County Tennessee
Rec #: 494492 Instrument 606177
Rec'd: 15.00 NBK: 89 Pg 34
State: 0.00 Recorded
Clerk: 0.00 6/5/2002 at 12:05 PM
EDP: 2.00 in Record Book
Total: 17.00
1488 Pg 554

This instrument prepared by:
Boult, Cummings, Conners & Berry, PLC (APC)
414 Union Street, Suite 1600
Nashville, Tennessee 37319

**THIRD AMENDMENT TO DECLARATION
OF COVENANTS, CONDITIONS AND RESTRCITIONS**

THIS THIRD AMENDMENT is made the 5th day of
June, 2002.

WHEREAS, the undersigned constitute seventy-five percent (75%) of the votes of the Owners of lots in Winston Hills plats of record in Plat Book 17, page 374 and Plat Book 18, page 218; and

WHEREAS, said lots are encumbered by that certain Declaration of Covenants, Conditions and Restrictions, of record in Record Book 982, page 242, Register's Office for Sumner County, Tennessee, as amended by that certain First Amended Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1025, page 799, said Register's Office and by that certain Second Amended Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1488, page 509, said Register's Office (collectively, the "Declaration"); and

WHEREAS, the undersigned desires to amend the Declaration to accommodate certain requirements of the Federal Housing Administration and the Veterans Administration; and

WHEREAS, this Amendment has been approved by majority vote of the Owners;

NOW, THEREFORE, for good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Declaration is hereby amended as follows, with all capitalized terms not otherwise defined herein having the meaning set forth in the Declaration:

1. The following is hereby inserted at the end of Article XIII, Section 1 of the Declaration:

As long as there is a Class B membership, the following actions will require the prior approval of the Federal Housing Administration or the Veterans Administration: Annexation of additional properties, dedication of Common Area, and amendment of this Declaration.

2. Except as expressly amended hereby, the Declaration shall remain in full force and effect and is hereby ratified and affirmed.

IN WITNESS WHEREOF, the undersigned has executed this Amendment as of the day and year first above written.

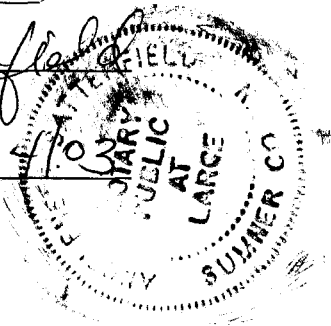
Community Development, LLC
By: CDL
Title: Chief Manager
Percentage Ownership: 27%

STATE OF TENNESSEE
COUNTY OF _____

Personally appeared before me, Angelene Satterfield Notary Public, Alvin D. Hale, with whom I am personally acquainted, and who acknowledged that he/she executed the foregoing instrument for the purposes therein contained and who further acknowledged that he is Chief Manager of Community Development, LLC, a Tennessee Limited Liability Company, and is authorized to execute this instrument on behalf of said Company.

WITNESS my hand, at office, this 5th day of June, 2002.

Angelene Satterfield
Notary Public
My Commission Expires: Aug. 11, 2005



IN WITNESS WHEREOF, the undersigned has executed this Amendment as of the day and year first above written.

HALO Properties, LLC
 By: [Signature]
 Title: Chief Manager
 Percentage Ownership: 48%

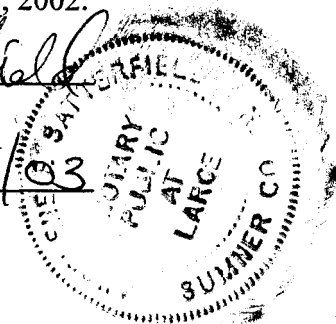
STATE OF TENNESSEE
 COUNTY OF _____

Personally appeared before me, Angelene Satterfield, Notary Public, Alvin O. Hall, with whom I am personally acquainted, and who acknowledged that he/she executed the foregoing instrument for the purposes therein contained and who further acknowledged that he is Chief Manager of HALO Properties, LLC, a Tennessee Limited Liability Company, and is authorized to execute this instrument on behalf of said Company.

WITNESS my hand, at office, this 5th day of June, 2002.

Angelene Satterfield
 Notary Public

My Commission Expires: Aug 4/03



2-8-03

Pamela L. Whitaker, Register
Sumner County Tennessee
Rec #: 522692 Instrument 634381
Rec'd: 15.00 NBk: 92 Pg 438
State: 0.00 Recorded
Clerk: 0.00 1/16/2003 at 9:30 am
EDP: 2.00 in Record Book
Total: 17.00
1635 Pg 615

This instrument prepared by:
Kay B. Housch, Esq., BPR #010995
Kay B. Housch, P.C.
222 Second Ave. North, Suite 310
Nashville TN 37201

**SUPPLEMENTAL DECLARATION TO
DECLARATION OF RESTRICTIVE COVENANTS OF WINSTON HILLS**

THIS SUPPLEMENTAL DECLARATION is made the 13th day of January, 2003, by **WINSTON HILLS PARTNERS, LLC**, a Tennessee limited liability company (the "Owner"), and **HALO PROPERTIES, LLC**, a Tennessee limited liability company (the "Declarant").

WHEREAS, **WINSTON HILLS PARTNERS, LLC** is the Owner of certain real property in Hendersonville, Sumner County, Tennessee, known as Winston Hills Subdivision Phase III, a plat of which is of record in Book 20, page 353, Register's Office, Sumner County, Tennessee; and

WHEREAS, **HALO PROPERTIES, LLC** is the Declarant for Winston Hills Subdivision pursuant to the **APPOINTMENT OF SUCCESSOR DECLARANT FOR WINSTON HILLS SUBDIVISION** as recorded in Record Book 1488, page 550, Register's Office, Sumner County, Tennessee; and

WHEREAS, the original Declarant has executed and recorded "Declaration of Covenants, Conditions and Restrictions" dated May 27, 1999, which are recorded in Record Book 982, pages 242-340, Register's Office, Sumner County, Tennessee (the "Original Declaration"), which relates to the Lots and Common Areas shown on the Original Plat; and

WHEREAS, Owner desires to subject the portion of the Additional Property described on Exhibit "A" attached (the "Annexed Property") to the terms and conditions of the Declaration;

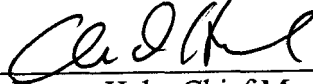
WHEREAS, Owner has requested that the Declarant subject the portion of the Additional Property described on Exhibit "A" attached (the "Annexed Property") to the terms and conditions of the Declaration and Declarant has agreed.

NOW, THEREFORE, for good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Declarant and Owner do hereby declare that the Annexed Property shall be held and conveyed subject to the terms, covenants, restrictions and conditions set forth in the Declaration, which are hereby adopted as covenants to run with the land and bind all present and future owners of the Annexed Property. This Supplemental Declaration is being made pursuant to the terms of Article IV Section 3.1 of the Declaration for the purpose of annexing the Annexed Property to the scheme of the Declaration and extending the jurisdiction of the Association (as defined in the Declaration) to cover the Annexed Property. The annexation of the Annexed Property to the Declaration shall be effective upon the recording of this Supplemental Declaration with the Register of Deeds of Sumner County, Tennessee.

IN WITNESS WHEREOF, the undersigned have executed this Supplemental Declaration as of the day and year first above written.

Rt. Southland Jtlc

**HALO PROPERTIES, LLC, a
Tennessee limited liability company**

By: 
A. Danny Hale, Chief Manager

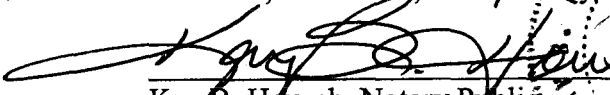
**WINSTON HILLS PARTNERS, LLC, a
Tennessee limited liability company**

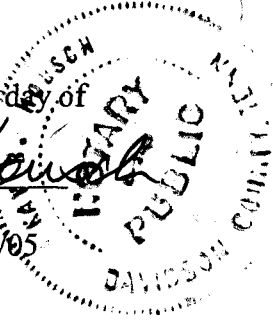
By: 
A. Danny Hale, Chief Manager

**STATE OF TENNESSEE
COUNTY OF DAVIDSON**

Personally appeared before me, a Notary Public, in and for said County and State, **A. Danny Hale**, with whom I am personally acquainted, and who acknowledged that he executed the within instrument for the purposes therein contained, and who further acknowledged that he is the Chief Manager of **HALO PROPERTIES, LLC**, a Tennessee limited liability company, and is authorized to execute this instrument on behalf of the said limited liability company.

Witness my hand and official seal at Nashville, Tennessee, this 15th day of January, 2003.

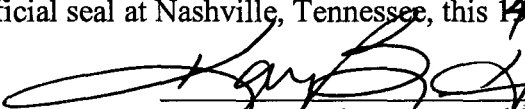

Kay B. Housch, Notary Public
My Commission Expires: 7/30/05



**STATE OF TENNESSEE
COUNTY OF DAVIDSON**

Personally appeared before me, a Notary Public, in and for said County and State, **A. Danny Hale**, with whom I am personally acquainted, and who acknowledged that he executed the within instrument for the purposes therein contained, and who further acknowledged that he is the Chief Manager of **WINSTON HILLS PARTNERS, LLC**, a Tennessee limited liability company, and is authorized to execute this instrument on behalf of the said limited liability company.

Witness my hand and official seal at Nashville, Tennessee, this 15th day of January, 2003.


Kay B. Housch, Notary Public
My Commission Expires: 7/30/05

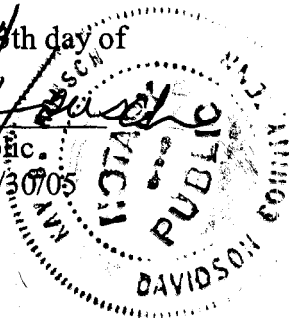


EXHIBIT "A"

Legal Description of Annexed Property

Being property shown on the Plat of Winston Hills Subdivision, Phase III, of record in Book 20, page 353, Register's Office, Sumner County, Tennessee.

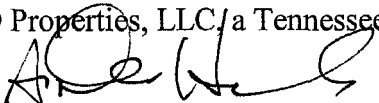
Being part of the same property conveyed to Winston Hills Partners, LLC, a Tennessee limited liability company, by deed of record in Record Book 1433, page 333, Register's Office, Sumner County, Tennessee.

NOW THEREFORE, in consideration of the premises and Ten Dollars (\$10.00) and other good and valuable consideration, the receipt of all of which is hereby acknowledged, the Successor Declarant does hereby declare that the property shown on the Final Plat of Winston Hills Phase I, Section III, recorded in Plat Book 21, page 54, Register's Office of Sumner County, Tennessee, shall be held and conveyed subject to the terms, covenants, conditions and restrictions set forth in the Declaration, which are hereby adopted as covenants running with the land and bind all present and future owners of the said property. This Fourth Amendment is made pursuant to the terms of Article IX Section 3 C of the Declaration for the purpose of annexing the said property to the scheme of the Declaration and extending the jurisdiction of the Association (as defined in the Declaration) to cover the said property. The annexation of the said property to the Declaration shall be effective upon the recording of this Fourth Amendment to Declaration of Covenants, Conditions and Restrictions with the Register of Deeds of Sumner County, Tennessee.

IN WITNESS WHEREOF, the undersigned has caused this instrument to be executed as of the date first above written.

HALO Properties, LLC/a Tennessee limited liability company

By:


A. Danny Hale, Chief Manager

STATE OF TENNESSEE
COUNTY OF DAVIDSON

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, A. Danny Hale, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that he executed the within instrument for the purposes therein contained, and who further acknowledged that he is the Chief Manager of the maker or a constituent of the maker and is authorized by the maker or by its constituent, the constituent being authorized by the maker, to execute this instrument on behalf of the maker.

Witness my hand this 19th day of June, 2003.

My commission expires: 7/30/05


Notary Public

THIS INSTRUMENT PREPARED BY:
Kay B. Housch, Esq. BPR#010995
Kay B. Housch, P.C.
Suite 310, 222 Second Avenue North
Nashville, Tennessee 37201

91.22

Pamela L. Whitaker, Register
Sumner County Tennessee
Rec #: 564360 Instrument 681158
Rec'd: 10.00 NBK: 99 Pg 233
State: 0.00 Recorded
Clerk: 0.00 11/18/2003 at 9:22 am
EDP: 2.00 in Record Book
Total: 12.00
1894 Pg 667

FIFTH AMENDMENT TO
DECLARATION OF COVENANTS
CONDITIONS AND RESTRICTIONS

THIS FOURTH AMENDMENT TO DECLARATION OF COVENANTS,
CONDITIONS AND RESTRICTIONS, hereinafter referred to as the "Fifth
Amendment", set forth and entered into as of this the 7th day of November, 2003.

WITNESSETH

WHEREAS, the undersigned was appointed Successor Declarant for Winston
Hills Subdivision by instrument recorded in Record Book 1488, page 550, Register's
Office of Sumner County, Tennessee; and

WHEREAS, the Successor Declarant owns certain property in Hendersonville,
Sumner County, Tennessee, shown on the Final Plat of Winston Hills Phase I, Section IV
recorded in Plat Book 21, page 170, Register's Office of Sumner County, Tennessee,
which property adjoins property that has been developed as Winston Hills Subdivision
pursuant to that certain Declaration of Covenants, Conditions and Restrictions recorded
in Record Book 982, page 242, Register's Office of Sumner County, Tennessee,
(hereinafter referred to as the "Original Declaration") and First Amended Declaration of
Covenants, Conditions and Restrictions recorded in Record Book 1025, page 799, said
Register's Office (hereinafter referred to as First Amended Declaration) and Second
Amended Declaration of Covenants, Conditions and Restrictions recorded in Record
Book 1488, page 509, said Register's Office (hereinafter referred to as Second Amended
Declaration) and Third Amendment to Declaration of Covenants, Conditions and
Restrictions recorded in Record Book 1488, page 554, said Register's Office (hereinafter
referred to as Third Amendment); and Fourth Amendment to Declaration of Covenants,
Conditions and Restrictions recorded in Record Book 1764, page 658, said Register's
Office; said Original Declaration, First Amended Declaration, Second Amended
Declaration, Third Amendment and Fourth Amendment are hereinafter referred to as the
"Declaration"; and

WHEREAS, said Successor Declarant desires that all of the property shown on
the plat hereinabove referenced shall be subject to and benefited by the terms and
conditions of said Declaration; and

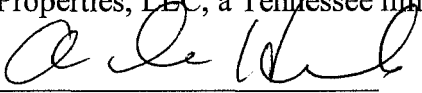
WHEREAS, Article IX Section 3 C of the Declaration allows the Declarant or its
successors or assigns in title to subject/submit additional phases to the Association and

Declaration, as long as the newly submitted phase is part of a general plan for the property.

NOW THEREFORE, in consideration of the premises and Ten Dollars (\$10.00) and other good and valuable consideration, the receipt of all of which is hereby acknowledged, the Successor Declarant does hereby declare that the property shown on the Final Plat of Winston Hills Phase I, Section IV, recorded in Plat Book 21, page 170, Register's Office of Sumner County, Tennessee, shall be held and conveyed subject to the terms, covenants, conditions and restrictions set forth in the Declaration, which are hereby adopted as covenants running with the land and bind all present and future owners of the said property. This Fifth Amendment is made pursuant to the terms of Article IX Section 3 C of the Declaration for the purpose of annexing the said property to the scheme of the Declaration and extending the jurisdiction of the Association (as defined in the Declaration) to cover the said property. The annexation of the said property to the Declaration shall be effective upon the recording of this Fifth Amendment to Declaration of Covenants, Conditions and Restrictions with the Register of Deeds of Sumner County, Tennessee.

IN WITNESS WHEREOF, the undersigned has caused this instrument to be executed as of the date first above written.

HALO Properties, LLC, a Tennessee limited liability company

By: 

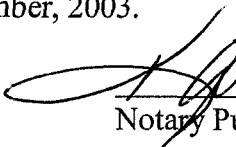
A. Danny Hale, Chief Manager

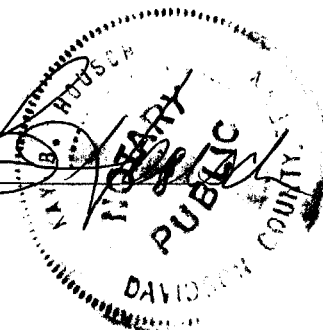
STATE OF TENNESSEE
COUNTY OF DAVIDSON

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, A. Danny Hale, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that he executed the within instrument for the purposes therein contained, and who further acknowledged that he is the Chief Manager of the maker or a constituent of the maker and is authorized by the maker or by its constituent, the constituent being authorized by the maker, to execute this instrument on behalf of the maker.

Witness my hand this 7th day of November, 2003.

My commission expires: 7/30/05


Notary Public



THIS INSTRUMENT PREPARED BY:
Kay B. Housch, Esq. BPR#010995
Kay B. Housch, P.C.
Suite 310, 222 Second Avenue North
Nashville, Tennessee 37201

Pamela L. Whitaker, Register
Sumner County Tennessee
Rec #: 597783
Rec'd: 10.00 Instrument #: 727975
State: 0.00
Clerk: 0.00 Recorded
EDP: 2.00 11/29/2004 at 9:00 am
Total: 12.00 in
Record Book 2141 Pgs 614-615

SIXTH AMENDMENT TO
DECLARATION OF COVENANTS
CONDITIONS AND RESTRICTIONS

THIS SIXTH AMENDMENT TO DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS, hereinafter referred to as the "Sixth Amendment", set forth and entered into as of this the 22nd day of November, 2004.

WITNESSETH

WHEREAS, the undersigned was appointed Successor Declarant for Winston Hills Subdivision by instrument recorded in Record Book 1488, page 550, Register's Office of Sumner County, Tennessee; and

WHEREAS, the Successor Declarant owns certain property in Hendersonville, Sumner County, Tennessee, shown on the Final Plat of Winston Hills Phase V, Section I recorded in Plat Book 22, page 50, Register's Office of Sumner County, Tennessee, which property adjoins property that has been developed as Winston Hills Subdivision pursuant to that certain Declaration of Covenants, Conditions and Restrictions recorded in Record Book 982, page 242, Register's Office of Sumner County, Tennessee, (hereinafter referred to as the "Original Declaration") and First Amended Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1025, page 799, said Register's Office (hereinafter referred to as First Amended Declaration) and Second Amended Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1488, page 509, said Register's Office (hereinafter referred to as Second Amended Declaration) and Third Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1488, page 554, said Register's Office (hereinafter referred to as Third Amendment); and Fourth Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1764, page 658, said Register's Office; and Fifth Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1894, page 667, said Register's Office; said Original Declaration, First Amended Declaration, Second Amended Declaration, Third Amendment, Fourth Amendment and Fifth Amendment are hereinafter referred to as the "Declaration"; and

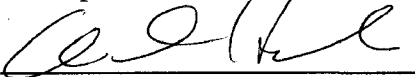
WHEREAS, said Successor Declarant desires that all of the property shown on the plat hereinabove referenced shall be subject to and benefited by the terms and conditions of said Declaration; and

WHEREAS, Article IX Section 3 C of the Declaration allows the Declarant or its successors or assigns in title to subject/submit additional phases to the Association and Declaration, as long as the newly submitted phase is part of a general plan for the property.

NOW THEREFORE, in consideration of the premises and Ten Dollars (\$10.00) and other good and valuable consideration, the receipt of all of which is hereby acknowledged, the Successor Declarant does hereby declare that the property shown on the Final Plat of Winston Hills Phase V, Section I, recorded in Plat Book 22, page 50, Register's Office of Sumner County, Tennessee, shall be held and conveyed subject to the terms, covenants, conditions and restrictions set forth in the Declaration, which are hereby adopted as covenants running with the land and bind all present and future owners of the said property. This Sixth Amendment is made pursuant to the terms of Article IX Section 3 C of the Declaration for the purpose of annexing the said property to the scheme of the Declaration and extending the jurisdiction of the Association (as defined in the Declaration) to cover the said property. The annexation of the said property to the Declaration shall be effective upon the recording of this Sixth Amendment to Declaration of Covenants, Conditions and Restrictions with the Register of Deeds of Sumner County, Tennessee.

IN WITNESS WHEREOF, the undersigned has caused this instrument to be executed as of the date first above written.

HALO Properties, LLC, a Tennessee limited liability company

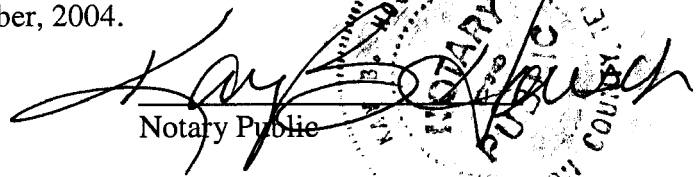
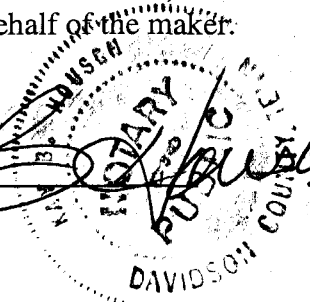
By: 
A. Danny Hale, Chief Manager

STATE OF TENNESSEE
COUNTY OF DAVIDSON

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, A. Danny Hale, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that he executed the within instrument for the purposes therein contained, and who further acknowledged that he is the Chief Manager of the maker or a constituent of the maker and is authorized by the maker or by its constituent, the constituent being authorized by the maker, to execute this instrument on behalf of the maker.

Witness my hand this 22nd day of November, 2004.

My commission expires: 7/30/05


Notary Public


THIS INSTRUMENT PREPARED BY:
 Kay B. Housch, Esq. BPR#010995
 Kay B. Housch, P.C.
 Suite 310, 222 Second Avenue North
 Nashville, Tennessee 37201

Pamela L. Whitaker, Register
 Sumner County Tennessee
 Rec #: 601444
 Rec'd: 10.00 Instrument #: 733176
 State: 0.00
 Clerk: 0.00 Recorded
 EDP: 2.00 1/12/2005 at 10:00 am
 Total: 12.00 in
 Record Book 2169 Pgs 749-750

**SEVENTH AMENDMENT TO
 DECLARATION OF COVENANTS
 CONDITIONS AND RESTRICTIONS**

THIS SEVENTH AMENDMENT TO DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS, hereinafter referred to as the "Seventh Amendment", set forth and entered into as of this the 7th day of January, 2005.

WITNESSETH

WHEREAS, the undersigned was appointed Successor Declarant for Winston Hills Subdivision by instrument recorded in Record Book 1488, page 550, Register's Office of Sumner County, Tennessee; and

WHEREAS, the Successor Declarant owns certain property in Hendersonville, Sumner County, Tennessee, shown on the Final Plat of Winston Hills Phase V, Section II recorded in Plat Book 22, page 117, Register's Office of Sumner County, Tennessee, which property adjoins property that has been developed as Winston Hills Subdivision pursuant to that certain Declaration of Covenants, Conditions and Restrictions recorded in Record Book 982, page 242, Register's Office of Sumner County, Tennessee, (hereinafter referred to as the "Original Declaration") and First Amended Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1025, page 799, said Register's Office (hereinafter referred to as First Amended Declaration) and Second Amended Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1488, page 509, said Register's Office (hereinafter referred to as Second Amended Declaration) and Third Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1488, page 554, said Register's Office (hereinafter referred to as Third Amendment); and Fourth Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1764, page 658, said Register's Office; and Fifth Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1894, page 667, said Register's Office; and Sixth Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book 2141, page 614, said Register's Office; said Original Declaration, First Amended Declaration, Second Amended Declaration, Third Amendment, Fourth Amendment, Fifth Amendment and Sixth Amendment are hereinafter referred to as the "Declaration"; and

WHEREAS, said Successor Declarant desires that all of the property shown on the plat herein referenced shall be subject to and benefited by the terms and conditions of said Declaration; and

WHEREAS, Article IX Section 3 C of the Declaration allows the Declarant or its successors or assigns in title to subject/submit additional phases to the Association and Declaration, as long as the newly submitted phase is part of a general plan for the property.

NOW THEREFORE, in consideration of the premises and Ten Dollars (\$10.00) and other good and valuable consideration, the receipt of all of which is hereby acknowledged, the Successor Declarant does hereby declare that the property shown on the Final Plat of Winston Hills Phase V, Section II, recorded in Plat Book 22, page 117, Register's Office of Sumner County, Tennessee, shall be held and conveyed subject to the terms, covenants, conditions and restrictions set forth in the Declaration, which are hereby adopted as covenants running with the land and bind all present and future owners of the said property. This Seventh Amendment is made pursuant to the terms of Article IX Section 3 C of the Declaration for the purpose of annexing the said property to the scheme of the Declaration and extending the jurisdiction of the Association (as defined in the Declaration) to cover the said property. The annexation of the said property to the Declaration shall be effective upon the recording of this Seventh Amendment to Declaration of Covenants, Conditions and Restrictions with the Register of Deeds of Sumner County, Tennessee.

IN WITNESS WHEREOF, the undersigned has caused this instrument to be executed as of the date first above written.

HALO Properties, LLC, a Tennessee limited liability company

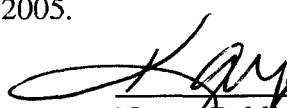
By: 
A. Danny Hale, Chief Manager

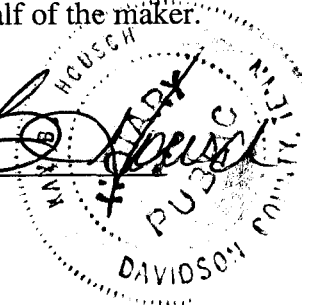
STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, A. Danny Hale, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that he executed the within instrument for the purposes therein contained, and who further acknowledged that he is the Chief Manager of the maker or a constituent of the maker and is authorized by the maker or by its constituent, the constituent being authorized by the maker, to execute this instrument on behalf of the maker.

Witness my hand this 4th day of January, 2005.

My commission expires: 7/30/05


Notary Public



THIS INSTRUMENT PREPARED BY:
Kay B. Housch, Esq. BPR#010995
Kay B. Housch, P.C.
Suite 310, 222 Second Avenue North
Nashville, Tennessee 37201

10.00

Pamela L. Whitaker, Register
Sumner County Tennessee
Rec #: 601444
Rec'd: 80.00 Instrument #: 733177
State: 0.00
Clerk: 0.00
EDP: 2.00 Recorded
Total: 82.00 1/12/2005 at 10:00 am
in
Record Book 2169 Pgs 751-766

**EIGHTH AMENDMENT TO
DECLARATION OF COVENANTS
CONDITIONS AND RESTRICTIONS**

THIS EIGHTH AMENDMENT TO DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS, hereinafter referred to as the "Eighth Amendment", set forth and entered into as of this the 4th day of January, 2005.

WITNESSETH

WHEREAS, Halo Properties LLC, a Tennessee limited liability company, was appointed Successor Declarant for Winston Hills Subdivision by instrument recorded in Record Book 1488, page 550, Register's Office of Sumner County, Tennessee; and

WHEREAS, the Successor Declarant owns certain property in Hendersonville, Sumner County, Tennessee, shown on the plats of Winston Hills recorded in the Register's Office of Sumner County, Tennessee, which property that has been developed as Winston Hills Subdivision pursuant to that certain Declaration of Covenants, Conditions and Restrictions recorded in Record Book 982, page 242, Register's Office of Sumner County, Tennessee, (hereinafter referred to as the "Original Declaration") and First Amended Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1025, page 799, said Register's Office (hereinafter referred to as First Amended Declaration) and Second Amended Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1488, page 509, said Register's Office (hereinafter referred to as Second Amended Declaration) and Third Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1488, page 554, said Register's Office (hereinafter referred to as Third Amendment); and Fourth Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1764, page 658, said Register's Office; and Fifth Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book 1894, page 667, said Register's Office; and Sixth Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book 2141, page 614, said Register's Office ; and Seventh Amendment to Declaration of Covenants, Conditions and Restrictions recorded in Record Book ~~2169~~, page ~~749~~ said Register's Office, said Original Declaration, First Amended Declaration, Second Amended Declaration, Third Amendment, Fourth Amendment, Fifth Amendment, Sixth Amendment and Seventh Amendment are hereinafter referred to collectively as the "Declaration"; and

WHEREAS, said Successor Declarant desires that the Declaration be amended to provide for certain additional definitions, provisions and use restrictions, and to substitute the Bylaws attached hereto as Exhibit "A" for those attached to Original Declaration; and

WHEREAS, pursuant to Article IX of the Declaration, the Declaration may be changed, modified, amended or terminated by an instrument in writing setting forth such change, modification, amendment or termination and signed by the owners having not less than 75% of the votes of the owners at the time of said change, modification, amendment, or termination. Any such change, modification, amendment, or termination shall be effective upon the recording of said instrument in the Register's Office of Sumner County, Tennessee; and

WHEREAS, the undersigned Successor Declarant is an owner having 75% or more of the votes of the owners as of the date of this Seventh Amendment.

NOW THEREFORE, in consideration of the premises and Ten Dollars (\$10.00) and other good and valuable consideration, the receipt of all of which is hereby acknowledged, the Successor Declarant does hereby declare that the following provisions of the Declaration are hereby amended as follows:

1. ARTICLE I DEFINITIONS

SECTION 1. Definitions – this section is hereby amended to add the following:

(n) "DRC" shall mean and refer to that Development Review Committee or Design Review Committee, Development Review Committee and Design Review Committee being interchangeable terms referring to the same entity, referenced in the Winston Hills Development Guidelines attached as Exhibit "D" to this Declaration,

(o) "ACC" shall mean and refer to that Architectural Control Committee appointed by the Board of Directors of the Association pursuant to Article IX of the By-Laws of the Winston Hills Homeowners Association attached as Exhibit "C" to this Declaration. By First Amendment to Winston Hills Development Guidelines and Use Restrictions recorded simultaneously herewith, the ACC shall undertake all duties and responsibilities of the DRC and shall be referenced in lieu of the DRC wherever DRC is referenced in the Winston Hills Development Guidelines attached as Exhibit "D" to this Declaration.

2. ARTICLE IV COVENANTS FOR MAINTENANCE ASSESSMENTS

SECTION 1. Creation of the Lien and Personal Obligation of Assessments – this section is hereby amended as follows:

a. by adding the following to the first paragraph: c) remedial assessments for violations of the Winston Hills Development Guidelines and Use Restrictions

b. by adding the words "and remedial assessments" to the first sentence of the second paragraph after the words "special assessments"

c. by adding the following sentence to the end of the first paragraph: "The reference to "assessments" in this Article and elsewhere in this Declaration shall refer to annual, special and remedial assessments, collectively."

SECTION 5. – this section is hereby amended as follows:

d. by changing the title of this section to read: Special Assessments for Capital Improvements and Remedial Assessments for Violations of Winston Hills Development Guidelines and Use Restrictions.

e. by labeling the first paragraph under this section as a);

f. by adding the following paragraph to this section: b) In addition to the annual and special assessments authorized above, the Association (acting by and through the Board, either independently or upon advice of the DRC) may levy, at any time, a remedial assessment for the violation of any Winston Hills Development Guidelines attached as Exhibit "D" to the Declaration, and amended by First Amendment to Winston Hills Development Guidelines and Use Restrictions being recorded simultaneously herewith. Said remedial assessment shall include expenses incurred by the Association or the DRC to remedy such violation and a fine for the violation not to exceed ONE HUNDRED AND NO/100 DOLLARS (\$100.00) per violation.

3. By adding the following to ARTICLE IX: GENERAL PROVISIONS

SECTION 19. Leasing of Units.

(a) **Definition.** "Leasing" for purposes of the Declaration, is defined as regular, exclusive occupancy of a Unit by any person or persons other than the Owner for which the Owner receives any consideration or benefit, including, but not limited to a fee, service, gratuity, or emolument.

(b) **General.** Units may be rented only in their entirety; no fraction or portion may be rented. There shall be no subleasing of Units or assignment of leases unless prior written approval is obtained from the Board. No transient tenants may be accommodated in a Unit. All leases shall be in writing and shall be for an initial term of no less than six (6) months, except with the prior written consent of the Board. Notice of any lease, together with such additional information as may be required by the Board, shall be given to the Board by the Owner within ten (10) days of execution of the lease. The Owner must make available to the lessee copies of the Declaration, Bylaws, and the rules and regulations.

(c) **Compliance with Declaration, Bylaws and Rules and Regulations.** Every Owner shall cause all occupants of his or her Unit to comply with the Declaration, Bylaws, and the rules and regulations adopted pursuant thereto, and shall be responsible for all violations and losses to the Common Areas caused by such occupants, notwithstanding the fact that such occupants of a Unit are fully liable and may be sanctioned for any violation of the Declaration, Bylaws, and rules and regulations adopted pursuant thereto.

SECTION 20. Business Use. No trade or business may be conducted in or from any Unit, except that an Owner or occupant residing in a Unit may conduct business activities within the Unit so long as: (a) the existence or operation of the business activity is not apparent or detectable by sight, sound or smell from outside the Unit; (b) the business activity conforms to all zoning requirements for the Property; (c) the business activity does not involve persons coming onto the Property who do not reside in the Property or door-to-door solicitation of residents of the Property; and (d) the business activity is consistent with the residential character of the Property and does not constitute a nuisance, or a hazardous or offensive use, or threaten the security or safety of other residents of the Property, as may be determined in the sole discretion of the Board.

The terms "business" and "trade", as used in this provision, shall be constructed to have their ordinary, generally accepted meanings, and shall include, without limitation, any occupation, work or activity undertaken on an ongoing basis which involves the provision of goods or services to persons other than the provider's family and for which the provider receives a fee, compensation, or other form of consideration, regardless of whether: (i) such activity is engaged in full or part-time; (ii) such activity is intended to or does generate a profit; or (iii) a license is required therefore. Notwithstanding the above, the leasing of a Unit in accordance with T. of this Section shall not be considered a trade or business within the meaning of the section.

4. EXHIBIT "C" TO DECLARATION
BYLAWS OF WINSTON HILLS HOMEOWNERS ASSOCIATION
deleted in its entirety and the following is substituted therefore:

See the Exhibit "A" attached hereto and made a part hereof

IN WITNESS WHEREOF, the undersigned has caused this instrument to be executed as of the date first above written.

Successor Declarant:
HALO Properties, LLC, a Tennessee limited liability company

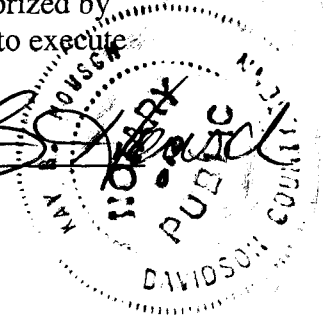
By: 
A. Danny Hale, Chief Manager

STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, A. Danny Hale, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that he executed the within instrument for the purposes therein contained, and who further acknowledged that he is the Chief Manager of the maker or a constituent of the maker and is authorized by the maker or by its constituent, the constituent being authorized by the maker, to execute this instrument on behalf of the maker.

Witness my hand this 4th day of January, 2005.
My commission expires: 7/30/05

Notary Public



**EXHIBIT "A" TO EIGHTH AMENDMENT TO DECLARATION OF COVENANTS,
CONDITIONS AND RESTRICTIONS**

Exhibit "C"

**BYLAWS
OF
WINSTON HILLS HOMEOWNERS ASSOCIATION**

ARTICLE I

Name and Location. The name of the corporation is Winston Hills Homeowner's Association, Inc., a Tennessee not-for-profit corporation (hereinafter referred to as the "Association"). The principal office of the corporation may be located, and the meetings of members and directors may be held, at such place or places within the State of Tennessee, County of Sumner, as may be designated by the Board of Directors.

**ARTICLE II
DEFINITIONS**

All terms used herein shall have the same definitions as set out in Article I of the Declaration, to which these Bylaws are attached as Exhibit "C".

**ARTICLE III
MEETING OF MEMBERS**

Section 1. Meetings. The first annual meeting of the Members shall be held within one (1) year from the date of the incorporation of the Association, and each subsequent regular annual meeting of the Members shall be held on the same day of the same month of each year thereafter, at the hour of 7:30 PM. If the day for the annual meeting of the Members is a legal holiday, the meeting will be held at the same hour on the first day following which is not a legal holiday.

Section 2. Special Meetings. Special meetings of the Members may be called at any time by the president or by the Board of Directors, or upon written request of the Members who are entitled to vote one-fourth (1/4) of all of the votes of the Class A Membership.

Section 3. Notice of Meetings. Written notice of each meeting of the Members shall be given by, or at the direction of, the secretary or person authorized to call the meeting, by mailing a copy of such notice, postage prepaid, at least fifteen (15) days before such meeting to each Member, addressed to the Member's address last appearing on the books of the Association, or supplied by such Member to the Association for the purpose of notice. Such notice shall specify the place, day and hour of the meeting and, in the case of a special meeting, the purpose of the meeting.

Section 4. Quorum. The presence at the meeting of Members entitled to cast, or of proxies entitled to cast, one-tenth (1/10) of the votes of each class of membership entitled to vote at such meeting, shall constitute a quorum for any action except as otherwise provided in the Articles of Incorporation, the Declaration, or these Bylaws. If, however, such quorum shall not be present or represented at any meeting, the Members entitled to vote thereat shall have the power to adjourn the meeting from time to time, without notice other than announcement at the meeting, until a quorum as aforesaid shall be present or be represented.

Section 5. Proxies. At all meetings of Members, each Member entitled to vote may do so in person or by proxy. All proxies shall be in writing and filed with the secretary. Every proxy shall be revocable and shall automatically cease upon conveyance by the Member of his Unit.

Section 6. Voting. The voting rights of Members is governed by Article III of the Declaration. No Member in default in the payment of Assessments hereunder shall be entitled to vote, until such default is cured.

ARTICLE IV BOARD OF DIRECTORS: SELECTION, TERM OF OFFICE

Section 1. Number. The affairs of this Association shall be governed by a board of not less than three (3) nor more than seven (7) directors, as such number may from time to time be established by the Members. Each Director shall have one (1) vote. The Directors need not be Members of the Association. The initial Board of Directors shall consist of three (3) Directors.

Section 2. Term of Office. The initial Board of Directors shall serve until the termination of Class B Membership, and until their successors are elected. At the first annual meeting after the termination of Class B Membership, the Members shall elect one-third (1/3) of the directors for a term of one (1) year, one-third (1/3) of the directors for a term of two (2) years, and one-third (1/3) of the directors for a term of three (3) years, and at each annual meeting thereafter, the Members shall elect one-third (1/3) of the directors for a term of three (3) years.

Section 3. Removal. Any director other than those appointed prior to the termination of Class B Membership, may be removed from the Board, with or without cause, by a majority vote of the Members of the Association entitled to vote thereon. In the event of the death, resignation or removal of a director, his successor shall be selected by the remaining members of the Board and shall serve for the unexpired term of his predecessor.

Section 4. Compensation. No director shall receive compensation for any service he may render to the Association. However, any director may be reimbursed for his actual expenses incurred in the performance of his duties.

Section 5. Action Taken Without A Meeting. The directors shall have the right to take any action in the absence of a meeting, which they could have taken at a meeting by obtaining the written approval of all the directors. Any action so approved shall have the same effect as though taken at a meeting of the directors.

Section 6. Right to Disapprove Actions. So long as Class "B" Membership exists, the Class "B" Members shall have the right to disapprove actions of the Board and the Architectural Review Committee. This right is exercisable only by Class "B" Members and this section providing for the right to disapprove cannot be amended without written consent of the Class "B" Members so long as Class "B" Membership exists.

ARTICLE V APPOINTMENT, NOMINATION AND ELECTION OF DIRECTORS

Section 1. Initial Board of Directors. The initial Board of Directors shall consist of A. Danny Hale, Randy Hoffman and Jean Hale, who shall serve until the termination of Class B Membership and/or until their successors are elected.

Section 2. Nomination. Nomination for election to the Board of Directors after expiration of the term of the Initial Board of Directors shall be made by a Nominating Committee. Nominations may also be made from the floor at the annual meeting. The Nomination Committee shall consist of a Chairman who shall be a member of the Board of Directors, and two or more Members of the Association. The Nominating Committee shall be appointed by the Board of Directors prior to each annual meeting of the Members, to serve from the close of such annual meeting until the close of the next annual meeting and such appointment shall be announced at each annual meeting. The Nominating Committee shall make as many nominations for election to the Board of Directors as it shall in its discretion determine, but not less than the number of vacancies that are to be filled. Such nomination may be made from among Members or nonmembers.

Section 3. Election. Election to the Board of Directors shall be by secret written ballot. At such election, the Members or their proxies may cast in respect to each vacancy as many votes as they are entitled to exercise under the provisions of the Declaration. The person receiving the largest number of votes shall be elected. Cumulative voting is not permitted.

ARTICLE VI MEETING OF DIRECTORS

Section 1. Regular Meetings. Regular meetings of the Board of Directors shall be held quarterly or more without notice, at such place and hour as may be fixed by resolution of the Board. Should said meeting fall upon a legal holiday, then that meeting shall be held at the same time on the next business day which is not a legal holiday.

Section 2. Special Meetings. Special meetings of the Board of Directors shall be held when called by the president of the Association, or by any two (2) directors, after not less than three (3) days notice to each director.

Section 3. Quorum. A majority of the number of directors shall constitute a quorum for the transaction of business. Every act or decision done or made by a majority of the directors present at a duly held meeting at which a quorum is present shall be regarded as the act of the Board.

ARTICLE VII POWERS AND DUTIES OF THE BOARD OF DIRECTORS

Section 1. Powers. The Board of Directors shall have the power to:

- (a) adopt and publish rules and regulations governing the maintenance and care of the Common Area and the personal conduct of the Members and their guests thereon, and to establish penalties for the infraction thereof;
- (b) suspend the voting rights of a Member during any period in which such member shall be in default in the payment of any assessment levied by the Association. Such rights may also be suspended, after notice and hearing, for a period not to exceed sixty (60) days for infraction of published rules and regulations;
- (c) exercise for the Association, all powers, duties and authority vested in or delegated to this Association, and not reserved to the membership by other provisions of these Bylaws, the Articles of Incorporation, or the Declaration;
- (d) declare the office of a member of the Board of Directors to be vacant in the event such member shall be absent from three (3) consecutive regular meetings of the Board of Directors; and
- (e) employ a manager, an independent contractor, or such other employees as they deem necessary, and to prescribe their duties. Declarant, or managing agent of Declarant, may be employed as manager.
- (f) to borrow money for the purpose of maintenance, repair or restoration of the Common Area and for other purposes with the approval of the Association members pursuant to the provisions thereof.
- (g) appoint the members of the Architectural Control Committee.
- (h) establish, levy, assess and collect the assessments or charges as may be necessary.

Section 2. Duties. The Duties of the Board of Directors are as provided in the Declaration, to which these Bylaws are attached as Exhibit "C", and in addition thereto, it shall be the duty of the Board of Directors to:

- (a) cause to be kept a complete record of all its acts and corporate affairs and to present a statement thereof to the Members at the annual meeting, or at any special meeting when such statement is requested in writing by one-tenth (1/10) of all classes of Members entitled to vote;
- (b) supervise all officers, agents and employees of this Association, and see that their duties are properly performed;
- (c) as more fully provided in the Declaration, to fix the amount of assessments, send written notice of same to every Owner at least thirty (30) days in advance of assessment period, and foreclose the lien against any property for which assessments are in default (not paid within thirty (30) days of due date) or bring an action at law against the defaulting Owner;
- (d) issue, or cause to be issued, upon demand by any person, a certificate setting forth whether or not any assessment has been paid;
- (e) procure and maintain adequate liability and hazard insurance on property owned by the Association;
- (f) cause all officers or employees having fiscal responsibilities to be bonded, as it may deem appropriate;
- (g) cause the Common Areas or Common Elements to be maintained.

ARTICLE VIII OFFICERS and THEIR DUTIES

Section 1. Enumeration of Offices. The officers of this Association shall be a president and vice-president, who shall at all times be members of the Board of Directors, a secretary, and a treasurer, and such other officers as the Board from time to time by resolution create.

Section 2. Election of Officers. The election of officers shall take place at the first meeting of the Board of Directors following each annual meeting of the Members.

Section 3. Term. The officers of this Association shall be elected annually by the Board and each shall hold office for one (1) year unless he or shall sooner resign or shall be removed or otherwise disqualified to serve.

Section 4. Special Appointments. The Board may elect such other officers as the affairs of the Association may require, each of whom shall hold office for such period, have such authority, and perform such duties as the Board may, from time to time, determine.

Section 5. Resignation and Removal. Any officer may be removed with or without cause by the Board. Any officer may resign at any time giving written notice to the Board, the president or the secretary. Such resignation shall take effect on the date of receipt of such notice or at any later time specified therein, and unless otherwise specified therein, the acceptance of such resignation shall not be necessary to make it effective.

Section 6. Vacancies. A vacancy in any office may be filled by appointment by the Board. The officer appointed to such vacancy shall serve for the remainder of the term of the officer he replaces.

Section 7. Multiple Offices. The offices of secretary and treasurer may be held by the same person. No person shall simultaneously hold more than one of any of the other offices except in the case of special offices created pursuant to Section 4 of this Article.

Section 8. Duties. The duties of the officers are as follows:

- (a) **President.** The president shall preside at all meetings of the Board of Directors; shall see that orders and resolutions of the Board are carried out; shall sign all leases, mortgages, deeds, and other written instruments, and shall co-sign all checks and promissory notes.
- (b) **Vice-President.** The vice-president shall act in the place and instead of the president in the event of his absence, inability or refusal to act, and shall exercise and discharge such other duties as may be required of him by the Board.
- (c) **Secretary.** The secretary shall record the votes and keep the minutes of all meetings and proceedings of the Board and of the members; keep the corporate seal of the Association and affix it on all papers requiring said seal serve notice of the meetings of the Board and of the Members; keep appropriate current records showing the Members of the Association together with their addresses; and shall perform such other duties as required by the Board.
- (d) **Treasurer.** The treasurer shall receive and deposit in appropriate bank accounts, all monies of the Association and shall disburse such funds as directed by resolution of the Board of Directors; shall sign all checks and promissory notes of the Association; keep proper books of account; cause an annual audit of the Association's books to be made by a public accountant at the completion of each fiscal year; and shall prepare an annual budget and a statement of income and expenditures to be represented to the membership at its regular annual meeting, and deliver a copy of each to the Members.

ARTICLE IX COMMITTEES

Generally, the Board of Directors may appoint committees as deemed appropriate in carrying out its purpose, pursuant to the provisions of the Declaration, to which these Bylaws are attached as Exhibit "C". Specifically, the Board of Directors may appoint an Architectural Control Committee ("ACC") to consist of at least three (3) and no more than five (5) members, all of whom shall be appointed by the Board of Directors. The ACC, if established, shall have exclusive jurisdiction over all new construction on any portion of the Properties, as well as modifications, additions, or alterations made on or to existing Units or structures containing Units and the open space, if any, appurtenant thereto.

The ACC shall promulgate detailed standards and procedures governing its areas of responsibility and practice, consistent with the guidelines and procedures detailed in this Declaration. In addition thereto, the following shall apply: plans and specifications showing the nature, kind, shape, color, size, materials, and location of such modifications, additions or alterations, shall be submitted to the ACC for approval as to quality of workmanship and design and as to harmony of external design with existing structures, location in relation to surrounding structures, topography, and finish grade elevation. No permission or approval shall be required to repaint in accordance with an originally approved color scheme, or to rebuild in accordance with originally approved plans and specifications. Nothing contained herein shall be construed to limit the right of an Owner to remodel the interior of his Unit, or to paint the interior of his Unit any color desired. In the event that the ACC fails to approve or to disapprove such plans or to request additional information reasonably required within forty-five (45) days after submission, the plans shall be deemed approved. Any alterations to approved exterior finishes and elevations must be approved in writing by the ACC.

The approval of the ACC of any proposals or plans and specifications or drawings for any work done or proposed, or in connection with any other matter requiring the approval and consent of the ACC, shall not be deemed to constitute a waiver of any right to withhold approval or consent as to any similar proposals, plans and specifications, drawings, or matters whatever subsequently or additionally submitted for approval or consent.

The ACC may authorize variances from compliance with any of the provisions of its guidelines and procedures when circumstances such as topography, natural obstructions, hardship, aesthetic, or environmental considerations require, but only in accordance with duly adopted rules and regulations. Such variances may only be granted, however, when unique circumstances dictate and no variance shall (a) be effective unless in writing, (b) be contrary to the restrictions set forth in the body of the Declaration, or (c) estop the Committee from denying a variance in other circumstances. For purposes of this Section, the inability to obtain approval of any governmental agency, the issuance of any permit, or the terms of any financing shall not be considered a hardship warranting a variance.

ARTICLE X BOOKS AND RECORDS

The books, records and papers of the Association shall at all times, during reasonable business hours, be subject to inspection by any Member. The Declaration, the Articles of Incorporation, and the Bylaws of the Association shall be available for inspection by any Member at the principal office of the Association, where copies may be purchased at reasonable cost.

ARTICLE XI ASSESSMENTS

The Declaration provides for the obligation of Members to pay to the Association annual assessments, special assessments and remedial assessments, all of which are secured by a continuing lien upon the property against which the assessment is made. Any assessments which are not paid in full within thirty (30) days after the due date are in default and shall bear interest as provided in the Declaration. The Association may bring an action for collection as provided for in the Declaration, and any costs associated therewith shall be added to the amount of the assessment and interest. There may be no waiver of assessments provided for herein by non-use of the Common Area or abandonment of a Lot or Unit by an Owner.

ARTICLE XII ANNUAL BUDGET AND REPORT

Section 1. Annual Budget. The estimated annual Budget (the "Budget") for each fiscal year shall be approved by the Board, and copies thereof furnished to any Member upon written request, not later than thirty (30) days prior to the beginning of such year. The Budget shall provide for the schedule of proportionate shares (monthly, quarterly, etc.) of payment of annual assessments by Members. Although such proportionate share shall be in accordance with the respective ownership in the Common Area and Common Elements, the Board may determine different allocations with respect to parts of such charges whenever the Board determines, in its sole discretion, that said allocation may be unfair. Allocations shall be applied uniformly to all Members of like situations and shall be final and binding upon all parties. In the event that the Board shall not approve an annual budget or fail to determine the assessments for any year, or shall be delayed in doing so, each Member shall continue to pay the amount of their respective assessments as last determined until such time as they are notified of the new budget/assessments by the Board.

Section 2. Partial Year or Month. For the first fiscal year, the annual budget shall be approved by the First Board. If such first fiscal year, or any succeeding fiscal year, shall be less than a full year, then the assessments for each Member shall be proportionate to the number of months and days covered by said Budget. Commencing with the date of occupancy of its Unit, each Member shall pay assessments for the following period or fraction of a period, which assessment shall be in proportion to ownership interest in the Common Area or Common Elements and the number of months and days covered by the current Budget, and which assessment shall be computed by the Board.

Section 3. Annual Report. Within forty-five (45) days after the end of each fiscal year covered by the Budget, or as soon thereafter as shall be practicable, the Board shall cause to be made available to any Member requesting same in writing, a statement for such year so ended, showing the receipts and expenditures and such other information as the Board may deem desirable.

Section 4. Supplemental Budget. In the event that during the course of any year, it shall appear to the Board that the monthly assessments, determined in accordance with the Budget for such year, are insufficient or inadequate to cover the expenses of the Association for the remainder of the year, then the Board shall prepare and approve a supplemental budget covering the estimated deficiency, copies of which supplemental budget shall be made available to each Member upon written request, and assess a special assessment to each Member for its proportionate share.

Section 5. Expenditures. Except for expenditures and contracts specifically authorized by the Declaration and By-laws herein, the Board shall not approve any expenditures in excess of Five Thousand and No/100 Dollars (\$5,000.00) unless required for emergency repair, protection or operation of the Common Area or Common Elements, or enter into any contract for more than three (3) years without approval by a majority of the Members. For purposes of this paragraph, the discharge of a mechanic's lien which, in the opinion of the Board, constitutes a lien against the Common Area or Common Elements, shall be deemed to be an expenditure required for the emergency repair, protection or operation of the Common Area or Common Elements.

ARTICLE XIII INDEMNIFICATION OF BOARD OF DIRECTORS, OFFICERS AND COMMITTEE MEMBERS

The Association shall indemnify and hold each of its directors and officers, each member of any committee appointed pursuant to the Bylaws of the Association, and the Board, against all contractual and other liabilities to others arising out of contracts made by or other acts of such directors, Board, officers or committee members, on behalf of the Members or arising out of their status as directors, Board, officers, or committee members, unless any such contract or act shall have been made in clear violation of the Declaration of these By-Laws, or fraudulently or with gross negligence or criminal intent. This indemnification shall include indemnification against all costs and expenses (including, but not limited to, counsel fees, amounts of judgments paid and amounts paid in settlement) reasonably incurred in connection with the defense of any claim, action, suit or other proceeding, whether civil, criminal, administrative or other, in which any such director, officer, Board or committee member may be involved by virtue of such persons being or having been such director, officer, Board or committee member; provided, however, that such indemnity shall not be operative with respect to: (a) any matter as to which such person is finally adjudged to be liable for gross negligence or fraud in the performance of their duties as such director, officer, Board or committee member; or (b) any matter settled or compromised, unless, in the opinion of independent counsel selected by or in a manner determined by the Board, there is not reasonable grounds for such persons being adjudged liable for criminal acts, or clearly violating the Declaration or these By-Laws, or for gross negligence or fraud in the performance of their duties as such director, officer, Board or committee member. Expenses incurred in defending a civil or criminal action, suit or proceeding may be paid by the Association in

advance of the final disposition of such action, suit or proceeding as authorized by the Board of Directors in the specific case, upon receipt of an undertaking satisfactory to the Board by or on behalf of the person, or entity seeking such indemnification or payment in advance to repay such amount unless it shall ultimately be determined that such person is entitled to be indemnified by the Association as authorized by this Article. The Association and the Board shall have the power to raise and the responsibility for raising any sums required to discharge its obligation under this Article by special assessment. The indemnification provided by this Article shall not be deemed exclusive of any other rights to which those seeking indemnification may be entitled under any statute, agreement, vote of Members of the Association or otherwise. In no event, however, shall this indemnity exceed coverage occasioned by liability insurance coverage, which the Association is required to carry and maintain.

ARTICLE XIV AMENDMENTS

These Bylaws shall be amended in the same manner as the Declaration, to which these Bylaws are attached as Exhibit "C", pursuant to Article IX thereof.

ARTICLE XV MISCELLANEOUS

Section 1. Fiscal Year. The fiscal year of the Association shall begin on the first day of January and end of the 31st day of December of every year, except that the first fiscal year shall begin on the date of incorporation.

Section 2. Rules of Order. Except as may be otherwise provided herein, the parliamentary conduct of all meetings of the Board and of the Association shall be conducted substantially in accordance with the most recent edition of Roberts Rules of Order.

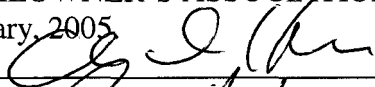
Section 3. Severability. Invalidation of any covenant, condition, restriction, provision, sentence, clause, phrase or word contained in these Bylaws, or the application thereof in any circumstances, shall not affect the validity of the remaining portions thereof or the application thereof, which shall remain in full force and effect.

Section 4. Gender and Grammar. The singular wherever used herein shall be construed to mean the plural when applicable, and the necessary grammatical changes required to make the provisions hereof apply either to corporations or individuals, male or female, shall in all cases be assumed as though in each case fully expressed.

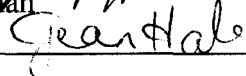
Section 5. Notices. Any notice required to be sent to the Owner of any Lot pursuant to any provision of the Declaration or these Bylaws shall be served by personal delivery or by depositing such notice in the mails, postage prepaid, regular mail, addressed to an

owner, at such address as such Owner may have designated to the Association, or if no other address has been designated then at the address of such Owner's Lot. Such service shall be deemed sufficient, and the date of service shall be the date of mailing. The transaction of any meeting of the Board of Directors, however called and noticed or wherever held, shall be as valid as though taken at a meeting duly held after regular call and notice if (a) a quorum is present, and (b) either before or after the meeting each of the directors not present signs a written waiver of notice, a consent to the holding of the meeting, or an approval of the minutes. The waiver need not specify the purpose of the meeting. Notice of a meeting shall also be deemed given to any director who attends the meeting without protesting before or at its commencement about the lack of adequate notice.

IN WITNESS WHEREOF, we, being all of the directors of WINSTON HILLS HOMEOWNER'S ASSOCIATION, INC., have hereunto set our hands this 7th day of January, 2005.


A. Danny Hale


Randy Hoffman


Jean Hale

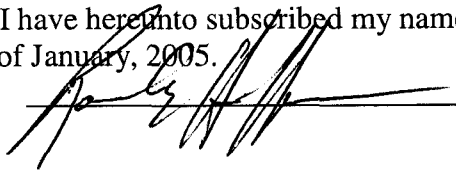
CERTIFICATION

I, the undersigned, do hereby certify:

THAT I am the duly elected and acting secretary of Winston Hills Homeowner's Association, Inc., a Tennessee corporation, and

THAT the foregoing Bylaws constitute the original Bylaws of said Association, as duly adopted at a meeting of the Board of Directors thereof, held on the 4th day of January, 2005.

IN WITNESS WHEREOF, I have hereunto subscribed my name and affixed seal of said Association this 4th day of January, 2005.


_____, Secretary

10:00

This instrument prepared by:
 Kay B. Housch, Esq. BPR#010995
 Kay B. Housch, P.C.
 Suite 310, 222 Second Avenue North
 Nashville, Tennessee 37201

Pamela L. Whitaker, Register
 Sumner County Tennessee
 Rec #: 601444
 Rec'd: 55.00 Instrument #: 733178
 State: 0.00
 Clerk: 0.00
 EDP: 2.00 1/12/2005 at 10:00 am
 Total: 57.00 in
 Record Book 2169 Pas 767-777

FIRST AMENDMENT TO WINSTON HILLS DEVELOPMENT GUIDELINES

THIS FIRST AMENDMENT TO WINSTON HILLS DEVELOPMENT GUIDELINES, hereinafter referred to as the "Guidelines Amendment", set forth and entered into as of this the 1st day of January, 2005.

WITNESSETH

WHEREAS, Halo Properties LLC, a Tennessee limited liability company, was appointed Successor Declarant for Winston Hills Subdivision by instrument recorded in Record Book 1488, page 550, Register's Office of Sumner County, Tennessee; and

WHEREAS, the Successor Declarant owns certain property in Hendersonville, Sumner County, Tennessee, shown on the plats of Winston Hills recorded in the Register's Office of Sumner County, Tennessee, which property has been developed as Winston Hills Subdivision pursuant to that certain Winston Hills Development Guidelines attached as Exhibit "D" (hereinafter "Development Guidelines") to the Declaration of Covenants, Conditions and Restrictions recorded in Record Book 982, page 242, Register's Office of Sumner County, Tennessee (hereinafter "Declaration"); and

WHEREAS, said Successor Declarant desires that the Development Guidelines be amended in order to correct certain terms and to add, revise and remove certain guidelines, all incorporated into the Development Guidelines by this Guidelines Amendment to which Winston Hills Subdivision shall be subject and by which Winston Hills Subdivision shall be benefited; which shall be made a part of the Development Guidelines; and

WHEREAS, pursuant to Article IX of the Declaration, the Declaration, of which the Development Guidelines are a part, may be changed, modified, amended or terminated by an instrument in writing setting forth such change, modification, amendment or termination and signed by the owners having not less than 75% of the votes of the owners at the time of said change, modification, amendment, or termination. Any such change, modification, amendment, or termination shall be effective upon the recording of said instrument in the Register's Office of Sumner County, Tennessee; and

WHEREAS, the undersigned Successor Declarant is an owner having 75% or more of the votes of the owners as of the date of this Guidelines Amendment.

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Page 2

NOW THEREFORE, in consideration of the premises and Ten Dollars (\$10.00) and other good and valuable consideration, the receipt of all of which is hereby acknowledged, the Successor Declarant does hereby declare that the property shown on the plats of Winston Hills, recorded in the Register's Office of Sumner County, Tennessee, and developed as Winston Hills Subdivision pursuant to the Declaration, shall be held and conveyed subject to the terms, covenants, conditions and restrictions of the Development Guidelines as amended by this Guidelines Amendment, effective upon the recording of this Guidelines Amendment with the Register of Deeds of Sumner County, Tennessee:

1. The following is added to **CHAPTER ONE INTRODUCTION**

"Any and all references herein to 'Master Developer' shall hereafter refer to 'Successor Declarant' as defined in Article I of the Declaration, as amended by Appointment of Successor Declarant for Winston Hills Subdivision recorded in Record Book 1488, page 550 Register's Office of Sumner County, Tennessee.

Any and all references herein to 'DRC' shall hereafter refer to 'ACC' as defined in Article I of the Declaration, as amended by Eighth Amendment to Winston Hills Declaration being recorded simultaneously herewith."

2. The following is added to **CHAPTER TWO WINSTON HILLS GENERAL DEVELOPMENT PLAN 2.1 The Site**

"The land described in Exhibit "A" attached hereto (hereinafter referred to as the "Commercial Tracts") is excluded from and not encumbered by the provisions of these Development Guidelines."

3. The following is added to **CHAPTER TWO WINSTON HILLS GENERAL DEVELOPMENT PLAN 2.2 The Plan**

"No lot shall be subdivided or its boundary lines changed except with the prior written approval of the Board of Directors of the Association. However, the Successor Declarant hereby expressly reserves the right to re-plat any Lot or Lots owned by Successor Declarant. Any such division, boundary line change, or re-platting shall not be in violation of the applicable subdivision and zoning regulations."

4. The following is added to **CHAPTER THREE DEVELOPMENT GUIDELINES 3.1.1 Conformity with Design Guidelines**

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Page 3

"All provisions of these Development Guidelines and any rules and regulations or use restrictions promulgated pursuant thereto which govern the conduct of Owners and which provide for sanctions against Owners shall also apply to all occupants, guests, and invitees of a Unit."

5. CHAPTER THREE DEVELOPMENT GUIDELINES 3.1.2 General Responsibilities is deleted in its entirety and the following is substituted therefore:

3.1.2 General Responsibilities

No portion of Winston Hills shall be used, in whole or in part, for the storage of any property or thing that will cause it to appear to be in an unclean or untidy condition or that will be obnoxious to the eye; nor shall any substance, thing or material be kept upon any portion of Winston Hills that will emit foul or obnoxious odors or that will cause any noise or other condition that will or might disturb the peace, quiet, safety, comfort, or serenity of the occupants of surrounding property. No noxious or offensive activity shall be carried upon any portion of Winston Hills, nor shall anything be done thereon tending to cause embarrassment, discomfort, annoyance or nuisance to any person using any portion of Winston Hills. There shall not be maintained any plants or animals or device or thing of any sort whose activities or existence in any way is noxious, dangerous, unsightly, unpleasant, or of a nature as may diminish or destroy the enjoyment of Winston Hills.

It shall be the responsibility of each Owner to prevent the development of any unclean, unhealthy, unsightly, or unkempt condition on his or her Lot. No lumber, stone, block, concrete, or other building materials, nor any other thing used for building purposes shall be stored on any property except for the purpose of construction of a Unit or addition to a Unit by a professional homebuilder or contractor. Lawns shall be kept mowed and maintained; and grass height shall not exceed six inches. Driveways, sidewalks and streets must be kept clean and free of grass clippings. Dead trees, dead shrubs and any other dead or diseased landscaping on a Lot shall be removed and replaced. Vinyl/wood siding shall be kept clean and mold-free. The pursuit of hobbies or other activities, including specifically, without limiting the generality of the foregoing, the assembly and disassembly of motor vehicles and other mechanical devices which might tend to cause disorderly, unsightly, or unkempt conditions, shall not be pursued or undertaken on any part of Winston Hills.

In consideration of Successor Declarant's installation of additional landscaping, clubhouse, pool, and gazebo, Successor Declarant is not required to do further improvements, including landscaping, to the common areas of Winston Hills Subdivision. If either Successor Declarant or the Association, at their discretion,

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Page 4

should make further improvements, erect a park or playground, or provide areas or equipment for use by the Owners of Winston Hills, then the same shall be used at the risk of the user. The Successor Declarant or Association shall not be liable to any person for any claim, damage or injury occurring or related to the use of improvements to the common areas.

6. The following paragraph under **CHAPTER THREE DEVELOPMENT GUIDELINES 3.3.3 Through Lots** is deleted in its entirety:

"As part of the overriding theme of Winston Hills, the Master Developer will be responsible for the design and installation of landscape screening/buffering within the common open space along Winston Hills Parkway and Gallatin road and within the rear yards of those lots abutting Caudill Drive."

7. The following paragraph under **CHAPTER THREE DEVELOPMENT GUIDELINES 3.4.1 Typical Village Street Layout and Maintenance** is deleted in its entirety:

"The builder/owner shall escrow a lump sum of \$500.00 per lot to be used for street-tree planting within each village. The Master Developer will install the trees in each village after the homes in a given area are substantially finished."

8. The following is added to **CHAPTER THREE DEVELOPMENT GUIDELINES 3.6.1 General Garage – Lot Relationships**

"The garage must be attached to the Unit."

9. The following is added to **CHAPTER THREE DEVELOPMENT GUIDELINES 3.9.1 General Responsibility**

"The Declarant/Successor Declarant shall not be responsible for construction, installation, development or maintenance of any features, structures, lighting or landscape/tree plantings within the Common Area or within or along streets within Winston Hills, upon conveyance of the Common Area to the Winston Hills Homeowners Association"

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Page 5

10. The following is added to **CHAPTER THREE DEVELOPMENT GUIDELINES 3.9.10 Roof Top Antenna and Satellite Dish**

"Satellite dishes shall be no larger than sixteen (16) inches in diameter, and upon approval by the Board or the ACC, shall be placed in an unobtrusive part of the Unit, preferably in the rear, and all wires concealed in a professional manner."

11. The following is added to **CHAPTER THREE DEVELOPMENT GUIDELINES**

3.9.13 Energy Conservation Equipment. No solar energy collector panels or attendant hardware or other energy conservation equipment shall be constructed or installed unless it is an integral and harmonious part of the architectural design of a structure, as determined in the discretion of the Board or the ACC

12. The following paragraph under **CHAPTER THREE DEVELOPMENT GUIDELINES 3.10.1 General Responsibilities** is deleted in its entirety

"The Master Developer is responsible for the installation of street lighting along Winston Hills Parkway and all public rights of way within the villages, as directed by the City of Hendersonville, as well as landscape lighting of the projects entry walls, graphics and other landscape features. The street lighting system will use a decorative-type fixture and will be maintained by Winston Hills Homeowners Association."

13. The following is added to **CHAPTER THREE DEVELOPMENT GUIDELINES 3.10.2 General Design Standards**

"Colored insect repellant lights are allowed."

14. **CHAPTER THREE DEVELOPMENT GUIDELINES 3.11.1 Pool and Spas** is hereby deleted in its entirety and the following is substituted therefore:

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3.11.1 Pools and Spas

Above ground type pools are prohibited. In ground swimming pools and small above ground spas or hot tubs shall be allowed only upon approval of the Board or the ACC, and shall be located in the rear of the Unit. In ground swimming pools must have a perimeter enclosure, and above ground hot tubs or spas must incorporate skirting and landscaping. All appurtenances (filters, pumps, heaters, etc.) must be screened from public view. Landscape, skirting, screening and enclosure plans must be submitted in advance and approved by the Board or the ACC. All state and local codes pertaining to swimming pools and spas must be met.

15. **CHAPTER THREE DEVELOPMENT GUIDELINES 3.11.4 Fencing/Walls** is hereby deleted in its entirety and the following is substituted therefore:

3.11.4 Fences

Fences may be a permitted part of any pre-designed construction plan for Units and thereafter, as may be permitted by the Board or ACC in accordance with these Development Guidelines. Aluminum or metal is the requisite fencing material for Winston Hills, except that wood fences installed by the professional homebuilder are permitted for Lots in the "Villas" section of Winston Hills. No dog runs or animal pens shall be permitted. No fence shall be erected on any lot or building site closer to the street than the rear corners of the Unit, and on corner lots, the front setback requirements on both streets shall apply. No fence will be permitted that is over six (6) feet in height. Fences must be located along the property lines of a Lot, subject to any easements located on said Lot. All fence specifications and location must be submitted in advance to the Board or ACC for written approval or disapproval.

16. **CHAPTER THREE DEVELOPMENT GUIDELINES 3.11.5 Garden Ornament** – the second paragraph is deleted in its entirety and the following is substituted therefore:

"Decorations for holidays, including exterior seasonal holiday lighting, are acceptable, but must not be in place 30 days prior to an event and must be removed 15 days after an event."

17. The following is added to **CHAPTER THREE DEVELOPMENT GUIDELINES 3.11.5 Garden Ornament**

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"No artificial vegetation shall be permitted on the exterior of any portion of Winston Hills. Exterior sculpture, fountains, and similar items must be approved in accordance with these Development Guidelines."

18. The following is added to **CHAPTER THREE DEVELOPMENT GUIDELINES 3.12.1 General Provisions**:

"Declarant/Successor Declarant shall not be responsible for landscaping common open spaces, major street corridors and rights of way, project entry features and entries into individual villages after conveyance of the Common Area to the Winston Hills Homeowners Association."

19. **CHAPTER THREE DEVELOPMENT GUIDELINES 3.12.3 Street Tree Planting** is hereby deleted in its entirety.

20. The first paragraph under **CHAPTER THREE DEVELOPMENT GUIDELINES 3.12.4 Minimum Residential Tree Planting Requirement** is deleted and the following is substituted therefore

"The total quantity of trees must be planted within the front yard setback of a Lot unless the Lot backs up to Caudill Drive, common areas, or other areas of the development that do not contain residential housing or unless approved by the Board or the ACC."

21. **CHAPTER THREE DEVELOPMENT GUIDELINES 3.14.1 General Responsibilities** is hereby deleted in its entirety and the following is substituted therefore:

3.14.1 General Responsibilities

No sign of any kind shall be erected within the properties without the written consent of the Board. No sign for advertising or for any other purpose shall be displayed on any lot or on a building or structure on any lot except one (1) "For Sale" sign, which shall be of a standard size for the advertisement for sale of homes in the community; except the Successor Declarant or any professional builder shall have the right to erect larger signs when advertising lots/homes and may place signs designating the lot number and status of lots without Board approval. Political signs shall be allowed during Local, State or Federal elections and shall be in compliance with any City of Hendersonville sign ordinance.

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This restriction shall not prohibit permanent or occupant name signs and lot numbers as allowed by applicable zoning regulations. Furthermore, any sign shall comply with local laws, ordinances and regulations.

The Board shall have the right to erect signs in Winston Hills whenever and wherever it, in its sole discretion, deems appropriate. The Board shall also have the right to remove any unapproved sign, advertisement, billboard, or structure that is placed in Winston Hills, and in so doing, shall not be deemed to be trespassing upon or damaging the Lot from which the unapproved sign or structure is removed.

22. The following is added to **CHAPTER THREE DEVELOPMENT GUIDELINES**

3.16 **Parking**

Vehicles shall be parked only in the garages or in the driveways serving the Units. Vehicles, bicycles, toy vehicles, or any recreational vehicle should not be parked so as to block or obstruct sidewalks in any way. No parking shall be permitted on any street, except temporarily for social gatherings or other functions, as may be approved by the Board or the ACC. No commercial vehicles, tractors, mobile homes, recreational vehicles, trailers (either with or without wheels), campers, camper trailers, boats and other watercraft, and boat trailers shall be parked in driveways or on public streets or parking areas that are part of the Common Area. No inoperable vehicles shall be parked on any street or in any driveway in Winston Hills at any time.

3.17 **Animals and Pets.**

No animals, reptiles, rodents, livestock, birds, fish or poultry of any kind shall be raised, bred, or kept on any portion of Winston Hills, except that dogs, cats or other usual and common household pets not to exceed a total of two (2) may be permitted on a Lot. Pets which are permitted to roam free, or, in the sole discretion of the Association, endanger the health of, or make objectionable noise, or constitute a nuisance or an inconvenience to the Owners of Lots or the owner of any portion of Winston Hills shall be removed upon request of the Board. If the owner of the offending pet fails to honor such request, that pet may be removed by the Board and turned over to the appropriate agency for keeping or disposal. No pets shall be kept, bred, or maintained for any commercial purpose. Dogs, when outside of a Unit, shall be confined on a leash and held under the physical control of a responsible person. Pet owners are responsible for the removal of pet waste from sidewalks, streets, driveways and any common areas or common elements and disposal in an appropriate receptacle. Electronic fences may be installed for the control of pets upon approval by the ACC and/or the Board of Directors.

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3.18 Basketball Equipment, Clotheslines, Garbage Cans, Tanks, etc.

No clotheslines, above-ground tanks, and other similar items shall be placed, allowed or maintained upon any portion of Winston Hills, including any Lot or Unit. Permanent basketball goals must have clear backboards and their location on a Lot must be approved in advance by the Board or the ACC. All garbage cans shall be located or screened so as to be concealed from view of neighboring Units, streets, and property located adjacent to the Unit, except that garbage cans may be placed at curbside on days designated for trash pick-up for that particular Lot. All rubbish, trash, and garbage shall be regularly removed from Winston Hills and shall not be allowed to accumulate thereon.

3.19 Guns.

The discharge of firearms within Winston Hills is prohibited. The term "firearms" includes "B-B" guns, pellet guns, and other firearms of all types.

3.20 Tents, Trailers and Temporary Structures.

Except as may be permitted by the ACC during initial construction within Winston Hills, no tent, utility, shed, shack, trailer, mobile home or houseboat or other structure of a temporary nature shall be placed upon a Lot or any part of Winston Hills.

IN WITNESS WHEREOF, the undersigned has caused this instrument to be executed as of the date first above written.

Successor Declarant:

HALO Properties, LLC, a Tennessee limited liability company

By: 

A. Danny Hale, Chief Manager

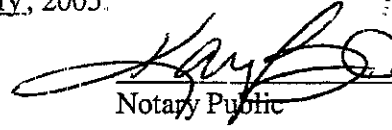
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STATE OF TENNESSEE
COUNTY OF SUMNER

Personally appeared before me, the undersigned, a Notary Public in and for said County and State, A. Danny Hale, with whom I am personally acquainted or proved to me on the basis of satisfactory evidence, and who acknowledged that he executed the within instrument for the purposes therein contained, and who further acknowledged that he is the Chief Manager of the maker or a constituent of the maker and is authorized by the maker or by its constituent, the constituent being authorized by the maker, to execute this instrument on behalf of the maker.

Witness my hand this 4th day of January, 2005.

My commission expires: 7/30/05


Notary Public
